



CGMA Senior Executive Programme Management Case Study Bluebook

Including E2, P2 and F2 Syllabus

CIMA / CGMA Management Case Study

Revision Notes
For exams from 2020

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The Management Case Study -a

Examination purpose

The CIMA Case Study Examinations are capstone simulation is designed to demonstrate mastery of previously acquired knowledge, skills and techniques and the drawing together of these to provide solutions to unstructured problems. By their position and design, they are synoptic.

Each synoptic assessment combines the content covered in the three pillar subjects at the level into a single assessment. Its aim is the "undoing" of the pillar and subject divisions of the syllabus and the application of knowledge, skills and techniques together with the mindset of a CIMA finance professional. It challenges learners to provide solutions to the type of problems that they would encounter in the workplace for the job role matched to the level of the professional qualification.

The examination uses a simulated Case Study to provide a rich, immersive scenario to prepare and to provide a context for the tasks in the examination. The scenarios are developed around today's modern business environment and the challenges that candidates will face-allowing them to demonstrate the core activities that have been identified by employers as critical.

Examination approach

Structure and format

The examination is three hours long. A 15-minute tutorial is available before the start of the examination to allow candidates to familiarize themselves with the test driver.

The examination has four sections (tasks), which are each 45 minutes long. All sections are equally weighted. Candidates may finish a section early and move on to the next but cannot return to previous sections in the time remaining.

There may be more than one sub-task within each section and an indication of how long to spend on each sub-task will be given, to allow candidates to manage their time. If no weighting is given, then candidates should assume that the sub-tasks are equally weighted.

More than one core activity will normally be assessed in each section/task and the order of core activities and assessment outcomes in the blueprint does not reflect how these might be structured in the examination.

All core activities will be assessed in each form of the examination in line with the weightings. A sample of related assessment outcomes will be tested.

Item types

The examination requires constructed, written responses from candidates in the format of a range of business communications (for example, emails, memos, reports, briefing notes).

Examination tasks will be practical and applied, not theoretical or academic. To be successful, candidates will have to perform the core activities in the same way and to the same standards that would be valid and valued in the workplace.

The simulation

The simulation is made up of three broad parts:

- The role of finance
- The role simulated
- The job tasks simulated

The simulation will require learners to demonstrate that they have acquired the knowledge, skills and mindset of the CIMA finance professional along with an appreciation of the impact of the features of the simulation (the context, organizational structures and environment and ecosystem within which the organization operates).

Word processing capabilities will be provided within the test driver to allow the formatting and presentation of responses in a professional manner. From 2019, this will include the ability to use tables to put together a response. For full details of the word processing functionality and to try this in advance of the examination visit cimaglobal.com/Studying/study-and-resources/Resources-included-in-your-subscription/

Examination tasks will not be set that require specific calculations. However, candidates should, wherever possible, show how they have used and interpreted data from the pre-seen and the new information presented during the examination and/or undertook analysis or calculations to support their responses

Reference materials

The mathematical tables that will be included for reference in each Case Study Examination are:

- Present value table
- Cumulative present value table
- Normal distribution table

For more details visit Cimaglobal.com/Tables

A copy of the full set of pre-seen material will be available for reference in the test driver throughout the assessment. A calculator is included within the test driver although candidates are permitted to take their own calculators as long as it's a CIMA approved model.

A notepad and pen are provided for planning and workings along with an on-screen scratch pad. organization operates).

The Management Case Study -b

Marking, grading and feedback

The Case Study Examinations are human marked.

The Case Study results will contain the following information:

- Grade: Pass or fail
- Scaled score: 0 to 150 with 80 and above being a pass

There is no requirement to obtain a pass or meet a minimum threshold for each core activity.

Feedback on performance against each core activity will be provided so that learners know their areas of weakness for further study

More information on performance descriptors is available [here](#) from September 2019.

Candidate experience

There are four examination windows per year. For details of upcoming Case Study Examination dates, visit cimaglobal.com

Pre-seen material will be published on the CIMA website ahead of the examination. Candidates must use the material to prepare for the examination, immersing themselves in the simulated scenario and considering the organization's current position and future strategy.

The examination will take the form of a 'day in the life' of the role being simulated. Candidates will face a series of tasks that relate to one or more of the core activities in the blueprint.

During the course of the examination, new information will be provided at the start of each section (task). In response, candidates will have to consider the new information that's been given, as well as their previous analysis of the pre-seen material.

Results will be available in MyCIMA about six weeks after the examination.

For more information on the operational and administrative aspects of the examination please refer to cimaglobal.com

Management Case Study

Examination blueprint

Core activity	Assessment outcome	Weighting
A. Evaluate opportunities to add value	I can select appropriate capital investment appraisal techniques and apply them in order to support capital investment decisions, including product/service development, digital transformation projects and acquisitions.	15-25%
	I can identify and use relevant digital data sources to assist in capital investment decisions.	
	I can explain which pricing strategies are appropriate.	
	I can select and implement suitable business models that will create value for stakeholders, including business models in the context of digital ecosystems.	
	I can analyse the impact of disruptive and digital operating business models in the context of digital ecosystems.	
B. Implement senior management decisions	I can explain the relevance of weighted average cost of capital.	15-25%
	I can apply appropriate project management tools and techniques to effectively manage projects at the appropriate stage in the project life cycle.	
	I can identify the key project personnel, explain their responsibilities and set appropriate performance measures.	
	I can select and apply suitable tools and techniques for managing risk and uncertainty in capital projects.	
	I can select suitable financing sources and explain the characteristics of the different types of funding.	
C. Manage performance and costs to aid value creation	I can recognise the characteristic of high performing teams.	15-25%
	I can advise on the measurement, analysis and reporting on the performance of responsibility centres.	
	I can analyse the processes needed to ensure employee engagement empowerment and alignment to enhance individual and team performance.	
	I can compare leadership styles and identify the most appropriate style to use.	
	I can use appropriate cost management and cost transformation techniques to manage costs and improve profitability.	
D. Measure performance	I can identify and apply appropriate quality management techniques to enhance value.	15-25%
	I can identify and apply value management techniques to enhance value.	
	I can apply the techniques that quantify and present risk to stakeholders.	
	I can select and apply suitable tools and techniques for managing risk and uncertainty in business models.	
	I can use the financial statements to assess and report on financial performance and position, interpreting and reporting on a wide range of ratios.	
E. Manage internal and external stakeholders	I can support managers by recommending actions to improve financial performance and position and assessing how suggestions impact on the wider organisational ecosystem.	15-25%
	I can select appropriate accounting treatments and explain the implications for users of the financial statements.	
	I can explain the financial reporting implications of additions to the group.	
	I can explain the behavioural and transfer pricing issues associated with internal trading.	
	I can explain the implications of Integrated Reporting for the reporting entity and its stakeholders.	
	I can advise on the communication process.	
	I can advise on the negotiation process.	
	I can advise on conflict management.	

Chapter One – Business Models

1 The ecosystems of organizations

- ✓ A broad term used to describe organizations and the environments in which they operate.
- ✓ Traditional structures have been challenged, with many new business models evolving and emerging.
- ✓ Changing environments has changed how participants and stakeholders interact with each other, and how organizations respond to rapidly different environments.
- ✓ Parts of the ecosystem are finding it increasingly important to work together as part of a business community. A concept known as mutuality.

2 The drivers of change in the business ecosystem

- ✓ The accessibility, reliability, speed and security of the internet.
- ✓ The availability and use of mobile technologies and connected devices – including software.
- ✓ The ability of organizations to capture and use high quality and timely customer data and intelligence.
- ✓ The willingness of organizations to work together and form collaborative value chains.
- ✓ The widening of customer knowledge and empowerment and greater sophistication of customer demand based around choice, high quality and speed of delivery.

3 Business models and value creation

Business model	Example	Value creation
Asset builder	General Motors	By the delivery of physical goods
Service provider	KMPG	By using specialist skills to deliver quality service
Technology creator	Apple	By using technology to create and deliver ideas
Network orchestrator	Amazon	By using connectivity and mutuality to deliver products and services

4 Network orchestrators

- ✓ A fairly new concept used to describe companies that deliver value through collaborate networks and mutuality where organizations work together in business communities.
- ✓ They create digital capabilities and online platforms for participants to interact and transact with other members of the network.
- ✓ These new business models can grow fast and typically have very high market valuations.
- ✓ They have a very pro-active / can do culture where norms are challenged, and innovation is at the forefront of value creation.

5 The principals of network orchestration

- ✓ High levels of investment in digital capabilities and other intangible assets (systems / platforms).
- ✓ Significant coordination of activities with network of collaborating organizations.
- ✓ Focus of longer-term customer relationships with revenue being earned through subscriptions rather than individual transactions.
- ✓ Strong leadership to help drive change and challenge more traditional business processes.
- ✓ Flexible human resource management, including the use of freelancer and flexible/casual labour.
- ✓ Strong reliance on technology as a service enabler; including cloud computing, social media, smart mobile technology and data analytics.

6 Different forms of business organizations

- ✓ Outsourcing (the transfer of business processes to an external third party)
- ✓ Offshoring (the transfer of business processes to a foreign country)
- ✓ Shared service centres (a pooling for skills in a separate business unit to provide services to the whole organization)
- ✓ Strategic alliances (the pooling of expertise by one or more organisation to exploit a mutually beneficial opportunity)
- ✓ Franchising (the use of an established brand to deliver products and services – often found in food and restaurants)
- ✓ Consortia (an association of organizations to deliver a specific project – often found in complex public infrastructure projects)

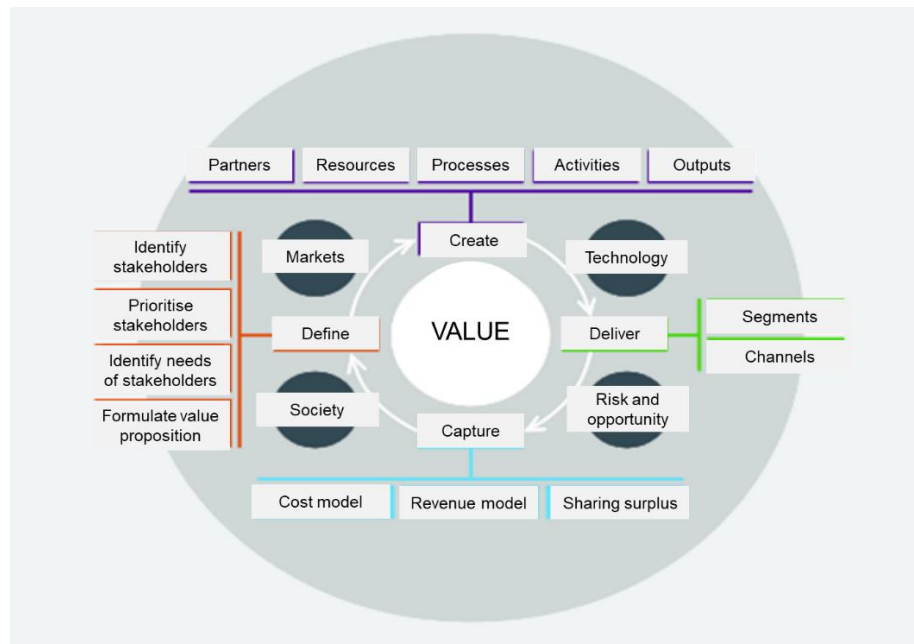
- ✓ Licensing (the right to produce or supply a product for a fee)
- ✓ Joint venture (the creation of a separate entity with other third parties to pursue an opportunity)
- ✓ Virtual organizations (a network of alliances and subcontracting arrangements)

7 CASE STUDY SMART

- This whole chapter is a new addition to the E2 syllabus, and therefore the Management Case Study.
- Be prepared to be able to discuss the drivers of change within an organizations' ecosystem.
- Be prepared to think about the challenges that these changes will bring, and how these challenges can be overcome.

Chapter Two – Elements of Business Models

1 The CIMA Business Model



- ✓ The modern business model is organized to **focus on value**.
- ✓ Define value: organizations should focus on who they create value for and how those stakeholders define value.
- ✓ Create value: organizations should focus on how resources are sourced and organized to turn inputs into outputs that stakeholders desire.
- ✓ Deliver value: organizations should focus on how to reach and deliver value to those stakeholders it was created for.
- ✓ Capture value: organizations should focus on residual value and how this should be shared amongst various stakeholders.

2 Defining value

- ✓ When defining value, different stakeholders are likely to have different interpretations of what this means. It is important to consider:
 - Financial (profit margins/returns on investment) v's non-financial (customer loyalty/wastage).
 - Tangible value (controlling physical assets) v's intangible assets (creating strong brands).
 - Short-term value (one to three years) v's longer-term sustainability (five to ten years).

2.1 Stakeholders

- ✓ A stakeholder is defined as “any person or group that can affect or be affected by the policies and activities of an organisation” (Freeman).
- ✓ A useful way to help *identify* stakeholders is to use Johnson & Scholes’ typology:

Groups	Examples
Internal	Senior, middle and operational employees.
Connected	Lenders, shareholders, customers and suppliers (i.e. there is some type of financial vested interest in the organisation).
External	Local and central government, pressure groups (such as environmental groups) and the local community.

- ✓ A useful way to help *rank* and *prioritize* stakeholders is to use Mendelow’s Matrix (or stakeholder mapping).
- ✓ This considers each stakeholders level of power and interest in the activities and outcomes of an organisation but also suggests how these various relationships need to be developed and managed.



3 Creating Value

- ✓ Without losing control of costs, there are five elements that need to be aligned and coordinated to help create value through the organizations operations:
 1. **Partners:** these include suppliers, employees and contractors who provide resources and access to markets and technologies. The organisation needs to think carefully about how to build effective relationships with these stakeholders, and how to reward their loyalty and hard work.

2. **Resources:** organizations need to use these close relationships to source the highest quality inputs at competitive prices. Exclusivity and speed of supply is also important in the modern business environment.
3. **Processes:** organizations need to design, develop and deploy appropriate processes to convert inputs into high quality outputs. This could include automation, outsourcing or part/component production.
4. **Activities:** organizations and their partners engage in collaborative partnerships to help use the processes to convert resources into high quality goods and services (outputs).
5. **Outputs:** organizations outputs are the products, services and wider experiences that hopefully will satisfy the ever-increasing demand of customers.

4 Delivering value

- ✓ Delivery value to customers creates value for a broader range of stakeholders, particularly shareholders and government tax agencies.

4.1 Customer Segmentation

- ✓ Customer segmentation is the process of dividing a customer base into separate groups of individuals that share similar characteristics.
- ✓ Traditionally this has meant segmenting a market bases on gender, age, ethnicity, elasticity of demand, location etc.
- ✓ This allows organizations to target their marketing efforts to tailor for each individual customer group by focusing on their shared characteristics and specific needs and demand traits.
- ✓ How the organisation interacts with its customers has become more personal; particularly when used with online platforms and social media.
- ✓ Big Data, and its effective use, has been an enabler and driver of this type of highly targeted approach.
- ✓ The use of data analytics and the common use of algorithms can record customer behavior and predict future tastes and preferences. This makes targeted market highly effective.
- ✓ This seemingly closer relationship between the organisation and its customers can help deliver greater customer retention and loyalty which further drives sales and revenues.

4.2 Distribution channels & channel marketing

- ✓ Organizations needs to think carefully about how to deliver their products and services to their customers (i.e. what distribution channels to use):

- Traditional distribution channels: manufacturer to wholesaler to retailer to customer.
 - Shorter distribution channels: manufacturer direct to retailer to customer.
 - Direct-to-customer channels: manufacturer direct to customer (perhaps via direct delivery using a direct mailing and delivery service).
- ✓ Organizations also need to think carefully about how to tailor and use marketing across the various distribution channels:
- **Undifferentiated marketing:** this is where a generic marketing mix is used across the entire market hoping that as many customers as possible will buy the product. This approach is commonly used in the marketing of household appliances – for example, washing machines or vacuum cleaners.
 - **Differentiated marketing:** this is where the marketing is tailored to appeal to different market segments in the hope that the product will be appear more tailored to each segment's needs. This approach is commonly used in the marketing of public transport – for example, on and off-peak travel or business v's leisure passengers. It is often the case to employ price discrimination in these cases to further increase revenues.
 - **Concentrated marketing:** this is where the organisation focusses on a single segment in the hope of meeting the exact demand requirements of that specific group. This approach is commonly used in the marketing of cosmetics – for example, aftershave aimed at a specific male age group.
- ✓ Technology has enhanced how the organisation can market its products and services to its customers. Common examples include:
- Customization of products.
 - Method of delivery.
 - Repeated shopping lists to save customers time.
 - Prompting customers to items they may have forgotten.
 - Directing customers to products that they may also like.

5 Capturing value

- ✓ There are two ways to pursue value for stakeholders:
- **The Cost Model:** this approach may be taken by public sector organizations, charities and other not-for-profit organizations. In this case, value is delivered through the low-cost delivery of the high-quality outputs. For example, a local hospital will deliver value by short waiting times and the outcomes of healthcare. This – of course – will be judged in the context of proving value-for-money and efficiency, economy and effectiveness.
 - **The Revenue Model:** this approach may be taken by private sector, profit making organizations. In this case, value is delivered by driving

revenues and delivery high quality outputs to customers. For example, a travel company may deliver value by selling a whole bundle of products to customers – for example, flights, accommodation, car hire, travel insurance, foreign currency, excursions etc.

- ✓ When value has been captured it needs to be shared appropriately amongst a variety of often competing stakeholders:
 - The senior managers who feel they deserve rewarding for their performance;
 - The company who wish to retain earning for re-investment;
 - The government who wish to increase their tax yield;
 - The shareholders who demand dividends to reward their risk taking.

6 CASE STUDY SMART

- This whole chapter is a new addition to the E2 syllabus, and therefore the Management Case Study.
- Be prepared to be able to describe and explain the four component parts of the modern business model (Define, create, deliver and capture).
- The various sub activities within each of these components is highly examinable and will feature in every Case Study exam sitting.

7 Real case study examples

- ✓ August 2019 Variant One examination:

 Scratch Pad
 Calculator

 Reference Material

 Pre-seen

Six months have passed. Cruisecalm fitted RFID readers to enable it to track passenger movements aboard its ships. the system became fully operational three months ago. You receive the following email:

From: Loni Drew, Senior Financial Manager
To: Financial Manager
Subject: RFID data

I received the attached list of data sources from Bella Lim, Cruisecalm's Finance Director. Bella has requested a report covering two matters and I require your assistance with both.

- Firstly, what are the potential advantages and disadvantages of using these data sources and Big Data to build a model that could identify relationships between the information we have captured and revenues?
- Secondly, at present we do not recognise revenue until the passengers have completed their cruises. What are the arguments for and against recognising revenues from fares and from on-board extras at the time of booking, assuming that we made the fullest possible of our passenger data sources?

Thanks
Loni

✓ May 2019 Variant One examination:

 Scratch Pad  Calculator

 Reference Material

 Pre-seen

It is six months later, Jord has furthered its plans to expand, and is choosing between two options. The Chief Executive Officer, Theo Larsson has called you into his office.

"I am pleased to announce that we will be expanding Jord production this year, increasing as planned, from 100 to 125 houses each year. We have raised the required finance and are now choosing between two sites.

Site One involves land adjoining our current production site and offers us the chance to simply expand our existing site and preserve our highly efficient approach. This had been the obvious choice, but our preliminary environmentalist report has identified a family of Corvolan pine voles, an endangered species, living on the outskirts of this land.

Site Two is 5 kilometers away from our main production site and is currently wasteland. The environmentalist report for this site has no issues. Site Two would simply operate as a smaller replica of our main site. Site Two would be able the same functions as our main site, except for timber cutting which would continue to be performed at the main site only. Site Two would not entirely comprise new staff as we would move some experienced members from our main site to work at Site Two as appropriate.

Both pieces of land are owned by Jord.

Before moving ahead with our development plans, I need your help with a couple of issues.

Firstly, please outline the risks of proceeding with each site. I am particularly interested in understanding the risks we may face relating to the voles, quality assurance, and operating from two sites.

Secondly, I am aware that whichever site we proceed with, we will need to communicate our plans with our key stakeholders. Please also outline which stakeholders we will need to communicate with and how."

Chapter Three

– Digital Influences on the Business Ecosystems

1 Disruptive technologies

- ✓ Disruptive technology is a modern term that refers to instances where new technologies replace existing technologies.
- ✓ The impact these new technologies can have on traditional business models and how they are structured presents significant challenges.
- ✓ For those businesses that are unprepared – or slow to react – the pace and scale of change can be catastrophic.
- ✓ For many well-established – yet unprepared - businesses, these new disruptive technologies have resulted in irreversible business failure.

1.1 Examples of disruptive technologies and business failure

- ✓ Customers booking holidays completely online, rather than through an established high street retailer. For example – www.onthebeach.com.
- ✓ Customers using online banking services, rather than using the services of a high street retail bank. For example – www.firstdirect.com.
- ✓ Customers subscribing to entertainment providers, rather than using the services of a pay-as-you-go provider. For example – www.netflix.com.
- ✓ Customers ordering food and beverages online for home/work delivery, rather than using traditional takeaway facilities in their local proximity. For example – www.justeat.com.
- ✓ Customers ordering and making discretionary “one-off” purchases often during work time, rather than using their local high street businesses. For example – www.amazon.com.

1.2 Examples of disruptive technologies and consumer behavior

- ✓ The willingness to store personal and sensitive data in cloud facilities.
- ✓ The willingness to use digital wallets to make electronic payments over traditional methods.
- ✓ The willingness to source and buy products online without having to physically inspect products – particularly in markets such as fashion.
- ✓ The willingness to make small purchases from a broader range of suppliers.
- ✓ The willingness to share data and allow that data to be used and analyzed.

1.3 Strategies to deal with digital disruption

- ✓ A report by the World Economic Forum & Accenture (2016) recommended the following:
 - Remain focused on the organizations core competencies: with disruptive technology innovations regarded as a separate activity.
 - “Black Ops”: that these innovations are developed covertly to the main activities of the business.
 - Learn from the best.
- ✓ Organisations need to select an appropriate strategy regarding how to deal with the threats from digital disruption.
- ✓ There are two recognized approaches to take to respond to the threats:

“Build & Invest” (Internal)	“Buy & Partner” (External)
+ Fit-for-purpose and meets the challenges faced.	+ Access to the very latest skills, experiences and knowledge.
+ Company retains and controls the intellectual property and highly sensitive commercial information.	+ Speed of implementation since many of these responses are tried and tested.
+ Could perhaps be cheaper.	- Likely to be much more expensive.
- Could take much longer.	- Control risk regarding confidentiality of sensitive business information.
- Limited to the skills and experiences of internal employees.	- Might be more of a generic solution, rather than something bespoke to the organization.

2 The digital customer

- ✓ The World Economic Forum/Accenture report also discussed the changing nature of customer demand in the digital age.
- ✓ This more sophisticated demand focuses around several concepts:
 - **‘Contextualized interactions’**: a term used to describe a product or service tailored to their specific needs.
 - **Smooth experience across channels**: minimum disruption from researching a product, to placing an order, to making payments to organizing delivery.
 - **24/7 / Realtime information**: the ability to check inventory levels, check lead times, track deliveries, access pricing information.
 - **Great service**: the customer expects customer services that surpasses expectations at every stage of the customer experience.
 - **Transparency**: the customer expects to have access to exact product specification, including details of how their personal information will be stored and used.

- **Co-creation:** the customer expects to perhaps be able to change features to make their product or service bespoke. For example – additional features in a new car or additional services on an expensive holiday.

3 Digital operating models

- ✓ To compete in the digital age organisations have had to re-organize their operating activities and re-consider and re-focus their core business competencies.
- ✓ *The World Economic Forum on the Digital Transformation of Industries* identified five effective digital operating models. These have, or will, replace the more rigid and traditional operating models:
 - **Customer-centric:** this model focuses on putting the customer at the heart of everything the organisation does, and also empowering front-line employees to deliver truly exceptional service. For example – long-haul airlines such as Emirates or Singapore Airlines.
 - **Extra-frugal:** this model adopts a “less is more” philosophy with a very basic service being offered to customers supported by a very lean organizational structure. For example – short-haul airlines such as EasyJet or Ryanair.
 - **Data-powered:** this model focuses on the organizations ability to process and analyze large volumes of customer data and intelligence and offer a seemingly bespoke customer experience. For example – Google or Netflix.
 - **Skynet:** this model focuses on an engineer-led desire to use maximum automation and robotics to deliver a highly efficient and low operating cost lean operating model. For example – Amazon or Apple.
 - **Open & Liquid:** this model encourages customer co-creation and the high use of collaboration between customers and highly skilled and innovative employees. For example – creative market services or bespoke design services (perhaps for housing).

4 The digital workforce

- ✓ The challenges that digitalization brings presents significant hurdles for many well-established and mature business models.
- ✓ Many believe this could lead to transformational and far-reaching change, and this is very often faced with significant resistance. This should – and needs to be – a senior management priority.
- ✓ Some organisations have recruited and appointed Chief Digital Officers (CDO's) to the Board of Directors.

- ✓ This outlines the scale of the change many organisations face, but also the strategic value of that this fairly new phenomenon can bring to organisations that embrace and reactive to this change.
- ✓ There will be on increasing need to use “on-demand” workers, and employees with much greater levels of flexibility and a broader skill set to meet the requirements and challenges of this new organizational concern.

5 CASE STUDY SMART

- This whole chapter is a new addition to the E2 syllabus, and therefore the Management Case Study.
- Be prepared to be able to describe and apply how disruptive technologies could apply to the company in your specific case study, and how perhaps the senior management should respond.
- Be prepared to be able to describe and apply how changing customer demand may impact on the company in your specific case study, and how management should respond to this.
- Be prepared to be able to describe the changing human resource requirements of organisations in the digital age, the challenges that these changes create and how these challenges should be overcome.

Chapter Four

– Managing People & Driving Performance

1 Managing human resources

- ✓ The effective management of an organisations human resources is perhaps one of the biggest challenges they face.
- ✓ If managed effectively, the results can contribute to a significant competitive advantage.
- ✓ If poorly managed, the consequences can be far-reaching and, in some cases, catastrophic.

1.1 Employee and employer expectations

- ✓ The Chartered Institute of Personnel & Development (CIPD) argued that employees and employers share a Psychological Contract that may – or may not – be written down and documented:

Employees promise to

Be honest.
 Work hard.
 Show loyalty to the organisation.
 Uphold company reputation.
 Work extra hours when required.
 Be flexible.
 Develop new skills and new ideas
 Be courteous.
 development

Employers promise to provide

Respectful treatment.
 Reasonable job security.
 A pleasant safe working environment.
 Feedback on performance.
 Interesting tasks.
 An attractive benefits package.
 Opportunities for promotion.
 Opportunities for training and

- ✓ Employers may take disciplinary action if employees appear to disregard their side of this contract.
- ✓ Employees may raise a grievance against the employer if they are deemed not to honor their side of this contract.

2 Leadership Concepts

2.1 Power

- ✓ Power is defined as *“the ability to influence the decision-making process to achieve a particular outcome or action”*.
- ✓ French & Raven identified **five** sources and bases of power:

1. **Legitimate power:** derives from the relative position and duties attached to a post within an organisation. The formal authority that belongs to the holder of the position.
2. **Referent power:** the power or ability of individuals to persuade and influence others. Based on the charisma and interpersonal skills of the power holder.
3. **Expert power:** derives from the skills or expertise of the person and the organization's needs for those skills and expertise. Usually highly specific and limited to the particular area in which the expert is trained and qualified.
4. **Reward power:** reward power depends upon the ability of the holder to give rewards, for example a bonus, time off, gifts, a promotion, a pay rise, increased responsibility or another benefit.
5. **Coercive power:** the power to penalize or punish. It might refer to the ability to demote or to withhold other rewards. It is the desire for valued rewards or the fear of having them withheld that ensures the obedience of those under power. Coercive power tends to be the least effective form of power as it builds resentment and resistance.

2.2 Authority

- ✓ Authority is defined as *"the right to do something, or to ask a subordinate to do something and expect it to be done"*.
- ✓ It is very often undetachable from holding a specific position within an organisation. For example – the Head Teacher of a school.
- ✓ It is regarded as a source of Legitimate Power.
- ✓ It is important to note that authority can very easily be lost – it is attached and is derived from a person's position. However, power is said to be more effective. Very often it derives from a unique set of individual character strengths or traits.

2.3 Delegation

- ✓ Delegation involves the passing of authority from one party to another. Although authority may be passed, responsibility remains with the original holder of authority.
- ✓ **Consultation:** manager seeks views and input from others.
- ✓ **Explanation:** manager provides instruction and guidance.
- ✓ **Abdication:** manager leaves the task to others.
- ✓ **Custom and practice:** although authority remains with the manager the norm is that the task is performed by others.

- ✓ Koontz and O'Donnell conditions for effective delegation:
 - Clear definition of subordinate's authority
 - Evidence that subordinate has sufficient competence to be able to exercise authority
 - Allowing subordinate to exercise authority without constant checking and intervention

2.4 Responsibility and accountability

- ✓ Responsibility refers to the obligation an individual has to fulfil a task that they have been given.
- ✓ Accountability refers to the holding of an individual to account for the completion of tasks allocated to them.
- ✓ Limited responsibility (with the appropriate authority) can be delegated but ultimate responsibility cannot.

2.5 Empowerment

- ✓ Empowerment involves transferring power to those actually involved in completing a task. It usually involves giving employees and work teams the freedom to make decisions about how work should be done.
- ✓ Empowerment is usually part of a wider approach that includes:
 - Flexibility and quicker decision making
 - Reduced emphasis on hierarchy
 - Fewer middle managers (delaying)
 - Reduced bureaucracy
 - A willingness to embrace increased trust, less control

2.6 Bureaucracy

- ✓ Under a bureaucracy, power is defined very precisely with rules governing every action. It is typically found in very large, well established and mature organisations such as state-owned enterprises.
- ✓ An organisation typified by formal processes, standardization, hierarchic procedures, and written communication. Weber stated that bureaucratization was inevitable as organisations grow.
- ✓ This level of bureaucracy was seen as an effective way of controlling subordinates.

3 Theories of management

- ✓ Management is often defined as *"the direction of subordinates to achieve a specific outcome or complete a particular task"*.
- ✓ Henry Mintzberg detailed a comprehensive role of an effective manager:
 - Figurehead

- Leader
- Monitor
- Spokesperson
- Disseminator
- Liaison (with other departments/functions)
- Entrepreneurial (to help deliver value)
- Disruption resolver
- Resource allocator
- Negotiator

3.1 Henri Fayol

- ✓ Historically one of the most influential contributors to the theory of the role of management.
- ✓ Widely regarded as the founding father of the “classical approach to management”.
- ✓ Argued that the five primary functions of management were:
 - Planning
 - Organizing
 - Controlling
 - Commanding
 - Coordinating
- ✓ This can be remembered by the acronym POCCC.
- ✓ The rationale for this strict management style was that subordinates lacked the skills, attributes and motivation to be able to POCCC themselves.

3.2 Frederick Taylor

- ✓ Taylor was also said to be part of the “classical school” of thought, and that the role of management was to enforce a strict target and standard driven culture to manage subordinate’s performance.
- ✓ Argued that subordinates should be treated no differently than any other factors of production. For example – land and capital.
- ✓ Believed that management of subordinates could be achieved through scientific measurement and the establishment of standards that all subordinates should be capable of achieving.
- ✓ He was widely acknowledged for “dehumanizing” the workforce and treating all employees simply as a unit of labour.
- ✓ Individual performance should be measured (by management) and substandard performance should not be tolerated, and underachievers should be replaced.

- ✓ Taylor also argued that performance could be improved using a “carrot and stick” approach. For example – rewarding individual performance using financial incentives.

3.3 Elton Mayo

- ✓ Mayo questioned the effectiveness of the classical school of thought.
- ✓ He believed this strict approach caused conflict and disruption to an organisations operations.
- ✓ Following his own research at the Hawthorne Factory in the USA, he instead argued that subordinates should actively be encouraged to develop relationships with colleagues.
- ✓ He argued strongly in favor of developing highly effective teams as a way to drive performance.
- ✓ His work and theory became known as “The Human Relations School of Management”.
- ✓ Mayo instead advocated a more relaxed management style that focused on developing teams in an attempt to drive productivity.

3.4 Contingency theory

- ✓ This approach to management style questions the wisdom of the “one best fit” approach that the classical and human relations school would advocate.
- ✓ Supporters of Contingency Theory instead argue that the most appropriate management style depends / is *contingent* on a range of environmental factors.
- ✓ The contingent factors to consider include:
 - The environment and the level of perceived risk (Burns & Stalker);
 - The maturity and level of subordinate experience (Hersey & Blanchard);
 - The level of subordinate co-operation (Fred Fiedler);
 - The objectives of the organisation (Peter Drucker);
 - The typology of the subordinates either as Theory X or Theory Y (Douglas McGregor).

4 Theories of leadership

- ✓ Leadership is often defined as *“the ability to inspire and influence subordinates to pursue a course of action, often without the need to give explicit instructions and commands”*.

4.1 Warren Bennis’ seven qualities of a Leader

1. **Technical competence:** business literacy and grasp of one's field
2. **Conceptual skill:** a facility for abstract or strategic thinking

3. **Track record:** a history of achieving results
 4. **People skills:** an ability to communicate, motivate, and delegate
 5. **Taste:** an ability to identify and cultivate talent
 6. **Judgement:** making difficult decisions in a short time frame with imperfect data
 7. **Character:** the qualities that define who we are
- ✓ Bennis believes the best leaders are distinguished by their mastery of the softer side: people skills, taste, judgement, and, above all, character.

5 Professional ethics

- ✓ Managers and leaders have a specific responsibility to develop a culture of ethical behavior and professional conduct.
- ✓ This needs to be an integral part of a managers and leaders' role, and needs to be pro-actively developed, enforced and policed.
- ✓ As a professional accountant, members of the finance function are obliged to uphold their institutes Code of Ethical Conduct.
- ✓ There are five fundamental principles that are designed to guide and support professional accountants in their work.

Principle	Description
Objectivity	1. To discharge your duties in an impartial and unbiased manner.
	2. To act and engage in a way that does not present a conflict of interest.
	3. To not allow undue influence by a superior or exert undue influence on a subordinate.
Professional Behavior	1. To comply fully with all domestic and local legislation and regulations.
	2. To apply fully with the organisations Financial Reporting Framework (local GAAP or International Accounting & Financial Reporting Standards)
	3. To act in a way that does not bring discredit on you as an individual, your employer, your institute or the profession.
Professional Competence & Due Care	1. To commit to keeping abreast of technical developments in the accountancy profession and engaging in CPD to demonstrate this.
	2. To only act and offer professional services within your skill set and competencies.
	3. To discharge your duties and complete engagements with proper diligence and in good faith.

Integrity	1. To act with the highest levels of honesty in all professional business engagements.
	2. To inspire trust amongst the users of your work.
	3. To act with transparency and in a straightforward manner in all business and professional activities.
Confidentiality	1. To agree to the non-disclosure of privileged information to third parties.
	2. To agree not to use privileged information for personal gain.
	3. To accept that this principle can sometimes and can be required to be broken. For example – in instances of fraud, human trafficking, money laundering, terrorist activities etc.

6 CASE STUDY SMART

- Leadership and management are a commonly tested topic in almost every Case Study exam.
- You may be required to describe why a particular management style is not effective, or perhaps why subordinates are not responding well to a chosen management style.
- You may be asked to recommend – and justify – an appropriate management style.
- You could be asked to describe the attributes of effective leaders or managers.
- You are very likely to be required to discuss the ethical behavior of a range of stakeholders.

7 Real case study examples

- ✓ May 2019 Variant Two examination:



Scratch Pad



Calculator



Reference Material



Pre-seen

It is one week later. You have just returned to your desk, following a staff meeting. Whilst you were away the Finance Director, Carla Holm has left a note on your desk, together with a copy of an internal memo from the chief Executive.

Hi,

Sorry I missed you but I need your assistance on a couple of important issues relating to the Vorsan Golf Resort proposal. The senior management team have this morning received a memo from Theo Larsson, which is attached to this note. He believes that we should invest in new production technology if this project is to be undertaken without adversely impacting on our current orderbook. I've just spoken to Frieda Stern, our Chief Operating Officer and she estimates that the new technology will cost approximately Cs6m and could be utilised to manufacture any type of pre-fabricated building. However, I think we need to consider this carefully and whether there are alternative options to purchasing the technology outright.

Theo's other concern is the motivation of our on-site construction staff, which clearly was a problem in the delivery of the Sasoa hotel project we completed in 2016.

I'm out of the office for the rest of the day, so I need you to prepare me some information for my meeting tomorrow.

1. Outline ways in which we could raise the necessary funds for the new production technology for this project and discuss any alternatives there could be to purchasing the technology outright.
2. What actions do the leadership team need to take to ensure that we do not encounter the same motivation problems on this project with our on-site construction team as we incurred on the delivery of the Sasoa hotel project?

Chapter Five

– Managing the Workplace Environment

1 Setting objectives

- ✓ To help drive performance and deliver value management have a key role to play in setting objectives.

1.1 Employee alignment and goal congruence

- ✓ Employee alignment is a process of linking organizational goals to employees' personal goals in order to reach higher employee engagement and satisfaction.
- ✓ This will be achieved through the target setting and appraisal process.
- ✓ The management of staff to ensure employee alignment and employee empowerment will be influenced by management style and organizational culture.

1.2 Management by Objectives – MBO (Peter Drucker)

- ✓ Drucker advocated the setting of objectives or targets in four areas:
 - Profitability
 - Management performance
 - Worker performance
 - Social responsibility
- ✓ The accepted and recognized approach to MBO is:
 - Set objectives, quantify targets (SMART)
 - Communicate objectives and targets
 - Organize the work into manageable activities
 - Allocate tasks
 - Ensure adequate resources
 - Communicate clearly
 - Measure performance against target
 - Communicate results to subordinates
 - Review objectives

1.3 Monitoring and measuring performance

- ✓ It is widely accepted that traditional financial performance metrics and KPI's only give a very narrow view of how an entity in performing and adding value.
- ✓ Many organisations now use a more holistic, or balanced, view that considers a broader range on performance indicators.
- ✓ A popular framework is to use Kaplans' "Balanced Scorecard" approach.

- ✓ The “Scorecard” encourages organisations to evaluate their performance from a variety of four perspectives:
 - **Financial:** this encourages organisations to monitor how they deliver and create value shareholders. This normally means focusing on a narrow range of financial KPI’s.
 - **Customer:** this encourages organisations to monitor how customers perceive their performance. This may mean measuring customer complaints and feedback.
 - **Internal processes:** this encourages organisations to monitor their own internal processes to help deliver competitive advantage. This may mean the resolution of business disruptions or improvements to operational efficiency.
 - **Innovation and learning:** this encourages organisations to focus on the level and speed and success of innovations, and also the training, development and retention of skills.

2 Managing employee performance

2.1 Employee appraisals

- ✓ An appraisal could be defined as a “systematic review and assessment of an employee’s performance, potential and training needs”.
- ✓ A good appraisal forms an important part of the management and motivation of individuals and teams within an organisation.
- ✓ Helps to identify training needs and expectations.
- ✓ Allows the employee to express their honest views of the company.

2.2 The purpose of appraisals / reviews

- ✓ Reward review: determine whether the employee deserves a bonus or pay increase – clearly an important motivating factor for any employee
- ✓ Performance review: for planning and following up training programmes.
- ✓ Potential review: to determine an individual’s likely career path and help them to achieve their progression through the company.

2.3 Different forms of appraisal

- ✓ Management-led – the traditional approach to appraisals, the employee is assessed by a manager.
- ✓ Self-appraisal – the employee assesses their own performance, identifying any problems and identifying ways of resolving them.

- ✓ Multi-source (or 360 degree) feedback: appraisal considers feedback from a variety of sources including customers and fellow workers.
- ✓ Feedback is critical to the success of any appraisal, informing the appraisee of the results of the appraisal and helping them to achieve their future objectives.

2.4 Ineffective appraisals

- ✓ Many appraisals turn out to be ineffective. Common problems include:
 - Confrontation – between the parties involved
 - Judgement – appraiser takes a biased approach
 - Informal chat – lacking purpose
 - Bureaucracy – a form filling exercise – no real worth
 - Annual event – annual targets may be irrelevant after 3-6 months so rendered meaningless
 - Focus on recent events – as opposed to the whole period under review

2.5 Rewarding good performance

- ✓ Usually a clear link between an employee's appraisal and any rewards earned by that employee.
- ✓ The purpose of a reward system is to provide a transparent, fair and consistent system for motivating and rewarding employees.
- ✓ Financial or non-financial in nature.
- ✓ Intrinsic (management praise) or extrinsic (pay/bonuses/promotion).

2.6 Performance-related pay (PRP)

- ✓ Where payments can be linked directly to an employee's individual performance.
- ✓ Financial rewards might be the payment of a fixed amount per unit produced or a salesman earning a commission for each sale made.
- ✓ Performance-related pay may be applied on a wider scale, for example a bonus paid as payment for meeting stated objectives.
- ✓ The objectives used in the context of PRP should be SMART (specific, measurable, achievable, realistic and time-bound).
- ✓ Any objective tied to PRP must be within the employee's control.
- ✓ A danger that employees will focus on the objective(s) tied to PRP and neglect their contribution to other objectives that may actually be more important to the organisation.

2.7 Profit-based approaches

- ✓ The reward is dependent on the profits of the firm or division and can again be financial or non- financial in nature.

- ✓ A common example is a year-end bonus equivalent to a percentage of an employee's basic salary.
- ✓ A common problem of such schemes is those individuals who feel too "distant" to influence profits.
- ✓ Avoid short-term decisions being made to the detriment of the long-term profits e.g. cutting back on marketing expenditure.

2.8 Equity-based approaches

- ✓ Staff are given direct interest in the company's financial performance via shares or share option schemes.
- ✓ These schemes normally tie the employee into the company for a number of years before the reward can be earned, thus promoting an interest in the long-term growth of the company's profits and share price.

2.9 Non-financial rewards

- ✓ Many employees respond well to non-financial rewards just as effectively as more tangible financial benefits. Examples include:
 - Flexible working
 - Car parking space
 - Additional holiday
 - Bigger office
 - Improved job title
 - Recognition and praise. For example – 'employee of the month'.

3 Managing poor performance

- ✓ When employee performance is poor, it will be necessary to manage this with a view to:
 - Improved performance by the employee (considered the most desirable outcome)
 - Termination of contract by the employer (considered the least desirable outcome)
- ✓ The employee has legal protection against simply being 'let go', so the employer is required to follow management processes to allow the possibility of improved performance prior to dismissal (except for gross misconduct).

3.1 Disciplinary procedures

- ✓ Organisations are entitled to enact formal disciplinary procedures against employees under a range of circumstances. The most common ones are:
 - Breach of regulations (e.g. health and safety)
 - Absenteeism
 - Poor timekeeping
 - Improper conduct (e.g. swearing, bullying, aggressive behaviour)
 - Refusing to carry out a legal and reasonable order

- Inappropriate behaviour away from work that may appear to discredit the employee and the employer.
- ✓ In the UK, the Advisory, Conciliation and Arbitration Service (ACAS) promotes and facilitates best practice in employer/employee relations. Their advice is to consider the following:
 - **Conciliation:** parties meet for informal discussion to resolve dispute
 - **Mediation:** provide a mediator to hear dispute and make recommendations
 - **Arbitration:** help appoint an arbitrator who will make a binding ruling
- ✓ Best practice for the effective management of disciplinary matters includes:
 - In writing
 - Non-discriminatory
 - Avoid undue delay
 - Respect confidentiality
 - Investigate allegations before taking action
 - Provide all evidence to employee before hearing
 - Set out possible outcomes
 - Allow employee to present their case
 - Allow employee to be accompanied by a colleague or union representatives
 - Explain consequences of outcome
 - Summary dismissal only allowed for gross misconduct
 - Allow, and provide procedure for, appeal

3.2 Grievance procedures

- ✓ The organisations grievance procedure is used by the employee against the employer if they believe they have been unfairly treated or asked to perform their role contrary to the terms of their contract of employment.
- ✓ A typical grievance procedure could involve:
 - The individual sounding out a colleague or an employee representative
 - The individual raising the issue with their line manager (unless the issue involves the line manager, in which case likely raising with the line manager's manager or a member of the Human Resources department)
 - If unresolved, referring the matter to a higher manager and the human resources department
 - Following the organisation's internal grievance procedure that would likely involve meetings including both parties and their representatives, and HR staff
 - If unresolved, investigating alternative dispute resolution processes (arbitration, conciliation)
 - As a last resort, going to an industrial tribunal.

3.3 Mentoring and coaching

- ✓ Mentoring and coaching is often defined as *“the dissemination of skills, experiences, guidance, advice and support by a more senior or experienced member of staff to a more junior or inexperienced colleague with the aim of equipping the recipient with knowledge that will aid their own development and progression”*.
- ✓ An effective mentoring and coaching scheme can deliver benefits to both the employee and the employer:

Benefits to the employee:	Benefits to the employer:
Knowledge, technical and behavioral improvements	Higher levels of productivity due to improved employee motivation
Clearer career progression	Greater levels of staff retention and employee morale
Developing skills to be able to network and influence a broader scope of people	Helps with succession planning
Development of self-confidence and a feeling of belonging	Improves the dissemination of management initiatives and strategic objectives
Motivational and empowering	The timelier resolution of potential disputes

4 Other workplace considerations

- ✓ Management need to be aware of additional legal considerations when managing their human resources. These include:
 - The Health & Safety at Work Act 1974
 - Equality Act 2010
 - Unfair Dismissals Act 1977
 - EU Directives. For example – maximum working week.

5 Organizational culture and values

- ✓ Organisational culture may be defined as the specific collection of values and norms that are shared by people and groups in an organisation and that control the way they interact with each other and with stakeholders outside the organisation.
- ✓ Thomas Handy defined culture as *“The way we do things round here”*.
- ✓ Organisational values are beliefs relating to the goals an organisation should pursue, and the way in which organisational members should behave when pursuing these goals.
- ✓ Culture will influence whether employees feel empowered and whether there is alignment between company objectives and individual employees' objectives.

5.1 Why culture is important?

- ✓ A favourable organisational culture can have advantageous outcomes. However, a strong or even dysfunctional culture can have very severe negative implications:

Advantages of a strong culture:	Disadvantages of a strong culture:
+ drives innovation and delivers synergies	- can prove hard to change and adapt
+ good for staff retention and attraction	- may result in vertical and horizontal conflict
+ helps with motivation and productivity	- can result in a fear/bullying culture
+ can be a source of competitive advantage	- can add to workplace stress and employee anxiety

5.2 Examples and evidence of culture in the workplace (Schein)

- ✓ **Artefacts:** Obvious, visible symbols of an organisation's culture
- ✓ **Values:** What is important in the organisation
- ✓ **Assumptions:** The deepest level of cultural awareness that determines behaviour
- ✓ **Norms:** Unwritten guidance on how people should behave in a given situation

5.3 Organizational iceberg

- ✓ The iceberg refers to two levels of culture, Formal (visible) and Behavioural (hidden).
- ✓ Formal, visible aspects of culture (*above the water*). Common examples include:
 - Structure
 - Mission
 - Goals
 - Technology
 - Procedures
- ✓ Behavioural, hidden aspects of culture (*below the water*). Common examples include:
 - Values
 - Attitudes
 - Style
 - Feelings
 - Beliefs
 - Communication patterns

6 CASE STUDY SMART

- Be prepared to be able to apply the Balanced Scorecard to your particular case study, and more specifically recommending SMART performance measures for each perspective.

- Be prepared to be able to explain how to assess employee performance in the workplace, and then methods to reward good performance and resolve poor performance.
- Be prepared to explain the benefits to both the employee and the employer of mentoring and coaching.
- Be prepared to explain the impact that culture can have on organizational performance.

7 Real case study examples

- ✓ August 2019 Variant Two examination:

Scratch Pad Calculator

Reference Material

Pre-seen

A week later, Loni Drew asks you to into her office. she shows you a document.

"I have brought you an extract from our passenger feedback for the MV Gloriant's most recent Winter season. As you know, we ask passengers to respond to statements on a five-point scale, where five is the most favourable response.

I need you to draft a paper covering two points for me.

- Firstly, explain the difficulties associated with setting prices for the 2019/20 Winter season, evaluating whether target costing would be a useful basis for setting the prices for those cruises that will be offered on the MV Southern Queen.
- Secondly, the Board has decided that the MV Southern Queen will be operated in a manner that matches the expectations of passengers from the Eastern Ocean region. Explain the challenges for Cruisecalm in establishing such a culture aboard this ship and recommend responses to those challenges."

- ✓ August 2019 Variant Five examination:

Scratch Pad Calculator

Reference Material

Pre-seen

Loni Drew, Cruisecalm's Senior Financial Manager, stops by your workplace and hands you a document.

"Please read this draft proposal. I need your help to prepare an evaluation of two aspects of this proposal.

- Firstly, to what extent could the relocation of the administrative functions affect the primary activities in Cruisecalm's value chain?
- Secondly, what are the challenges associated with making the current administrative staff redundant and how might we manage those challenges?"

✓ May 2019 Variant One examination:

 Scratch Pad  Calculator

 Reference Material

 Pre-seen

It is three months later, and development work on Site Two has commenced. site Two will operate as a smaller replica of the main site, performing the same functions except for timber cutting which would continue to be performed at the main site only. The Finance Director, Carla Holm, has called you into her office.

"Good morning!

I am looking at how to account for the new machinery we have leased during our expansion. Theo has emailed me, asking me to keep the accounting for these leases as simple as possible. He doesn't want to capitalise the machines in the statement of financial position together with any associated liability and would simply like the annual payments to go through the statement of profit and loss. I can't remember if it matters how we account for these leases.

Please investigate this matter and email me to advise whether it would be acceptable to account for our new machines through the statement of profit and loss only, and not capitalise them in the statement of financial position with their associated liability.

Also, as you are aware, we will recruit 50 new members of staff to support our expanded activities. They will work both at the original site and the new site.

Please advise how we can communicate with and train new members of staff to get them up to speed with Jord ways of working.

Finally, please outline the factors we should consider when setting performance targets for Site Two when it is operational."

Chapter Six

– Managing relationships effectively

1 Teams

- ✓ Teams are often defined as “a group of individuals who share a common purpose and goal”.
- ✓ Common characteristics of effective teams include:
 - A sense of identity.
 - Accepted roles.
 - A shared loyalty.
 - Established (formal and informal) relationships.
 - Complimentary skills.
 - Accepted and shared standards of behavior.
 - Success and synergy.

1.2 Stages of Team Development

- ✓ Tuckman’s Four Stages of Team Development
 - 1. Forming
 - The individual team members meet for the first time.
 - Members introduce themselves and learn about others.
 - Participants behave professionally, and with a sense of formality.
 - 2. Storming
 - Different ideas start to compete for attention, with contributions being more forcefully challenged.
 - Members may start to develop alliances and preferences for other team members.
 - Conflict is not unusual, and some team members may find this uncomfortable.
 - 3. Norming
 - Members begin to “settle-down” and they agree rules, acceptable behaviors and working practices.
 - Motivation increases, and collaboration seems more fluid and natural.
 - Team roles are established, and a mutual level of trust is now present.
 - 4. Performing
 - This is the ideal phase in Tuckman’s model, with productivity and output at its maximum.
 - Strong interdependencies now exist, and team members are competent and comfortable with decision making.
 - Conflict may arise but it is dealt with in an effective and non-disruptive manner.

1.3 Managing effective teams

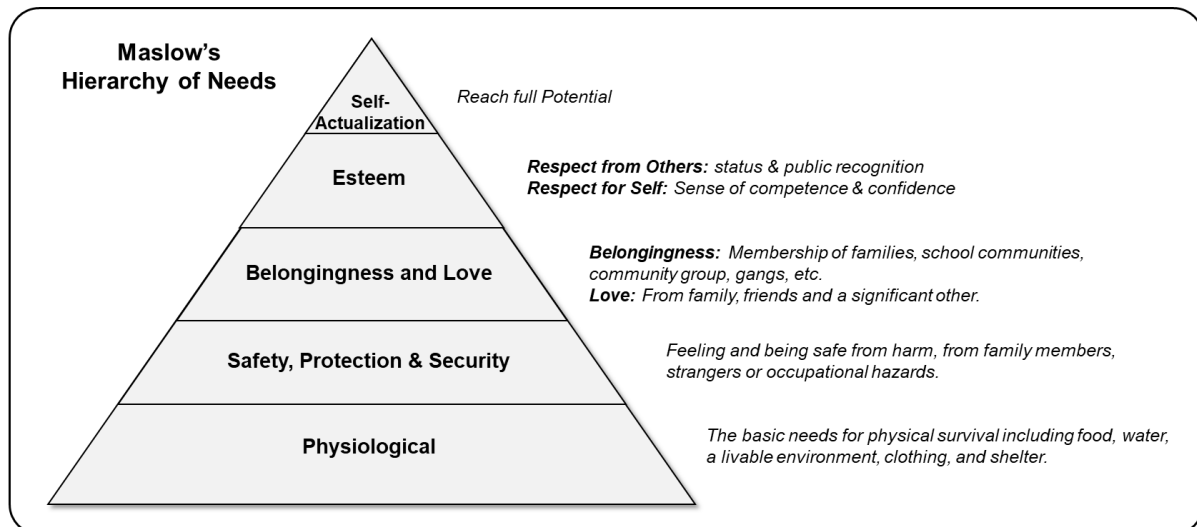
- ✓ The challenge management face is to get teams to the performing stage as quickly as possible (and then keep them there).
- ✓ Methods of developing high performing teams include:
 - The use of financial and non-financial incentives linked to performance.
 - Pro-actively employing team players through the use of recruitment and selection techniques.
 - Defining roles and objectives to speed up the “forming” and “norming” stage.
 - Introduce competition between teams.
 - Appoint a team with the correct balance of skills and attributes. Consider the use of Belbin’s “Nine Roles in Effective Teams” to assist with this.
 - Employ the use of formal and informal team building techniques, such as away days and staff social events.
 - Provide objective and timely feedback, encouragement and praise.
- ✓ Common problems with teams include:
 - Conflict between team members, or between two different teams.
 - This could become dysfunctional and could lead to sabotage.
 - Poor leadership and poor motivation (leading to absenteeism and missed targets).
 - The dominance of the team by one or more people.
 - The development of a “blame culture”.
 - Poor communication and issues left unresolved.
 - The Abilene Paradox (the reluctance by team members to rock the boat)

2 Motivation

- ✓ There is a clear link between employee motivation and the achievement of value. As such, the motivation of employees should be a senior management priority.

2.1 The theory of motivation

- ✓ **Abraham Maslow** was a key contributor to the theory of motivation.
- ✓ His model “*The Hierarchy of Needs*” put forward the concept that individuals have a range and set of needs that could be arranged in a hierarchy.
- ✓ Maslow claimed that when one level of the hierarchy was satisfied, individuals would become interested (motivated) in an alternative range of motivating factors.



- ✓ **Frederick Herzberg's** model "*The Dual Theory of Motivation*" identified those factors that led to job satisfaction (motivators) and those that could lead to job dissatisfaction (hygiene factors).
- ✓ Hygiene factors led to dissatisfaction is not present in the workplace. These included:
 - Safe working conditions.
 - A fair salary.
 - A clean and adequate working environment (including facilities).
- ✓ Motivating factors led to improved job satisfaction and levels of motivations. These included:
 - Clear career progression.
 - Delegation, recognition and praise.
 - A broader set of financial and non-financial terms and conditions.
- ✓ Herzberg recommends that organizations should maintain acceptable hygiene factors but motivate employee through a system of job redesign. This could include:
 - Job rotation: move employees to different roles to prevent boredom and to help develop new skills.
 - Job enlargement: widen the number of tasks for each employee at the same level under the individuals' control.
 - Job enrichment: deepen the employee's tasks through delegation and autonomy.
- ✓ **Douglas McGregor** put forward the idea of "*Theory X and Theory Y*" workers.
- ✓ Theory X workers have an "inherent dislike for work". To help with motivation these individuals respond well to:
 - Performance linked to financial rewards (greater rates of basic pay and bonuses).
 - Clear structure and instructions from management.
 - Targets and measured productivity.

- ✓ Theory Y workers find work “as natural as rest and play”. To help with motivation these individuals have a broader set of motivating factors and respond well to:
 - Being allowed to manage their own workload through self-control and self-direction.
 - Being delegated responsibility and autonomy.
 - Regular feedback, encouragement and praise.

2.2 The application of motivation in the workplace

- ✓ It is generally accepted that workers now demand and respond well to a comprehensive package of workplace employment. This could include:
 - A competitive salary.
 - A clear and fair bonus and reward scheme.
 - Regular appraisals and feedback.
 - Flexible working (flexitime, annualized hours, working from home etc.).
 - Clear career progression.
 - Training and development opportunities.
 - Exposure to cross-functional / departmental challenges.
 - The opportunity to network and collaborate with other professions/departments.
 - The opportunity to fulfill personal goals through the arena of work.

3 Effective communication in the workplace

- ✓ Effective communication can and does contribute to the success of an organisation. Very often the meaning and content of communication is lost due to “noise” and disruption.

3.1 Barriers to effective communication

- ✓ These can include:
 - Language or local-dialect issues.
 - Non-verbal communication (body language, tone pitch of delivery).
 - Practical delivery issues (timing differences).
 - Reliability of the delivery medium (video conferencing)
 - Cultural differences (acceptability of language and terms).
 - Interpersonal relationships (power struggles)
 - Assumptions about the counter-parties ability or understanding.
 - Interruptions and other environmental distractions.

3.2 Developing listening skills

- ✓ Listening, and listening well, is an integral part of being able to communicate. Employees should try to improve their listening skills by:
 - Making time to listen to subordinates and colleagues.
 - Avoid distractions and think about an appropriate location to listen to issues to respect the confidentiality of the content of the discussion.
 - Summarize what you’ve heard to check you have understood properly.
 - Do not judge, instead try to show empathy.
 - Encourage two-way conversation and do not dominate the discussion.
 - If appropriate document what you have been told/discussed.
 - Suggest referral to third parties if suitable.

- Discuss the support that can be offered, and by whom and when.
- Acknowledge the priority/urgency of the issue.
- Agree to follow up, and what action has been agreed.

4 Negotiation

- ✓ Effective negotiation is often defined as *“a process of communication with the objective of reaching a mutually beneficial and satisfactory agreement with one or more parties.”*
- ✓ A typical negotiation process follows *four* steps:
 - Step One: Preparation phase (be clear on desirable outcomes for all those involved).
 - Step Two: Opening phase (set out clearly your own desired outcome).
 - Step Three: Bargaining phase (compromise and concede).
 - Step Four: Closing phase (document agreement and each parties' obligations)
- ✓ Effective negotiators (and influencers) are said to have a range of equally important “hard” and “soft” skills and attributes.
- ✓ Hard skills could include:
 - The authority to make and reach agreement.
 - The ability to plan and prepare.
 - The ability to “bargain hard” and to be assertive.
 - Skills and experiences from a range of professional disciplines. For example – finance, human resources and project management.
 - The ability to disseminate large volumes of sometimes conflicting information and positions.
- ✓ Soft skills could include:
 - Excellent interpersonal and communication skills.
 - The ability to build rapport with the counterparty.
 - The willingness to concede and compromise eloquently.
 - The ability to show respect and professional courtesy.
 - The ability to stay focused and calm during periods of conflict during the process.

5 Conflict

- ✓ It is widely accepted that conflict is an inevitable and inherent part of organizations.
- ✓ The challenge that management face is to promote constructive conflict and prevent destructive conflict.

Constructive conflict:	Destructive conflict:
+ challenges the status quo and can lead to new and improved ways of working	- may lead to dysfunctional behavior

+ may actually help encourage competition and productivity	- leads to a fall in motivation, productivity and ultimately profit
+ challenge and scrutiny may help drive innovation and greater product and service specification	- can be time consuming and expensive to resolve
+ develops individuals communication skills and their ability to cope well under pressure	- can cause adverse damage to the organization's reputation
+ may contribute to a culture that attracts certain employees, and helps retain existing members of staff	- may lead to poor staff retention and problems with attracting potential employees

- ✓ There are two broad types of organizational conflict:
 - **Vertical conflict:** this is conflict between different levels of the hierarchy. For example – senior management and more junior employees.
 - **Horizontal conflict:** this is conflict between people/departments on the same level. For example – conflict at board level or interdepartmental conflict.
- ✓ Sources and causes of conflict can be widespread. Common examples include:
 - Previous history and regularity of conflict.
 - Lack of goal congruence.
 - Competition for scarce resources.
 - Lack of clear and informative information (leading to misunderstandings).
 - Unfair rewards and promotions.
 - Cultural differences between employees.
 - Suspicion of management intentions and desired outcomes.
 - Reluctance to embrace change.
 - Conflicting preferences and objectives. For example – between trade unions and senior management.

5.1 Dealing with conflict

- ✓ Thomas-Kilmann suggested potential ways to deal with organizational conflict:
 - **Avoiding style:** withdraw from conflict or deny its existence. The goal could be delay, so it may be successful if it allows tempers to cool and protagonists to reflect on their position. However, ignoring the conflict may not be possible indefinitely.
 - **Competing style:** the goal of individuals is to 'win' by promoting their own interests and not co- operating. This often results in a situation where some people win, others lose and the organisation is damaged. It may be necessary in a crisis, where the issue is critical or assertiveness is required, e.g. where a new manager is setting out his or her stall.
 - **Accommodating style:** the goal is to put the other party's interests first. However, communication issues may mean that both parties are

unhappy with the outcome. It may be necessary if the relationship or task is critical and/or the accommodating party has low power.

- **Collaborative style:** the aim is to find solutions that benefit both parties, a win-win situation. It works best if sufficient time is available and the protagonists are open, honest and want to work together.
 - **Compromising style:** the objective is to locate the middle ground with each party giving up something. What is given up may be valuable, however. It works when the relationship is more important than the issue.
- ✓ Alternative approaches of managing conflict include:
- Counselling.
 - Coaching.
 - Mediation.
 - Team building.
 - Physical separation of those involved.

6 CASE STUDY SMART

- The topics in this chapter are key parts of the E2 syllabus that are very likely to be tested in the real case study exam.
- Remember that the case study is NOT a test of your academic ability to remember and quote theories.
- Instead, the case study exam will test your own ability to be able to apply these concepts to the effective management of an organisation.
- For example, the theory of motivation is unlikely to be tested. However, how we can use the theory to generate practical ideas in the workplace is what the examiner will examine. This serves as a good example between the theory, and your own ability to be able to apply that theory.

7 Real case study examples

- ✓ August 2019 Variant Three examination:

 Scratch Pad
  Calculator

 Reference Material

 Pre-seen

A month has passed, Loni Drew invites you into her office. She hands you a document:

"As you know, the Board has decided to convert a ship for use on low-cost budget cruises, with the work due to commence soon so that the ship will be ready in time for the 2020 cruise season. I had a meeting today to discuss progress with Danny Perera, Director of Marine Operation and Mavis Omaboe, Director of Marketing.

Danny has offered to convert MV Concourse into a budget cruise liner. That is partly because the ship is due to go into dry dock for maintenance and so she is already going to a shipyard, which will save the cost of taking a ship out of service and sailing her to the conversion.

Mavis is unwilling to accept Danny's offer of the MV Concourse because she is one of CruiseCalm's oldest and smallest ships. Also, the fact that the ship is booked into dry dock for maintenance could delay the start of the modification work. Mavis is keen to use a much newer ship that could be operated economically and reliably without compromising on passenger comfort.

Mavis was also unhappy with me. I have printed out the current annual budget for the MV Concourse, which is based on her original role as a conventional cruise liner. I intend to use this document to benchmark the ship's costs and revenues once she becomes operational as a budget cruise liner. Mavis believes that any such comparison would demotivate the management team who will be made responsible for operating budget cruises at a profit.

I need you to draft a paper that deals with two matters:

- Firstly, how would you recommend that we resolve the conflict between Danny and Mavis concerning the choice of ship for conversion?
- Secondly, evaluate Mavis's argument concerning benchmarking costs and revenues of the budget liner against those of one of CruiseCalm's conventional ships."

✓ August 2019 Variant Four examination:

 Scratch Pad
  Calculator

 Reference Material

 Pre-seen

A week later you are representing Finance at a meeting that has been called to discuss the implications of customer feedback.

Bradley Chung, Marine Operations (in chair)	I have printed out a passenger's response to a satisfaction survey from a recent cruise. I think it may make more sense to study some specific feedback rather than look at statistics. It is standard procedure to pass negative responses to the customer service team for their comments.
Taylor Higgs, Hotel Operations	To what extent would Total Quality Management (TQM) help us to address complaints similar to those voiced by Mr Jones?
Bradley Chung (turning to you)	Please draft a response to Taylor's question immediately after this meeting.
Veronica Patel, Marketing	The customer service response to Mr Jones's comment is indicative that many passenger complaints can only be reverted if all Hotel Operations Department staff from Food, Housekeeping, Guest Services and Entertainment are prepared to cooperate and work together as a team. <u>What challenges would we face in bringing that about and how might we address those challenges?</u>
Bradley Chung (turning to you)	Let's go round the table and discuss Veronica's question starting with you.

✓ May 2019 Variant Five examination:

 Scratch Pad  Calculator

 Reference Material

 Pre-seen

It is now 9 months later. The showroom was set up three months ago and the first quarterly performance report for the Ustarian sales office as just been published. Carla Holm, the Finance Director has just sent you the following email.

From: Carla Holm. Finance Director
To: Finance Manage
Subject: Ustarian Showroom-Quarterly performance report

Hi,

You will probably have seen the first quarterly performance summary for the Ustarian showroom I've not had time to look at it in any detail but Theory has just called me to say that he is concerned that it has not got off to a particularly successful start. I'm meeting with him later today to review this performance summary and to consider any actions we think we may need to take to improve performance. As Eva Edberg, our Human Resource Officer is currently taking maternity leave, I am also tasked with considering any Human Resource issues, until she returns.

I need your assistance on this. Please prepare me a briefing paper which explains:

1. the results of the key performance indicators (KPI's) for the Ustarian sales showroom, suggesting reasons why these variances may have occurred.
2. which activities of our value chain we should focus on to increase sales in Ustaria and, which Human Resource Management (HRM) activities we could undertake to assist in improving sales team motivation and performance.

Thank you

Chapter Seven

– The Effective Delivery of Projects

1 Projects

- ✓ A project is often defined as “a one-off endeavour to achieve a specific objective”.
- ✓ A typical project includes:
 - The project stakeholders
 - The resources necessary to complete the project
 - A timescale agreed for completion
 - Quality requirements
 - The risk attached to the project
- ✓ It is useful to distinguish a project from “repetitive operations” which is the normal day-to-day operational business of an organisation. Distinguishing features include:
 - A project is normally geared towards a one-off event and follows a plan towards that event
 - Defined start and end time (i.e. a temporary process)
 - A project may include non-routine/specialist work
 - A project will normally have cost/budget constraints
 - Employees are drawn from different functions
- ✓ A project may be the means which an organisation implements strategic decisions, so there may be a sense in which a project is implemented to achieve the specific objective of change to repetitive operations.
- ✓ Projects also require cross-functional collaboration.
- ✓ “Project management” is the term given to the process undertaken to ensure that a project is completed on time, to budget and to the agreed quality standard.
- ✓ A project will be judged as being delivered successfully if it meets three criteria:
 - Time: was the project completed and delivered by the pre-agreed deadline?
 - Quality: does the finished project deliver the project specifications and quality expectations?
 - Cost: was the project delivered on/within the pre-agreed budget?

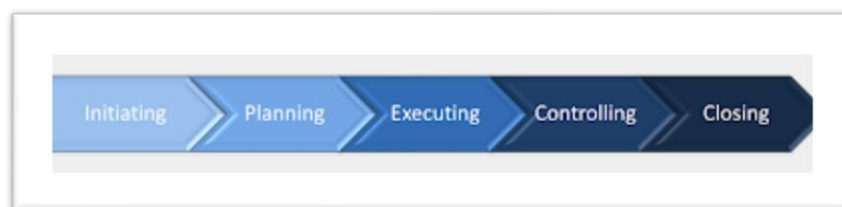
1.2 The *nine* “knowledge areas” of project delivery

- (1) Project Integration Management – processes for ensuring that the elements of the project are properly co-ordinated.
- (2) Project Scope Management – processes for ensuring that the project only includes the work required to complete the project successfully.

- (3) Project Time Management – processes for ensuring completion of the project on time.
- (4) Project Cost Management – processes for ensuring that the project is completed within the approved budget.
- (5) Project Quality Management – processes for ensuring that the project will satisfy the necessary quality standards.
- (6) Project Human Resource Management – processes to ensure that staff are appropriately trained and motivated.
- (7) Project Communications Management – processes to ensure that information is distributed in a timely and structured way.
- (8) Project Risk Management – processes concerned with the identification and management of risk.
- (9) Project Procurement Management – processes for acquiring goods and services.

2 Delivering successful projects

- ✓ A survey in 2001 found that of the projects that failed (were late, were over-budget, or were not delivered to the required level of quality), 90% failed due to poor management and planning.
- ✓ To help meet the challenges of successful project management, a number of tools and techniques have been developed to assist in the delivery of effective projects.
- ✓ One such model to use was developed by The Project Management Institute and is known as “*The Project Management Body of Knowledge*”.
- ✓ An adaption of their model – and the stages involved - is reproduced here:



- ✓ ***The real case study exam is likely to test your ability to describe and apply the various activities and tasks that might be employed at each stage of this model.***
- ✓ It is important to note that the various activities described below may run across more or one stages of the above model.

2.1 Initiation

2.1.1 Project initiation document

- ✓ A format similar to a report that briefly details the scope of the project, and what the project intends to achieve and deliver. A typical content might include:
 - The specific objectives and purpose of the project.
 - The project stakeholders, and more specifically who the project sponsor is and how the project is to be funded.
 - The specific details of the timescales, the costs involved, and the expectations (quality) of the various stakeholders.
 - A risk assessment and how the perceived risks will be mitigated.

2.1.2 Feasibility studies

- ✓ Before any project should formally commence, a variety of feasibility studies should be undertaken. These include:
 - **Financial:** does the organisation have (or can access) the required investment to support the project?
 - **Economy:** has a diligent investment appraisal been conducted? Will the project deliver value to stakeholders?
 - **Social:** will this project be acceptable and encouraged by existing employees? Will other pressure or environmental groups raise concerns and resistance?
 - **Technological:** does the organisation have the required information technology and other assets and resources to deliver the project?

2.1.3 Project stakeholders

- ✓ An effective project can only be delivered with the successful collaboration of a number of project stakeholders:
 - **Project Sponsor:** the individual/group/organisation that is underwriting and funding the project. This very often involves a consortium of groups with the ability to provide significant capital investment.
 - **Project Owner:** the individual/group/organisation that is delegated ownership of the project and accepts responsibility for the project delivery.
 - **Project Manager:** a named individual who is appointed by the project owner as a figurehead to achieve the projects objectives.
 - **Project Team:** a collection of multidisciplinary specialists that each bring a set of complimentary skills to deliver the projects objectives.

- **Project Customer:** the end-user of the project. The project customer is the recipient of the direct benefits of the project, but sometimes the project customer can be a “non-user” yet still enjoys many of the improvements a project can deliver.

2.2 Planning

2.2.1 Risk management

- ✓ Given the uniqueness of most projects they will inherently involve risk. The senior project stakeholders need to consider carefully how these risks should be managed. Appropriate risk management strategies could include:
 - **Transfer:** consider using insurance.
 - **Avoidance:** consider abandoning the project.
 - **Reduce:** consider using effective internal controls to manage the risk.
 - **Accept:** consider acknowledging the risks and continuing (could this present an ethical dilemma for management?).

2.2.2 Work breakdown structures

- ✓ A competent project manager would use work breakdown structures to help with the delivery of complex projects. These techniques are primarily designed to break large projects down into smaller, more manageable, assignments.
- ✓ Popular techniques include Gantt Charts and Critical Path Analysis (network diagrams).
- ✓ The benefits of using work breakdown structures include:
 - The manageability of very complex projects.
 - The ability to be able to produce more reliable delivery schedules.
 - The ability to plan the timing and deliveries of required raw materials.
 - The ability to plan the required human resources required.
 - The ability to manage cash flow requirements.
 - The ability to help the project manager prioritise.
 - The ability to spot “project slippage” (see below) and react accordingly.

2.3 Executing

- ✓ The “executing” stage of a project is perhaps the busiest and most stressful time of the project manager.
- ✓ The skills of an effective project manager include:
 - The ability to multitask, and delegate as and when appropriate.
 - The ability to assertively issue instructions and commands, and then expect the compliance and respect of the recipients.
 - The ability to manage the constraints of a project (time/cost/quality).
 - The ability to communicate effectively to a variety of stakeholders, including the delivery of unfortunate news.

- The ability to select and then develop a high performing project team.
 - The ability to manage and effectively resolve conflict between the project stakeholders.
 - The ability to be able to negotiate and liaise with suppliers and perhaps subcontractors working on the delivery of the project.
- ✓ The ability to be able to cope under pressure, and be flexible in how they respond to this pressure.

2.4 Controlling

- ✓ At this stage of the project the project manager will be under increasing pressure to ensure the project meets its objectives in respect of time, cost and quality.
- ✓ They may now realise (or accept) that project slippage – late delivery - is a potential outcome.
- ✓ Techniques to manage project slippage include:
- The establishment of “gateways” or “milestones” to track progress during the project.
 - Regular review and appraisal by internal audit.
 - Offer incentives to the project team (including bonuses or overtime).
 - Relocate resources from non-critical activities.
 - Source additional resources such as casual labour or leased plant.
 - Employ the professional services of a “troubleshooting” and turnaround team.
- ✓ Preparing progress reports to project stakeholders is an essential part of the controlling stage. The typical content of a project progress report is likely to include:
- The degree of completeness to date.
 - The amount of work yet to go to complete.
 - The costs incurred to date.
 - The likely costs to complete.
 - Details of any foreseen problems.
 - Any substantive problems and issues so far.
 - Any additional support required or requested.

2.5 Closing

- ✓ Immediately before the handover of the project to the project sponsor and owner there are several critical tasks that need to be completed. These could include:
- Compliance testing.
 - Accuracy and completeness testing.
 - Fire safety (and emergency evacuation) testing.
 - Staff competency testing.
 - Fraud prevention testing.
 - Contingency planning and digital disruption testing.

- ✓ A competent project manager will also prepare a “post-implementation review”, or may be required to complete a “post-completion audit”. The typical content of these documents could include:
 - An assessment of the final delivery of the project against the original project scope.
 - An audit of the project management tools and techniques, assessing their effectiveness.
 - An honest assessment of the contributions made by the various project stakeholders.
 - A thorough description of the problems incurred during the project, including what was the cause of these issues and how these were resolved.
 - A description of the lessons learnt from this project, and how these could be embedded into future project management.

3 The role of the Chartered Management Accountant in projects

- ✓ The role of the management accountant increasingly includes involvement in cross-functional project teams.
- ✓ The management accountant can contribute to project team in a number of ways. These may include:
 - Analysing and interpreting information to facilitate project decision making (this is of increasing importance with the rise of big data use)
 - Liaising with the project sponsor to justify additional project resource requirements
 - Cost-benefit analysis of the project proposal as part of the feasibility study
 - Budget and forecasts
 - Ensuring accurate recording of project costs (and revenues if applicable)
 - Monitoring against budget and investigating variances

4 CASE STUDY SMART

- In the real exam you are unlikely to be tested on the theory of project management.
- Instead, you are likely to be required to apply the various tools and techniques to your particular case study.
- Be prepared to discuss how you could manage stakeholder’s conflicting expectations.
- There is also considerable overlap with concepts in the previous chapter. For example – how the project manager might resolve conflict, or structure and motivate a project team.

5 Real case study examples

✓ August 2019 Variant Five examination:

Scratch Pad Calculator

Reference Material

Pre-seen

Six months have passed. Cruisecalm has acquired Angelo and plans to commence operations there soon.

Loni Drew stops by your workspace and hands you a newspaper.

"I suppose you have seen this news story. The fact that we have only just moved to islandia suggests that we will be under greater scrutiny Angelo effectively provides consultancy to its existing third-party clients, charging a fee for organising work from shipyards. It will provide Cruisecalm with the same service for our entire fleet.

I am also concerned about the changeover of the shipyard liaison arrangements for the maintenance of Cruisecalm's ships.

I need your advice on two matters:

- Firstly, explain how we should set our transfer prices between Angelo and Cruisecalm in order to minimise the risk of confrontation with the Islandian government.
- Secondly, recommend how we should organise the project team to facilitate the changeover from the present shipyard liaison department based in Norland to Angelo."

✓ May 2019 Variant One examination:

Scratch Pad Calculator

Reference Material

Pre-seen

It is one month later, and Jord has selected site Two for development. chief Executive officer, Theo Larsson has emailed you.

From: Theo Larsson Chief Executive Officer
To: Finance Manager
Subject: Terminology confusion

Thank you for your assistance while Carla has been ill. I need your help again please.

Before she was ill, Carla prepared some figures relating to each of the proposed sites. Based on the financial appraisal we have decided to develop Site Two(the undeveloped wasteland). However, I have just received an email from one of our institutional investors saying that they thought we should have chosen Site One because it needed less investment and that two of the three investment appraisal measures were better than for Site Two.

Please prepare an email that I can forward to the investor that explains why, from a financial perspective, Site Two is the correct choice and explains the relevance of each of the three measures Carla calculated.

Also, we now need to bring together a team of people to make this expansion happen. Although we are experienced in building houses, we are not experienced in expanding production! It is over 30 years since we set up our production facility and this is a big change for us.

So, the second thing I need you to do is to explain what project management tools and techniques the team can use to manage the expansion.

✓ November 2018 Variant One examination:

 Scratch Pad  Calculator Reference Material Pre-seen

As you are walking past Matthew Jones office one day, he calls you in, and says:

"Thanks for your help on the management briefing pack. I've been told that a decision has been made about the new automated production lines, as a result of both my input and from a financial perspective. I shortlisted it to three possible projects, and the final decision was made by David. As far as I'm concerned, all three were good, and would produce the same quality and efficiency of outcome required.

I'm meeting with David tomorrow and I don't want to appear ignorant, but I really don't understand how he's made the final decision. I thought present value was the best decision criteria to use so I would have chosen horseshoe layout automated manufacturing (HLAM) having looked at the running costs. Please explain to me why David has chosen streamlined manufacturing (SM) when applying the Equivalent Annual Cost method. What other factors should we consider in making this decision? The calculations are on that sheet of paper, over on that filing cabinet.

Also, while you're here. I know you were a deputy project manager in your previous role and you worked on the team that changed the accounting systems. I've been asked to manage this project, which makes sense, given that it is for a new production system, but I've never been as actively involved in such a large project before. The last automation project was managed by external consultants. I've been told project management tools are useful for large projects.

I'd be grateful for some help here, so please give me a little bit of guidance on how I could use them to help with planning the project. Thirdly, please guide me on any leadership issues I am likely to encounter whilst managing the project, alongside brief details of how these could be dealt with? I'm worried that the project team will include staff from different departments, as well as include some from Grapple and TigerFizz It's also expected to take more than six months from start to finish, although the contracted suppliers from Streamlined Manufacturing will carry out many of the design and installation activities."

Chapter One – Group Accounting

1 Introduction to Group Accounting

- ✓ Entities are allowed, and very often do, buy shares in other entities. These essentially are investments made by an investor in an investee.
- ✓ There are four types of relationships between these investors and the investees, each with different accounting treatments and rules.
- ✓ The following table summarizes these four investor / investee relationships:

	Relationship	Ownership	Accounting Standard	Accounting Treatment
1	Parent & Subsidiary	> 50%	IFRS 10 <i>Consolidated Financial Statements</i>	"Full consolidation"
2	Parent & Joint Venture	= 50%	IFRS 11 <i>Joint Arrangements</i>	"Equity accounting"
3	Parent & Associate	20 – 50%	IAS 28 <i>Investments in Associates</i>	"Equity accounting"
4	Parent & Trade Investment	< 20%	IAS 32 <i>Financial Instruments</i>	"Fair value accounting"

1.2 Parent and subsidiary

- ✓ In this situation, the investor is said to have a controlling interest over the investee.
- ✓ This is normally taken to mean – but doesn't have to be – that the investor has acquired more than 50% of the share capital of the investee.
- ✓ This relationship is more commonly known as "parent and subsidiary".
- ✓ IFRS 10 is the applicable accounting standard, and the accounting treatment is known as "full consolidation".

1.3 Accounting for Parent & Subsidiary relationships

- ✓ As the parent can exert control over the subsidiary, the parent is required to produce an additional set of financial statements. These are known as the Group or Consolidated Financial Statements.
- ✓ The purpose of this additional set of accounts is to present the group as if it was a single economic entity. These additional accounts are distributed to the parent's shareholders.
- ✓ Given the purpose of the Group Accounts, any intragroup or intercompany transactions need to be eliminated when preparing the financial statements.

- ✓ IFRS 3 *Business Combinations* also requires the recognition of goodwill, and a non-controlling interest (see later).

1.4 The Consolidated Statement of Financial Position (“balance sheet”)

- ✓ The basic principle is to consolidate (aggregate) 100% of the parents plus 100% of the subsidiary’s assets and liabilities on a line-by-line basis. This is the prescribed treatment even if the parent only actually owns say 80% of the shares of the subsidiary.
- ✓ The investment that would appear in the parent’s individual accounts does not appear in the group accounts and is instead replaced by goodwill.
- ✓ The equity section of the balance sheet is the parents only share capital and share premium, and the group retained earnings is the parents plus their share of the subsidiaries post-acquisition reserves.
- ✓ The non-controlling interest is presented just below the parent’s equity and reflects the part of the subsidiary that is technically owned by a third party outside of the group.

1.5 The Consolidated Statement of Profit for Loss

- ✓ The basic concept is the same as the balance sheet – all items of income and expense are aggregated together on a line-by-line basis - remembering to exclude any intragroup / intercompany transactions.
- ✓ If the subsidiary was acquired during the current trading period – perhaps exactly halfway through the year – the income and the expenses are time apportioned on a line-by-line basis to reflect only those results from when the parent had control.
- ✓ A non-controlling interest is again recognized to reflect the share of the subsidiaries profit (or loss) that is attributable outside of the group. This is presented at the very foot of the Profit or Loss Account in the “attributable to” section (see later).

1.6 Consolidation adjustments

- ✓ The purpose of this additional set of accounts is to present the group as if it was a single economic entity. As such, any intragroup / intercompany transactions must be eliminated upon consolidation.
- ✓ Common examples of intragroup / intercompany transactions:
 - Trading (where the parent sells goods to the subsidiary, or vice versa)
 - Outstanding current account balances (where the parent is owed money from the subsidiary from trading activities, or vice versa)
 - Outstanding loans (situations where the parent has lent the subsidiary money)
 - Dividends (paid by the subsidiary and recorded as investment income by the parent)

- The transfer of items of PPE or inventory at a profit that remains in the group at the year end.

1.7 Goodwill

- ✓ IFRS 3 *Business Combinations* defines goodwill as “the excess of the fair value of the consideration transferred over the fair value of the net assets acquired”. It essentially reflects any premium the parent may have paid over and above the fair value of what it acquired to gain control.
- ✓ IFRS 3 allows goodwill to be measured using either the proportionate/partial method or the full/fair value method (see later).
- ✓ In subsequent periods, goodwill is not amortized but is instead tested for impairment.
- ✓ The “excess of the fair value of the consideration transferred” is essentially what the investor (parent) paid to acquire its controlling interest in the investee (subsidiary). This investment can be facilitated using a combination of different methods:
 - Cash at acquisition date
 - Deferred consideration (an unconditional amount in the future)
 - Contingent consideration (a conditional amount in the future dependent on a performance criterion being met and then multiplied by the likelihood of payment)
 - Share exchange (the investor will issue their own shares to the existing owners of the subsidiary to get them to relinquish control. More simply, they will ‘pay’ for the investment in shares rather than cash)
 - (The deferred and contingent consideration are due to be paid at some point in the future they are discounted back to their present value using the formula $1/(1 + r)^n$ with r being the parents cost of capital and n being the number of years that the payment is due)
- ✓ The “fair value of net assets acquired” is essentially what the subsidiary is worth.
- ✓ If the subsidiary is measuring its assets using the historical cost model (which it is allowed to do) it must remeasure its assets to their fair value at the date of acquisition. This will lead to fair value uplifts that need to be factored into the consolidation process, remembering as well that uplifting assets will create the need for extra depreciation expenses to be recognized.
- ✓ The subsidiary may have some internally generated intangible assets – for example, a brand - that they are prohibited from recognizing in their individual accounts. However, these are allowed to be recognized in the group accounts. These are known as “intangible assets acquired by way of business combination”.
- ✓ The subsidiary may be disclosing some contingent liabilities in the notes to their own financial statements. Upon consolidation, these are brought “on balance sheet” and recognized as group liabilities. The effect of doing this is to reduce net assets, which increases goodwill.

1.8 Measuring Goodwill and the Non-controlling Interest (NCI) on the Consolidated Statement of Financial Position

- ✓ IFRS 3 permits two measurement techniques for goodwill and the non-controlling interest:
 - The proportionate / partial method, or,
 - The full / fair value method.
- ✓ The non-controlling interest represents the part of the subsidiary that the parent might not own. For example, if the parent owns 80% of the subsidiary it means there is a 20% non-controlling interest.
- ✓ The concept of “full consolidation” means the group consolidates 100% of the subsidiary’s income, expenses, assets and liabilities. The non-controlling interest acts as a reconciliation and reflects the fact that a small proportion of the subsidiary is technically owned by a third party outside of the group.
- ✓ The proportionate / partial method measures (values) the non-controlling interest at acquisition as their share of the subsidiaries net assets at that date (this includes shares at their nominal or face value). In subsequent periods the NCI is allocated their share of the subsidiaries post-acquisition reserves. If goodwill has been impaired, there is no allocation of this to the NCI under the proportionate method.
- ✓ The full / fair value method measures (values) the non-controlling interest at its fair value at the acquisition date. This is normally taken by using the market value of the subsidiary’s shares multiplied by how many shares the NCI holds. In subsequent periods the NCI is allocated their share of the subsidiaries post-acquisition reserves PLUS their share of any goodwill impairment (unlike the proportionate method).

Illustrative example:

Dave acquired 800,000 of Steve’s’ 1,000,000 \$1 shares 1st January 2016 when Steve had a revaluation reserve of \$17m and retained earnings of \$19m. Steve had an internally generated database of customer intelligence which an independent valuer valued at \$2m. There were fair value uplifts of \$3m that have not yet been adjusted for.

The consideration was settled by paying \$40m upfront and promising to pay a further \$30m in five years’ time.

Dave also committed to pay an additional \$20m in three years based on the achievement of a strict performance criteria. It is that strict that the directors believe there is only a 35% chance of actually having to pay it.

Finally, they issued 3 shares for every 2 acquired in Steve. The fair value of Dave’s share was \$70, and Steve’s were \$40.

In addition to the above, Steve is currently being sued by a customer and has disclosed a contingent liability of \$3m in respect of the claim.

Where appropriate Dave has a cost of capital of 7% and Steve 5%.

Required:

Calculate the goodwill and the non-controlling interest arising on the acquisition of Steve under:

- The full / fair value method, and,
- The proportionate / partial method.

Solution:

a) Goodwill (Full / Fair Value)			b) Goodwill (Proportionate / Partial)		
	investment	in		investment	in
Parent's subsidiary:			Parent's subsidiary:		
1. Cash @ acquisition		40,000	1. Cash @ acquisition		40,000
2. Deferred consideration (\$30m x 1/(1 + 0.07) ⁵)		21,390	2. Deferred consideration (\$30m x 1/(1 + 0.07) ⁵)		21,390
3. Contingent consideration (\$20m x 1/(1 + 0.7) ³ x 35%)		5,714	3. Contingent consideration (\$20m x 1/(1 + 0.7) ³ x 35%)		5,714
4. Share exchange (800,000/2 x 3 x \$70)		84,000	4. Share exchange (800,000/2 x 3 x \$70)		84,000
Fair value of consideration transferred		151,104	Fair value of consideration transferred		151,104
plus: Fair value of the NCI @ Acquisition (200,000 x \$40)			plus: NCI's proportion of net assets @ acq (20% x \$39m - see below)		
		8,000			7,800
		159,104			158,904
less: Fair value of the net assets acquired			less: Fair value of the net assets acquired		
Share capital		1,000	Share capital		1,000
Revaluation reserve		17,000	Revaluation reserve		17,000
Retained earnings		19,000	Retained earnings		19,000
Customer database		2,000	Customer database		2,000
Fair value uplifts		3,000	Fair value uplifts		3,000
Contingent liabilities		-3,000	Contingent liabilities		-3,000
Fair value of the net assets acquired		39,000	Fair value of the net assets acquired		39,000
GOODWILL @ ACQUISITION		120,104	GOODWILL @ ACQUISITION		119,904

1.9 Measuring the NCI on the Consolidated Statement of Profit or Loss

- ✓ The Consolidated Statement of Profit or Loss is also prepared using the concept of "full consolidation". This means that 100% of the income and expenses of the subsidiary are aggregated with the parents, remembering to eliminate any intragroup transactions.

- ✓ As such, the group accounts recognise all of the subsidiaries profits despite the fact it may only actually own 80%. As such, a non-controlling interest is included at the foot of the profit or loss to show the subsidiary's profit that is attributable to a third party outside of the group.
- ✓ The following calculation is used to measure (value) the NCI's share of the subsidiary's profit (or loss) for the year:

	\$'000
Subsidiary's profit for the period:	X
+ / - Common adjustments	
1. Any unrealised profit on intragroup sales (if the sub was the seller)	(X)
2. Any current year excess depreciation on fair value uplifts of property	(X)
3. Any current year impairments of goodwill (if full/fv method is being used)	(X)
<i>Subsidiary's adjusted profit (or loss) for the purposes of consolidation</i>	<i>X</i>
x Non-controlling interests %	X%
= Profit attributable to the NCI	X

- ✓ NOTE: If the parent only acquired the subsidiary mid-year (say, 6 months ago) the subsidiaries profit for the period (the first line in the proforma above) is time apportioned accordingly.

1.10 CASE STUDY SMART:

- In the real case study, you are NOT going to be asked to perform any calculations in respect of goodwill or the non-controlling interest.
- Past exam questions have instead required students to explain the general principles of IFRS 10 Consolidated Financial Statements, including the most common adjustments.
- Past exam questions have also required students to discuss the challenges that accurately measuring (valuing) goodwill and the non-controlling interest present, and how these challenges can be overcome.
- Past exam questions have also provided students with a working paper showing a correct goodwill and non-controlling interest calculation with students being required to prepare a written commentary and narrative explaining how the numbers have been arrived at.
- Past exam questions have also asked students to discuss the impact on the finance function of being required to prepare group and consolidated accounts for the first time.

2 Real case study examinations

✓ August 2019 variant five examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

A month has passed. You receive the following email.

From: Loni Drew, Senior Financial Manager
To: Financial Manager
Subject: Potential acquisition

Hi,

Please find attached a scanned copy of a letter.

Cruisecalm's Board is interested in acquiring Angelo Ocean Logistics (Angelo), a ship management company that could liaise with the shipyards that build and maintain Cruisecalm's ships. Angelo would then be responsible for scheduling when, and where, our ex the design and construction of any new ships that we commission. This work requires specialist knowledge and experience believe that it would be better to acquire a going concern.

Once acquired, Angelo will continue to serve its existing clients, but it will also manage all of Cruise calms requirements. We may continue to use shipyards in Norland, but Mr Llosa believes that we should consider using islandian yards for some of the work, because they can offer high quality work at a low cost.

Angelo owns property overlooking the main dock in Islandia. There is sufficient spare land for us to consider building a new office to house the of our administrative team to relocate our administrative functions from Norland.

I need a briefing paper from you that covers the following:

- Firstly, what are the challenges associate with determining the goodwill associated with this acquisition and how might they be overcome? We will value the non-controlling interest at fair value.
- Secondly, identify factors that would have a significant impact on the evaluation of this investment and explain how they would affect future cash flows arising from Cnuiseralm's ownership of Angelo.

✓ November 2018 variant one examination:

 Scratch Pad  Calculator

 Reference Material

 Pre-seen

David asks you to come to his office for a meeting.

Hi,

We are at the next stage of the process with TigerFizz. By utilising our cash reserves and some debt we will be looking to make the offer soon and the likely asking price will be Z53m. The board has accepted that the acquisition may be beneficial financially but raised some concerns which we have been asked to consider before we commit to any costs.

The first is that we have concentrated on the numbers. Roger, as you know, is risk averse. He raised his concerns at the most recent board meeting:

1. What if TigerFizz continues to perform below expectations for the foreseeable future?
2. What if interest rates rise from the current 3% to 3.5%?

I would like you to draft a briefing paper which I can deliver to Roger to explain to him how these two risks would be mapped and then recommend how they should be managed.

Roger's other concern is about the effect that this acquisition will have on Grapple's financial statements. I have explained the basic concepts of consolidated financial statements to him and he is happy with that. When I tried to explain fair value adjustments in relation to the acquisition of the assets, he looked confused, so I've agreed to write him a brief explanation. I've not got time to do this, so I need you to do it for me. We understand from preliminary discussions that the only assets this is likely to affect are land, and TigerFizz's brand name. For reference the figures are:

	Carrying value Z\$m	Fair value Z\$m
Land	0.9	1.6
Brand name	Nil	1.1

The brand name is not currently recognised in TigerFizz's financial statements as it has been generated internally. its useful life is expected to be 25 years.

Additionally, in your briefing paper, please explain what fair value adjustments are and the effect these will have on the consolidated financial statement.

3 Parent & Joint Venture

- ✓ In this situation, the investor is said to have joint control over the investee.
- ✓ This is normally taken to mean – but it doesn't have to be – that the investor has acquired 50% of the share capital along with another investor who also owns 50%. (Technically though, if four investors all had 25% each, they would still have joint control and the investee would be a joint venture).
- ✓ The relationship is more commonly known as “parent and joint venture”.
- ✓ IFRS 11 is the applicable accounting standard, and the accounting treatment is known as “equity accounting”.
- ✓ Equity accounting is only used if the parent is already preparing group / consolidated financial statements because they have one or more subsidiaries already.

3.1 Accounting for Parent & Joint Venture relationships

- ✓ As the parent does not have a controlling interest (instead they have joint control) the concept of “full consolidation” does not apply.
- ✓ This means that the parent does NOT aggregate all items of income, expenses, assets and liabilities.
- ✓ There is no recognition of any goodwill, or a non-controlling interest. This only applies in a parent and subsidiary situation.
- ✓ IFRS 11 Joint Arrangements instead requires the parent to following “equity accounting” to reflect its investment in its joint venture. This means that the Consolidated Statement of Financial Position has one extra line added called “Investment in Joint Venture” and the Consolidated Statement of Profit or Loss also has one extra line added called “Share of Joint Ventures Profit (or Loss)”.

3.2 The Consolidated Statement of Financial Position (“balance sheet”)

- ✓ Under the Non-Current Asset heading, the group will recognise their “Investment in Joint Venture”, and nothing else (we do not aggregate the assets and liabilities, nor do we recognise and goodwill or non-controlling interest).
- ✓ The investment is initially measured on the balance sheet at the fair value of the consideration transferred (i.e. what the parent paid for its investment).
- ✓ Like in the situation of a parent and subsidiary, the parent may have used a variety of methods to fund the investment (cash at acquisition / deferred consideration / contingent consideration / share exchange).
- ✓ In the subsequent periods (at each end) the investment is remeasured by allocating the parent their share of any post-acquisition earnings, minus any impairments.

Illustrative example:

On 1st January 2018, Hannah acquired a 50% equal holding along with a third party in a company called Sophie. The fair value of Hannah's investment was correctly measured (valued) at \$30m. In the trading period to 31st December 2018, Sophie made a profit for the period of \$6m.

Hannah found this level of profits to be very disappointing. As a result, Hannah decided to impair is own original investment by 15%.

Required:

What would be the carrying value of Sophie in the financial statements of Hannah as at 31st December 2018?

Solution:

Investment in Joint Venture (JV)	\$'000
Parent's investment @ acquisition	30,000
plus: Parent's % of post-acquisition profits (50% x \$6m)	3,000
less: Any impairment of original investment (15% x \$30m)	-4,500
Investment in JV @ 31st December 2018	<u>28,500</u>

3.3 The Consolidated Statement of Profit or Loss

- ✓ Under the Profit from Operations heading, the group will recognise their "Share of Joint Ventures Profit", and nothing else (we do not aggregate items of income and expenses, nor do we recognise any non-controlling interest).
- ✓ The Share of Joint Ventures Profit is essentially the parents share of the JV's profit for the period, plus or minus any adjustments.
- ✓ The following calculation is used to measure (value) the Share of Joint Ventures Profit (or loss) for the year:

	\$'000
Joint venture's profit for the period:	X
x Parent %	X
+ / - Common adjustments	
1. The parents share of any unrealised profit on intragroup sales	(X)
2. Any current year impairments on the JV investment	(X)
= Share of Joint Venture's profit	X

- ✓ NOTE: If the parent only acquired the joint venture mid-year (say, 6 months ago) the joint ventures profit for the period (the first line in the proforma above) is time apportioned accordingly.

3.4 Consolidation Adjustments

- ✓ A Joint Venture is NOT under the direct control of the parent. Remember the parent has joint control. As such, any intragroup transactions between the parent and the joint venture are allowed to remain in the group/consolidated accounts.
- ✓ There are two important exceptions to this:
 - If there has been any intragroup trading the parents share of any unrealised profit on this transaction is eliminated from the group accounts.
 - If the parent has recorded dividends received from its joint venture in its individual financial statements these will be eliminated in the consolidated accounts. They are instead replaced with “Share of Joint Ventures Profit” (see above).

3.5 Joint Ventures v’s Joint Operations

- ✓ IFRS 11 Joint Arrangements makes reference to two types of contractual arrangements in respect of Joint Arrangements: Joint Ventures and Joint Operations
- ✓ A Joint Venture is “any arrangement that creates a separate legal entity” and as such equity accounting is required. Like above, this means that one extra line is reported on the Consolidated Statement of Financial Position and the Consolidated Statement of Profit or Loss.
- ✓ A Joint Operation is “any arrangement that does not create a separate legal entity”.
- ✓ Very often Joint Operations are agreements to collaborate with one or more parties on a joint project or initiative. As such, equity accounting is NOT the required accounting treatment.
- ✓ Instead each partner continues to recognise their own share of any respective incomes, expenses, assets and liabilities that they may earn, maybe be liable for, or may have earned during the current period.

3.6 CASE STUDY SMART:

- In the real exam you are NOT going to be asked to perform any calculations in respect of either the Investment in the Joint Venture or the Share of Joint Venture’s Profit.
- Past exam questions have instead required students to explain the general principles of IFRS 11 Joint Arrangements, including the common adjustments.

- Past exam questions have provided students with some very basic calculations with students being required to prepare a written commentary and narrative explaining how the numbers have been arrived at.
- Past exam questions have also asked students to explain the differences between Joint Ventures & Joint Operations, and how the accounting treatment differs.
- Past exam questions have tended to focus of the cultural and integration challenges that collaboration with third parties often presents. This is covered more in the E2 syllabus.

4 Parent and Associate Undertaking

- ✓ In this situation, the investor is said to have neither control nor joint control. Instead they are said to have “significant influence”.
- ✓ This is normally taken to mean – but doesn’t have to be – that the investor has acquired between a 20% and 50% holding of the investee’s share capital.
- ✓ This relationship is more commonly known as “parent and associate undertaking”.
- ✓ IAS 28 is the applicable accounting standard, and the accounting treatment is known as “equity accounting”.
- ✓ Equity accounting is only used if the parent is already preparing group / consolidated financial statements because they have one or more subsidiaries already.

4.1 Accounting for Parent & Associate relationships

- ✓ As the parent is said to only have a “significant influence” over the investee, the concept of “full consolidation” does not apply.
- ✓ This means that the parent does NOT aggregate all items of income, expenses, assets and liabilities.
- ✓ There is no recognition of any goodwill, or a non-controlling interest. This only applies in a parent and subsidiary situation.
- ✓ IAS 28 Investments in Associates follows an identical treatment to how a Joint Venture is recognised and measured in the financial statements; namely equity accounting.
- ✓ This will result in one extra line on the Consolidated Statement of Financial Position and the Consolidated Statement of Profit or Loss.

4.2 The Consolidated Statement of Financial Position (“balance sheet”)

- ✓ Under the heading Non-Current Assets, the group will recognise an “Investment in Associate”.

- ✓ This is measured in **exactly** the same way that a Joint Venture is measured (see above).

4.3 The Consolidated Statement of Profit or Loss

- ✓ Under the Profit from Operations heading, the group will recognise their “Share of Associates Profit”.
- ✓ This is measured in **exactly** the same way that a Joint Venture is measured (see above).

4.4 CASE STUDY SMART

- In the real exam you are NOT going to be asked to perform any calculations in respect of either the Investment in the Associate or the Share of Associate’s Profit.
- Past exam questions have instead required students to explain the general principles of IAS 28 *Investments in Associates*, including the common adjustments.
- Past exam questions have provided students with some very basic calculations with students being required to prepare a written commentary and narrative explaining how the numbers have been arrived at.

5 Parent & Investments

- ✓ In this situation, the investor has no type of control nor does it have a significant influence. Instead they are said to have an “equity interest” in the investee.
- ✓ This is normally taken to mean – but doesn’t have to be – that the investor has acquired less than 20% of the share capital of the investee.
- ✓ The relationship is more commonly known as “parent and simple or trade investment”.
- ✓ The applicable accounting standard in this instance is IAS 32 and these are known as financial instruments.
- ✓ Sometimes the accounting treatment is referred to as “fair value accounting”.

5.1 Accounting for simple or trade investments

- ✓ The correct accounting treatment for these types of investments depends very much on management intentions.
- ✓ This essentially means how long the senior management genuinely believe they will ‘hold’ the investment for.

5.2 Short term investments

- ✓ If the investor expects to sell the shares in the short term (less than 12 months) these are known as “held for trading investments” which means they

remeasured at the year end to their fair (market) value. This is done by reference to the share price on an organised exchange.

- ✓ Any movement in the fair value of the shares (and normally they would hopefully go up) will be recognised through the Statement of Profit or Loss.
- ✓ The accounting treatment for shares purchased as a short-term investment is technically known as “fair value through profit or loss” (FVTPL).

5.3 Long term investments

- ✓ If the investor genuinely expects to hold the shares for the long term (greater than 12 months) these are known as “available for sale investments”. This does not mean the entity is actively seeking to sell these shares. Like above, these investments are remeasured to at the year end to their fair (market) value.
- ✓ Any movement in the fair value of the shares will this time be recognised through the Statement of Other Comprehensive Income given that the gains (or losses) are unlikely to be realised for a number of years.
- ✓ When these investments are eventually sold, we say that the previous recognised gains (or losses) are “recycled” from Other Comprehensive Income to Profit or Loss.
- ✓ The accounting treatment for shares purchased as a long-term investment is technically known as “fair value through other comprehensive income” (FVTOCI).

5.4 CASE STUDY SMART

- The rules for accounting simple or trade investments can be quite technical, and as always you will not be asked to prepare any calculations.
- However, be prepared to be able to explain the different rules for accounting for these investments given the investors intentions regarding short- and long-term investments.

Chapter Two – The Effects of Foreign Exchange & Group Foreign Exchange Implications

1 Currency concepts

- ✓ IAS 21 The Effects of Changes in Foreign Exchange Rates explains two currency concepts:
 - Functional currency: this is defined as the currency of the primary economic environment in which the entity operates. It is the currency in which the financial statement transactions are measured and largely a matter of FACT.
 - Presentation currency: this is defined as is the currency in which the financial statements are presented. This is largely a matter of CHOICE.

2 Recognition of foreign currency transactions in single entity accounts

- ✓ Transactions that impact the financial statements should be measured at initial recognition (known as the transaction date) using that day's spot rate between the two currencies involved.
- ✓ When an outstanding payment is made or received the cost of settling the liability (purchase) or the cash received may differ from the measurement of the original transaction at the transaction date.
- ✓ This is due to fluctuating foreign exchange rate.
- ✓ If this happens it will lead to a foreign exchange gain or loss and this is recognised through the statement of profit or loss.
- ✓ Entities are also obliged to retranslate any outstanding monetary items (loan/receivables/payable etc.) at the year end. This is done using the closing spot rate which is the exchange rate at the year end.
- ✓ This will lead to additional foreign exchange gains or losses and these too are recognised through the statement of profit or loss.

3 Translation of foreign operations in group / consolidated financial statements

- ✓ When a group prepares its financial statements, all of the elements of those financial statements must be in the same currency, normally the functional and presentation currency of the parent company.
- ✓ If an investor (parent) has an overseas investee (subsidiary) it follows that the subsidiaries financial statements must be translated into the parents own currency.
- ✓ The general rules to do this are:

- The statement of profit or loss is translated using the average exchange rate for the for the trading period, and,
 - The statement of financial position is translated using the closing exchange rate as at the parent's reporting date.
- ✓ Due to the fact that the financial statements are being translated using *different* exchange rates gives rise to foreign exchange gains and losses.
- ✓ IAS 21 requires the group to prepare a foreign exchange disclosure note to reconcile these differences and to show the allocation of any gains for losses between the parent and the non-controlling interest.
- ✓ A typical foreign exchange disclosure note may look like this:

Foreign Exchange Disclosure Note for period ending 31st December 2019			
1. Foreign exchange differences on net assets			
			\$'000
Opening net assets @ opening exchange rate		x	
plus profits for the period @ average rate		x	
+ / - foreign exchange gains/losses (balancing figure)		x / (x)	
Closing net assets @ closing exchange rate		x	
2. Foreign exchange differences on goodwill			
			\$'000
Opening goodwill @ opening exchange rate		x	
minus any impairments of goodwill @ average rate		(x)	
+ / - foreign exchange gains/losses (balancing figure)		x / (x)	
Closing goodwill @ closing exchange rate		x	
3. Allocation of foreign exchange differences			
	<i>TOTAL</i>	<i>PARENT</i>	<i>NCI</i>
		%	%
1. On net assets	x / (x)		
2. On goodwill	x / (x)		
	x / (x)	x / (x)	x / (x)

- ✓ NOTE: if the proportionate method was used to measure goodwill any gains for losses on that goodwill are allocated completely to the parent and the NCI is allocated none.

4 Real case study examinations:

- ✓ May 2019 variant three examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

It is three months later, and Jord is in the final stages of acquiring 100% of Garden Art share capital. Theo Larsson has called you into his office.

“Thank you for your work on the Garden Art acquisition. We have nearly completed the deal and will soon be able to incorporate the activities of Garden Art into our activities at Jord. I need your help directly, as Carla Holm is on annual leave for the next two weeks.

Whilst Eva Edberg is looking after the human resources side of the acquisition, I want you to make some early financial considerations so that we are prepared. As you know, Garden Art operates in Ertovia and uses the Ertovian dollar in their trading and reporting.

Please explain the potential impact of consolidating a foreign subsidiary into our accounts, detailing whether there may be foreign exchange gains and losses to deal with in the next reporting period.

Also, I have been looking at the additional risks we face taking on ownership of Garden Art and have prepared a brief report summarising those risks Carla mentioned previously that we should take a TARA' approach to deal with the new risks arising. I have not heard that terminology before, and...

Chapter Three

– Interpreting Financial Information

1 Introduction

- ✓ A key responsibility of finance professionals is to be able to effectively explain a range of financial indicators, metrics, trends and ratios to non-finance personal both inside and outside of the organisation.
- ✓ Employees at managements level – and this is true in the real case study exam – are not generally required to compute performance data. This will be done by systems and/or more junior finance positions.
- ✓ Management will, however, be responsible for communicating this information and putting the information into *context*.
- ✓ The ability to contextualise information is very often tested in the real case study exam.

2 Contextualising financial information

- ✓ In a professional exam we use subtle language and the use of adjectives to help “paint a picture” and contextualise the information. This help the users and their understandability.
- ✓ A range of adjectives to contextualise financial information might include:

If something has improved use terms like:	If something has deteriorated use terms like:
+ favorable	- adverse
+ welcoming	- disappointing
+ encouraging	- alarming
+ successful	- failure
+ pleasing	- regretful

- ✓ Remember you will not be asked to compute any ratios yourself. You are likely to be given these in the exam.
- ✓ However, the examiner will expect you to be able to describe what the ratio is designed and intended to show the user.
- ✓ Students are strongly advised to learn the content of the following table.

RATIO / TREND / METRIC	What is this used for? / What does it show?
Return on capital employed	Measures the effectiveness and efficiency of the use of the company's assets
Gross profit margin	Measures the ability to turn revenue into gross profit and focusses on direct and variable costs.
Operating profit margin	Measures the ability to turn revenue into operating profit and focusses on all costs.
Net asset turnover	Measures the amount of revenue being earned per F\$ of net assets employed.
Return on equity	Measures the amount of net profit being earned on equity employed.
Current ratio	Measures the company's ability to pay it short term liabilities. It shows CA in proportion to CL.
Quick ratio	Same as CR, but without inventory. Used by creditors to assess a company's liquidity to pay it liabilities.
Trade receivable days	Average time to collect debts from customers.
Trade payable days	Average time to pay debts to suppliers.
Inventory days	Average time that inventory sits in the stockroom.
Inventory turnover	The amount of times inventory is replenished over the course of a year.
Operating cash cycle	Measures the timing difference between money in and money out.
Gearing	Level of indebtedness.
Interest cover	How many times the debt can be serviced out of current levels of operating profit.
Average cost of debt	Average interest rate you are paying on your debt portfolio and is used to assess risk.
Revenue growth	Percentage change in revenue (selling price / quantity / both).
Operating profit growth	Percentage change in operating profits, and is determined by a change in revenues, and all direct and indirect costs (excluding interest and tax).
Net profit growth	Percentage change in profits for the periods, and is determined by a change in revenues, and all direct and indirect costs (including interest and tax).

- ✓ If the exam question asks you to discuss the organisations/divisions/segments “performance” the examiner is referring to levels of profitability. You must:
 - Say something about revenue. For example – volume or general prices.
 - Say something about costs. For example – variable/direct costs and fixed/indirect.
 - Say something about margins. For examples – gross profit and operating profit margins.
- ✓ If the exam question asks you to discuss the organisations “position” the examiner will expect you to primarily use the statement of financial position (balance sheet). You must:
 - Say something about non-current and current assets. For example – investment that may have occurred in property, plant and equipment or the net movement in the organisations cash position.
 - Say something about equity. For example – level of shareholders’ funds or the dividend policy and its acceptability.
 - Say something about liabilities. For example – any noticeable changes in net debt or any unusual movements in trade payables.
 - Say something about the overall level of liquidity within the organisation and conclude with a comments like “there is nothing that suggests there is an immediate going concerns issue and the organisation is well positioned to meet its short and medium obligations” (it that is indeed the case!)

3 Limitations

- ✓ The examiner may also test your understanding of the limitations of using financial statements and other sources of financial information to assess an entity’s position and performance. These include:
 - A set of financial statements can be untimely and not available until several months after the reporting period.
 - A set of financial accounts include primarily historical information, and this may not be a faithful representation of the organisations future results.
 - A set of financial statements – by definition – only include financial information and many of the true drivers of value are excluded from a set of accounts. For example – customer and employee loyalty and commitment.
 - Financial statements can – unfortunately - be manipulated and the organisation could be guilty of techniques such as profit smoothing and/or window dressing.
 - Different organisations can be using different Financial Reporting Frameworks (IFRS v’s local GAAP) and this questions the comparability of the annual accounts.
 - One-off or exceptional items can distort the information. For example – a large property, plant and equipment impairment maybe due a fire or a flood.

- Many of the movements in the financial statements between periods may have been caused by external macroeconomic factors beyond the organisations control. A set of accounts very often fail to communicate important external factors.

4 CASE STUDY SMART

- It is imperative that you understand the need to be able to correctly contextualise information so that non-finance personal and the users of financial information can make more informed opinions about an organization's true performance and positions.
- The examiner has very high standards and will award no marks for simply stating if a number has gone "up" or "down".
- Capable students develop the ability to be able to confidently and assertively explain potential, plausible and feasible reasons as to *why* a ratio or metric might have moved.
- The key to getting a pass in questions like this depends on your ability to be able to judge and set an appropriate tone in your written narrative.
- The examiner very often required students to answer questions of this nature in a report format, so remember to use an introduction, clear headings and then a conclusion.

5 Real case study exam questions:

- ✓ May 2019 variant three examination:

 Scratch Pad  Calculator Reference Material Pre-seen

The Finance Director, Carla Holm, has emailed you.

From: Carla Holm
To: Finance Manager
Subject: Garden Art

Good morning,

We have been looking at the success that one of our competitors, Lovely Homes, has had by offering a garden design and construction service to accompany the houses they build, and we are, therefore, considering offering a garden design and construction service at Jord. Currently, we just offer a basic service, laying down turf with simple pathways and patios. We anticipate that customers would welcome a more sophisticated service.

We have the opportunity to acquire 'Garden Art, an award-winning landscaping, design and garden construction company based in the neighbouring country of Ertovia, 30 kilometres away from our Corvolan premises. This acquisition would allow us to very quickly offer customers a Jord garden.

Please advise whether you think the addition of a luxury garden design and construction service would add to the competitive advantage of Jord.

We have received some headline figures and ratios relating to the performance of Garden Art. Please prepare me a summary, outlining whether you think Garden Art looks like a financially healthy organisation.

✓ November 2018 variant two examination:

 Scratch Pad  Calculator Reference Material Pre-seen

Fizzcap has now been trading for two years. You have been called to a meeting with David Guy.

" We have had the first two years' trading results in for Fizzcap and I have made a copy for you to look at. We are encouraged to see that it is making on the financial performance and position to date and suggests what the future could hold for Fizzcap. Here are some ratios that I have calculated for us to consider but, as I'm needed in another meeting, I need you to put the analysis together. I think you will find these extracts from the management commentary about Fizzcap useful.

Additionally, we are starting to notice an increase in competition. As you know, when we first entered the market, we were the only producer in Zedland, but now that other drink producers have started to use our bottle tops, competitors have been springing up. I've asked Li Ying in marketing to carry out a competitor analysis, but I would like you to produce some guidelines for her to follow. I would especially like her to analyse potential competitor responses to any new activities or strategies we follow at Fizzcap, so please mention this in your guidelines."

Chapter Four – Integrated Reporting

1 Introduction

- ✓ An integrated report is defined as “*a report given to the stakeholders of an organisation on the strategy, performance and activities that create value over the short, medium and long term*”.
- ✓ It is designed to add more value to a broader range of stakeholders due to many of the limitations of traditional financial statements that were discussed in the previous chapter.

2 The contents of a typical integrated report

- ✓ Although there is no prescribed structure, a good quality integrated report may include:
 - An overview of the organisation, including its business model and its governance arrangements.
 - An assessment of its external environment, including the opportunities and threats these this presents.
 - A statement concerning its strategy, including the resources it will utilize to achieve this strategy.
 - An overview of the organization's performance, including progress made to achieve its strategic objectives.
 - An assessment of the main short, medium- and long-term challenges the organisation may face, and how the organisation will respond to meet these challenges.

3 The objectives of integrated reporting

- ✓ The main advocate and sponsor of integrated reporting is the International Integrated Reporting Council (IIRC). It defined the objectives of integrated reporting as:
 - To improve the quality of information available to a broader range of stakeholders.
 - To promote a more cohesive approach to corporate reporting that defined and communicates more formally the drivers of value.
 - To enhance accountability and stewardship.
 - To support integrated thinking and decision making between the different functions and units of an organisation.

4 The six capitals

- ✓ An integrated report considers six different *capitals*:
 - Financial capital: the pool of funds available to the organisation.
 - Intellectual capital: the intangible assets used to create value such as patents, licenses and software.
 - Social capital: the key external stakeholder relationships.
 - Human capital: the key skills, attributes and competencies of the organization's employees.
 - Manufactured capital: the use of physical assets to help create value.

- Natural capital: the organisation access and use of environmental resources.

5 Benefits and limitations of integrated reporting

- ✓ Advocates of integrated reporting argue:
 - It presents and offers a more forward-looking, holistic and long-term view of the organisation.
 - It helps stakeholders understand a greater range of medium- and long-term risks.
 - It improves senior management and accountability to stakeholders, beyond just the chief executive and the chief financial officer. This helps promote strong governance.
 - It encourages a culture of 'integrated thinking' and greater strategic collaboration between the different parts of the organisation.
 - It may encourage employee engagements and lead to greater levels of goal congruence.
- ✓ The limitations of integrated reporting include:
 - It is voluntary. Listed entities are required to comply or explain why they have not produced an integrated report.
 - It follows a principles-based approach with no prescribed presentation. This may lead to inconsistent integrated reporting.
 - The senior management team face a self-interest threat and may report positive aspects and choose not disclosure negative performance across the organisation.
 - The report may not be audited leading to questions about its faithfulness.
 - The production of an integrated report it time consuming, costly and risks overwhelming the users with too much information.

6 CASE STUDY SMART

- You are unlikely to be asked about the rationale behind the introduction of integrated reporting.
- Be prepared to be able to describe how the typical contents of an integrated report would be *applied* to your particular case study.
- Be prepared to discuss how the six capitals could be *applied* and then *measured* within your case study organisation.
- Be prepared to discuss the advantages/disadvantages, or the benefits/drawbacks of integrated reporting.
- Think about the challenges that integrated reporting by present to traditional, hierarchical and very mature businesses given it is considered a culture change in reporting.

7 Real case study examinations

Chapter Five

– The Consolidated Statement of Cash Flows

1 Introduction

- ✓ If an investor is preparing group / consolidated financial statements this will extend to include a Consolidated Statement of Cash Flows.
- ✓ IAS 7 Statement of Cash Flows is the applicable accounting standard in this instance.
- ✓ You will not be required to prepare a Consolidated Statement of Cash Flows, and IAS 7 is rarely tested in the real study exams.
- ✓ You may be asked to explain the main adjustments required when preparing a Consolidated Statement of Cash Flows.
- ✓ The following is a proforma Consolidated Statement of Cash Flows:

Consolidated Statements of Cash Flows
ABC plc
For the year ended 31st December 2019

Cash Flows from Operating Activities	\$'000
Profit before taxation	x
+ / - Adjustments	
Depreciation	x
Impairments of goodwill	x
Amortisation	x
Share of associates profit	(x)
Investment income	(x)
Interest expense	x
Increase in trade receivables	(x)
Increase in inventory	(x)
Increase in trade payables	x
Cash generated from operations	x
Interest paid	(x)
Tax paid	(x)
<i>Net cash from operating activities</i>	x
Cash Flows from Investing Activities	
Payments to acquire subsidiary, net of cash acquired	(x)
Purchase of property, plant and equipment	(x)
Interest received	x
Dividends received from associates	x
<i>Net cash used in investing activities</i>	
Cash Flows from Financing Activities	
Proceeds from the issue of shares	x
Proceeds from the issue of new debt	x
Dividends paid to non-controlling interest	(x)
Dividends paid by parents company	(x)
<i>Net cash from financing activities</i>	x
Net increase/decrease in cash and cash equivalents	x
Cash and cash equivalents at the beginning of the period	x
Cash and cash equivalents at the end of the period	x

Chapter Six – Financial Reporting Standards

1 IFRS 15 Revenue from contract with customers

- ✓ This new accounting standard gives guidance as to *when* and *how much* revenue and entity is allowed to recognise in relation to its sales to customers.
- ✓ The basic concept allows entities to recognise revenue when it can demonstrate that it has satisfied its performance obligations with the customer.
- ✓ For example – a laptop manufacturer could fairly recognise the revenue from this sale when the laptop has been delivered and accepted by the customer as the manufacturer has honored and discharged their contractual performance obligations.
- ✓ In more complex transactions – often when products are “bundled together” (for example, a mobile phone that comes with a two-year service contract) - the accounting rules are more complicated.
- ✓ For that reason, IFRS 15 prescribes the following “Five Step Model” to correctly measure the amount and timing of revenue to recognise:
 - Step One: Identify the contract with the customer.
 - Step Two: Identify the separate and distinct performance obligations within the contract.
 - Step Three: Determine the transaction price (contract price).
 - Step Four: Allocate the transaction price to each distinct performance obligation.
 - Step Five: Recognise the amount of revenue as each performance obligation is satisfied.

1.2 Longer term contracts with customers

Entities that enter into long term contracts with customers are obliged to follow slightly different revenue recognition rules.

- ✓ A long-term contract ordinarily has the following three criteria:
 - The contract is being performed on behalf of a customer.
 - The contract straddles two or more accounting periods (but does not necessarily have to be longer than 12 months in duration).
 - The contract is for a sizable or material amount.
- ✓ Common examples include:
 - A five-year cleaning contract for a local hospital.
 - The construction of a new railway for a local authority.
 - The development of a new website for a retailer.
- ✓ The correct accounting treatment for contracts of this nature is commonly said to be *outcome based*. This means that the accounting treatment depends on the outcome of the entire contract.

- ✓ There are three potential *outcomes* so therefore it follows there are three potential accounting treatments. The three outcomes are:
 - That the contract is expected to be profit making,
 - That the contract is expected to be loss making, or,
 - That the outcome of the contract is not reliably known.
- ✓ If a contract is expected to be profit making the entity recognizes revenue (and costs) by reference to the stage or degree of completeness (%). There are two ways to compute this:
 - Cost method (costs incurred to date/total estimated costs), or,
 - Value method (value of the work completed/total contract price).
- ✓ In preparing the profit or loss account, revenue and costs (and therefore profit) is computed using the percentage calculated above.
- ✓ If the contract is expected to be loss making, the entity computes revenue as above BUT they are obliged to recognise the total contract losses immediately and in full. This treatment is consistent with IAS 37 and a concept known as onerous (loss making) contracts.
- ✓ If the outcome of the contract is unknown the entity recognizes revenue to the extent of recoverable costs. Essentially revenue is matched to costs incurred to date. As revenue equals costs the entity is effectively recognizing a position of breakeven on this contract.
- ✓ The statement of financial position impact is consistent for all three outcome and the following working is computed:

<u>Long term contract account:</u>	\$'000
Costs incurred to date	X
<i>Plus</i> , profits (or losses) recognised to date	X / (X)
<i>Less</i> amounts invoiced to customers	(X)
<i>Equals</i> contract asset / (liability)	X / (X)

- ✓ If the residual amount above is a positive it is a contract asset and is presented on the top half of the statement of financial position.
- ✓ If the residual amount above is a negative it is a contract liability and is presented on the bottom half of the statement of financial position.

1.3 CASE STUDY SMART

- In the real case study, you will not be required to calculate any numbers.
- You may be given a working paper with some calculations and you may be required to explain how the figures have been computed.

- Be prepared to be able to describe the basic principles about when and how much revenue your case study organisation is allowed to recognise.
- As this is a new accounting standard it is highly topical and is likely to be frequently examined.

1.4 Real case study examinations

- ✓ August 2019 variant one task:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

Six months have passed. Cruisecalm fitted RFID readers to enable it to track passenger movements aboard its ships the system became fully operational three months ago You receive the following email.

From: Loni Drew, Senior Financial Manager
To: Financial Manager
Subject: RFID data

I received the attached list of data sources from Bella Lim, Cruisecalm's Finance Director. Bella has requested a report covering two matters and I require your assistance with both.

- Firstly, what are the potential advantages and disadvantages of using these data sources and Big Data analytics to build a model that could identify relationships between the information we have captured and revenues?
- Secondly, at present we do not recognise revenue until the passengers have completed their cruises. What are the arguments for and against recognising revenues from fares and from on-board extras at the time of booking, assuming that we made the fullest possible use of our passenger data sources?

Thanks.
Loni

✓ May 2019 variant two task:

From: Vic Ngolo
To: Carla Holm Finance Director
Subject: Vorsan Golf Resort proposal

Dear Carla,

Thank you for your time today in presenting the outline proposal for the Vorsan Golf Resort. Sorry to trouble you, but I wonder if you could clarify further for me a couple of the points you made during your presentation.

You presented the following outline project data:

Vorsan Project-Expected Return						
	Phase I- Hotel Construction				Phase-Luxury Apartment Development For illustrative purposes only	
	2019	2020	2021		2021	2022
	C\$	C\$	C\$		C\$	C\$
Cash inflow Stage Payments		32,500,000	19,500,000			32,950,000
Cash inflow Vale of machinery			2,500,000			
Cash outflow -Phase I	7,000,000	27,500,000	16,000,000			
Cash outflow -Phase II					6,500,000	21,000,000
Net Cashflow	-7,000,000	5,000,000	6,000,000		-6,500,000	11,950,000
Discount Factor 10%	1	0.909	0.826			
Discounted cashflow	-7,000,000	4,545,000	4,956,000			
Estimate Project NPV Phase I	2,501,000					
Discounted Payback	1.5 years					
IRR	35%					

Firstly, I am confused by the measures used above. This is just a short-term decision, so surely the only thing we need to consider, is when our cash inflows repay our cash outflows. I really don't understand what your information tells us.

Secondly, you briefly mentioned that we would need to consider how and when sales revenue would be recognised in the financial statements. As a non-accountant, I was quite confused by this, as revenues are not mentioned in your spreadsheet above.

✓ February 2019 variant four task:

Scratch Pad
Calculator

Reference Material

Pre-seen

A week has passed. Crowncare has not yet made any changes to its dental insurance arrangement meeting to discuss the implications of the introduction of Crowncare Plan dental insurance:

Thomas Lim. Practice Manager, Brown Street Practice (<i>in chair</i>)	I have tabled a copy of last month's management report for the Brown Street Practice, to assist our discussion. This is the standard report that each practice submits to senior managers at Crowncare's Head Office every month. As you can see, work done on patients who are covered by insurance is invoiced by the practice to the insurer and appears as revenue. Presumably, we will not be raising invoices in the same way once we become the insurer.
Abdul Kemal. Practice Manager, Olive Street Practice	I have been working on likely premium income and I would estimate that switching to Crowncare Plan will generate monthly premium payments of V\$240000 for the Brown Street Practice. I would like to hear a recommendation as to how the costs and revenues for the individual practices should be reported through our summary monthly reporting system, once the Crowncare Plan is up and running and also what other performance measures they could use.
Thomas Lim (<i>turning to you</i>)	Please offer a recommendation, with reasons, that addresses Abduls request.
Niki Motshwane, Practice Manager, Maple Street Practice	We also need to consider the impact this will have on Crowncare's financial statements. The proposal is that each patient will pay an average of V\$50 each month for Crowncare Plan cover. Each patient will be required to have a routine dental examination every six months and a hygienist appointment every three months. We will make those mandatory because we will be responsible for the cost of any further dental treatment.
Thomas Lim (<i>turning to you</i>)	I am unsure how the Crowncare Plan be reflected in our financial statement. Please explain the financial reporting issues that Crowncare Plan will create for the Crowncare Group.

2 IFRS 16 Leases

- ✓ This new accounting standard gives guidance on how to account for various lease arrangements from the viewpoint of both the lessee and the lessor.
- ✓ **NOTE: Lessee accounting is examinable at the Operational Case Study and lessor accounting is what is examinable at the Management Case Study.**
- ✓ The lessor is the entity that provides the right for a lessee to be able to use an asset in return for a consideration (payment). We normally remember that the lessor is the entity that actually owns the asset and is renting it out to the lessee.

2.1 Types of lease arrangements

- ✓ IFRS 16 identifies two types of lease arrangements, each with very different accounting treatments:
 - Finance lease: any arrangement that transfers substantially all of the risks and rewards associated with ownership from the lessor to the lessee.
 - Operating lease: any arrangement that does not meet the criteria and features of a finance lease.
- ✓ To help establish the type of lease arrangement in place, a finance lease is said to have the following characteristics:
 - The lease term is equal to substantially all of the asset's useful economic life;
 - That legal title may transfer to the lessee at the end of the term;
 - That the present value of the minimum lease payments (discounted rental payments) is substantially all of the assets fair value (typical cost) at inception;
 - That the contractual arrangements transfer substantially all of the risks and rewards associated with ownership (we normally take this to mean that the lessee has full operational control and can retain any residual value the asset helps generate);
 - The asset has been modified, or is a "specialist piece of equipment", designed to meet the lessee's requirements.

2.2 Accounting for a finance lease

- ✓ The substance of the transaction is that the lessor is providing the lessee with an asset and a loan to finance its purchase. As such, the loan element has an appropriate interest rate. This is technically known as "the interest rate implicit in the lease".
- ✓ At the commencement of the lease the lessor derecognizes the asset and instead replaces this with a lease receivable. This is measured as the "net investment in the lease" (see below).
- ✓ Any difference between the carrying amount of the leased asset and the net investment in the lease is recognised as a gain or loss on disposal in the statement of profit or loss.

- ✓ The net investment in the lease is computed by:
 - The lease payments receivable by the lessor, plus
 - Any unguaranteed residual value (see below)
 - Discounted at the interest rate implicit in the lease.
- ✓ Total lease payments may include residual value guarantees. This is to ensure that the asset may be returned in a suitable condition as to be reused or sold.
- ✓ The difference between guaranteed residual value and actual residual value is the unguaranteed residual value.
- ✓ On receipt of the lease payments, the lessor accounts for these using the following process:
 - Each regular repayment received from the lessee consists of an element of capital and an element of interest.
 - The actuarial method is used to split the repayments, using the “interest rate implicit in the lease” defined above.
 - To calculate the interest received for a period, apply the interest rate implicit in the lease to the lease receivable balance at the beginning of the period. This increases the net investment in the lease (amount receivable).
 - The carrying amount of the net investment in the lease is then reduced by the cash instalments.
 - The interest received is recognised as finance income in the statement of profit or loss.

2.3 Accounting for an operating lease

- ✓ In this type of lease arrangement, the risks and rewards are essentially retained by the lessor. And as such the characteristics of a finance lease have not been met.
- ✓ The accounting treatment for an operating lease is much easier than a finance lease.
- ✓ In the financial statements of the lessor they:
 - Recognise lease payments as income on a straight-line basis over the lease term or another systematic basis if that is more appropriate).
 - Continue to recognise the asset in the statement of financial position and depreciate it in line with its normal accounting policy under IAS 16/IAS 38.
 - Direct costs incurred in obtaining the lease (if any): add to the carrying amount of the asset and recognise as an expense over the lease term.

2.4 CASE STUDY SMART

- IFRS 16 is fairly technical and the examiner appreciates this.
- As such it is unlikely that the accounting treatment will be examined in any great detail.

- Instead the examiner may test your ability to be able to describe the characteristics of a finance lease using a specific example from your case study.
- If you are unfamiliar with accounting for leases from the perspective of the lessee - which is ordinarily tested at the Operational Case Study – it would be worth revising this using a reliable internet source.

3 IAS 37 Provisions, contingent liabilities and contingent assets

- ✓ A provision is a “liability of uncertain timing or amount”.
- ✓ IAS 37 covers those provisions which an entity may need to meet future payments that it is obliged to pay to third parties.
- ✓ Provisions **ARE** recognised in the financial statements.
- ✓ There are three criteria to be satisfied to recognise a provision:
 - That the entity has a present obligation (legal or constructive) as a result of a past event;
 - It is probable that an outflow of economic resources will be required to settle the obligation;
 - A reliable estimate can be made of the amount of the obligation.
- ✓ Where the effect of the time value of money is material, the provision must be discounted to the present value of the future expenditure.
- ✓ The provision should be remeasured each year end, with the movement being taken to the statement of profit or loss.

3.1 Present obligations and obligating events

- ✓ An obligating event is a past event which leads to a present obligation (no realistic alternative).
- ✓ Past event deemed to give rise to a present obligation if it is more likely than not (>50%) that a present obligation exists at the reporting date.

3.2 Legal and constructive obligations

- ✓ There are two types of obligations mentioned in IAS 37:
 - Legal obligation: a legal obligation is one that derives from a contract, legislation or any other operation of law.
 - Constructive obligation: a constructive obligation is an obligation where an entity has created a valid expectation that it will meet and honor certain responsibilities.

3.3 Common examples of provisions

- ✓ Restructuring: a provision for restructuring costs is recognised only when the entity has a constructive obligation to restructure. This arises where an entity has a detailed formal plan for the restructuring and has raised a valid

expectation in those affected that it will carry out the restructuring by starting to implement the plan or announcing its main features to those affected by it.

- ✓ Warranty provisions: an entity that sells goods “under warranty” will have a legal obligation to repair those goods should any faults occur. The entity should make a provision based on its best estimate of the repair costs.
- ✓ Decommissioning costs: in many industries, where raw materials are extracted, the entity may only be granted a license if they repair any damage made during the extraction process. If there is an obligation to make these repairs, the entity should make a provision for them. If the costs relate to a non-current asset, they should be included as part of the cost of that asset.
- ✓ Onerous contracts: an onerous contract is a contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it. Where there is an onerous contract, the provision should be measured as the lower of the net cost of fulfilling the contract and any penalties payable as a result of exiting from it.

3.4 Contingent liabilities

- ✓ A contingent liability is either:
 - A possible obligation arising from past events whose existence will be confirmed only by the occurrence of one or more uncertain future events not wholly within the control of the entity; or,
 - A present obligation that arises from past events but is not recognised because it is not probable that an outflow of economic benefit will be required to settle the obligation; or because the amount of the obligation cannot be measured with sufficient reliability.
- ✓ Contingent liabilities are **NOT** recognised in the financial statements but are instead disclosed in the notes to the accounts.
- ✓ A common example includes on-going legal disputes where the outcome is unknown.

3.5 Contingent assets

- ✓ A contingent asset is a possible asset arising from past events whose existence will only be confirmed by the occurrence of one or more uncertain future events not wholly within the control of the entity.
- ✓ An entity should only recognise an asset on its statement of financial position when the realization of the profit is virtually certain.
- ✓ If the realization is merely probable, then we can refer to that asset as a contingent asset and disclose it in the notes to the financial statements.
- ✓ A common example includes an on-going insurance claim, perhaps for the theft of inventory.

3.6 CASE STUDY SMART

- In the real exam it is not unusual to contain a scenario that involves the restructuring of part of a business.
- The main focus in questions like this tend to be the resolution of conflict, and how to communicate this news to key stakeholders – for example, employees.
- However, a smaller part of the question may require you to explain if, why and when your case study company may need to provide for future redundancy costs in the financial statements.
- If this is happening, you must be prepared to be able to *apply* the accounting rules and concept above to the information the examiner gives you in the scenario.

3.7 Real case study exams

- ✓ February 2019 variant two task:

 Scratch Pad
 Calculator

 Reference Material

 Pre-seen

Six months later, you receive the following email:

To: Financial Manager
From: Frank Martens, Senior Financial Manager
Subject: Dental implants

Over the past six months, each of our 30 practices has completed 50 dental implants(1, 500 procedures in total). There have been significant f failure rates and time taken to complete implants. I am attaching a summary.

Our figures suggest an average failure rate of 5%(2.5 failures per practice)from these implants.Failure can sometimes be attributed to rejection of the implant by the patients body, which is rare. Clinical error by the dentist can also be a cause, as can carelessness by the patient before the implant has settled. Research published by the Varentian Dental Council(VDC)suggests that a failure rate of 4% is normal for implants

Our figures also show that a significant minority of the procedures took more than the 270 minutes of chair time that we had anticipated.

Patients are advised of the risks before the procedure. They pay for the work before it is completed and we do not refund any of the fee, although we do not charge for the cost of removing the failed implant and repairing the patient's mouth We have received corresonden that we will have resolved those claims before we finalise the financial statements for the year.

Please advise me on the following two matters before I brief the board:

- Firstly, what factors should be considered in determining whether or not to carry out an internal benchmarking exercise to study failure rates and chair times for implants across our 30 practices?
- Secondly, how should we decide whether we need to provide for the patient claims in our financial statements?

- ✓ February 2019 variant three task:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

A month has passed. Frank Martens invites you into his office. He hands you a document:

"This letter has Just arrived. The facts stated in the letter are all supported by the accident report prepared by Sally Munros supervisor at the time of the incident.

I have had requests for advice from both Alison Lee and Morrison Togora.

Alison wishes to know whether we are responsible for the injury sustained by Sally Munro, bearing in mind that Ms Munro had made a point of not wearing the safety goggles with which she had been issued.

Please recommend, with reasons, a suitable response to Alison

Morrison has two queries. He wishes an explanation of whether the TARA framework could have been used to classify and mitigate this risk and he wishes to know how we will decide whether it will be necessary to make a provision for any compensation that we might pay in CrownCare's financial statement.

4 IAS 12 Income Taxes

- ✓ There are two tax concepts that are contained in the F2 and therefore the Management Case Study syllabus. There are:
 - Current tax, and,
 - Deferred tax.

4.1 Current tax

- ✓ Current tax is the amount of tax payable (or due as a refund) based on current years taxable profit (or losses) for the year.
- ✓ Taxable profits are NOT the same as accounting profits due to specific tax rules regarding allowable and disallowable items of revenue and expenses.
- ✓ Entities will make an estimate of tax due on its profits and this will be the expense recognised in the statement of profit or loss and the liability recognised on the statement of financial position.
- ✓ Very often the estimate will not equal the actual amount of tax paid and this is adjusted in the next financial reporting period.
- ✓ The entity may have charged too much tax to the profit or loss (and over-provision) or too little tax (an under-provision).

4.2 Deferred tax

- ✓ Deferred tax is not a real tax in the sense that it is never actually paid.

- ✓ Instead it is an accounting adjustment that acknowledges the differences between accounting rules and local tax legislation.
- ✓ The financial accountant is obliged to follow the prescribed treatment contained in the accounting and reporting standards **and** the tax rules of a particular country. Sometimes these are not the same and this creates tax complications.
- ✓ Deferred tax is therefore a method used to reconcile these conflicting jurisdictions in accounting and tax treatments.

Illustrative example:

A company acquires an asset for \$1m that has a useful economic life of ten years with no residual value. IAS 16 Property, Plant and Equipment would oblige the company to recognise a depreciation expense of \$100,000 per annum. This is taken to the statement of profit or loss, and thus reduces profits.

However, the country in which this company operates allows entities to claim capital allowances against investments of this nature at a rate of 50% per annum against the assets cost. Therefore, the entity is allowed to recognise an allowance of \$500,000 in the first two years.

The issue is that accounting depreciation < tax allowances, therefore taxable profits are lower, and tax is lower. To reconcile this the company needs to bring tax back up so it will debit the tax expense and credit a deferred tax liability.

Another way to think about this same problem is that if tax paid is lower in the first few years then it follows that tax will be higher in future years. As such it would be correct to recognise these future liabilities now.

*There is something else that is important. The issue will eventually resolve itself after ten years because both the accounting treatment and tax treatment will have written this asset down to zero. As such, this is known as **a temporary difference arising on accelerated capital allowances**.*

4.3 CASE STUDY SMART

- The examiner appreciates that the concept of tax is very technical so they will keep any questions in the real exams fairly simple.
- Be prepared to explain the concept of deferred tax and why it even exists.
- You may be given a working paper that shows a deferred computation on a particular asset in your case study and asked to explain how the numbers have been computed.

4.4 Real case study exams

- ✓ August 2019 variant four task:

 Scratch Pad
  Calculator

 Reference Material

 Pre-seen

A further week has passed. You receive the following email:

From: Loni Drew, Senior Financial Manager
To: Financial Manager
Subject : Customer satisfaction

Hi,

The Board initiated focus group meetings to investigate the poor scores from our customer satisfaction feedback. I have attached a summary report of the conclusions from these meetings I need you to draft a briefing for the Director of Finance on the following:

- Firstly, what are the challenges associated with determining the cash flows associated with the modernisation of the ship's kitchens in order to evaluate this investment and how might those challenges be overcome?
- Secondly, how will this investment affect our deferred tax balance and how will the deferred tax adjustments affect the shareholders' understanding of Cruisecalm's performance and financial position?

5 IAS 38 Intangible assets

- ✓ An intangible asset is defined as “*an identifiable non-monetary asset without physical substance*”. It is said to be identifiable if it is:
 - Separable (capable of being disposed of), or
 - Arises from contractual rights.
- ✓ Common examples include software, systems licenses, patents, brands and copyrights.

5.1 Recognition

- ✓ Intangible assets can be recognised in the financial statements if:
 - It is probable that the entity will enjoy future economic benefits due to their existence, and
 - The cost of acquiring or developing these intangible assets can be reliably measured.
- ✓ Internally generated intangible assets, such as developing a customer database or advertising a particular product are not allowed to be recognised as intangible assets. This is due to the problems with reliably estimating costs and/or future economic benefit. Costs involved in these activities are expenses as incurred (with
- ✓ Intangible assets that have been purchased separately, or intangible assets that have been acquired by way of a business combination, are allowed to be recognised.
- ✓ There is an exception to the rule regarding internally generated intangible assets and it relates to research and development.

5.2 Research and development

- ✓ Research costs are defined as those costs incurred to “*gain new scientific or technical knowledge and understanding*”. Research costs are expensed to the profit or loss account as incurred.
- ✓ Development costs are defined as those costs incurred in the “*application of research findings to the plan and design for the creation of new or substantially improved materials, products or processes prior to commercial production or use*”. Development costs are capitalized as an intangible asset on the statement of financial position if a very strict recognition criteria is met.

5.3 IAS 38 Recognition criteria for the capitalisation of development expenditure

- ✓ ALL of the following criteria must be met to capitalize development expenditure:
 - It is probable that the entity will enjoy future economic benefit by the existence and use of the asset;
 - Management are committed and have every intention of completing the asset and use or sell it;
 - The entity has the resources adequate and available to complete the asset for its use or sale.
 - The entity can demonstrate it has the contractual rights and ability to use or sell the asset (i.e. that it owns the intellectual property rights);
 - The entity has the technical competence to complete the asset for use or sale.
 - The entity can reliably measure expenditure in the development process.
- ✓ In subsequent periods the asset can be measured at either historical costs or using the revaluation model. In practice, intangible assets are rarely revalued upwards.
- ✓ Amortization is charged in exactly the same way that depreciation is. However, amortization does not commence until the entity starts to enjoy the economic benefit that the asset creates.
- ✓ If the useful economic life is deemed to be infinite assets are not amortised but are tested for impairment instead.

5.4 CASE STUDY SMART

- IAS 38 is tested regularly in the real case study exams.
- The examiner will expect you to be able to *apply* the recognition criteria above to a project or process that is being developed by the organisation in your case study.
- Remember that for capitalisation to be allowed **ALL** of the recognition criteria above must be satisfied.

6 IAS 24 Related parties

- ✓ A related party is defined as *“a person or entity that is related to the reporting entity.”*
- ✓ A related party transaction is defined as *“a transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.”*
- ✓ An entity's financial statements contain the disclosures necessary to draw users' attention to the possibility that its financial position and profit or loss may have been affected by the existence of related parties and by transactions and outstanding balances with these parties.
- ✓ Without adequate disclosure, users of the financial statements may assume that all an entity's sales and purchases have been made on an 'arm's length basis'. This may be misleading.
- ✓ The existence of a related party relationship can affect the performance of a company even if there are no actual transactions between the related parties. For example, a parent may instruct a subsidiary not to engage in a particular activity.
- ✓ IAS 24 requires disclosure of all related party transactions, even if the transaction has taken place 'at arm's length'.

6.1 Related parties

- ✓ A person (or close member of that person's family) is a related party of the reporting entity if they:
 - have control or joint control over the reporting entity;
 - have significant influence over the reporting entity;
 - is a member of the key management personnel of the reporting entity or of a parent of the reporting entity?
- ✓ An entity is a related party of the reporting entity if:
 - They are members of the same group;
 - One is an associate or a joint venture of the other;
 - Both entities are joint ventures of the same third party;
 - The entity is a post-employment benefit plan for the benefit of employees;
 - The entity is controlled, jointly controlled or significantly influenced by a person who controls the reporting entity or is a member of the key management personnel of the reporting entity.
- ✓ The following are **not** necessarily related parties:
 - Two entities simply because they have a director/key manager in common;
 - Two joint investors simply because they share control of a joint venture;
 - Providers of finance (e.g. bank);
 - Government departments and agencies;
 - Customers, suppliers

6.2 Disclosures

- ✓ The name of the entity's parent and, if different, the ultimate controlling party irrespective of whether there have been any transactions;
- ✓ Where there have been transactions between related parties:
 - The nature of the related party relationship;
 - Detailed information about transactions;
 - Summarised information about key management compensation, often referred to as the Directors Remuneration Disclosure.

6.3 CASE STUDY SMART

- IAS 24 is not considered to be a core accounting standard at this level.
- As a result, it is rarely tested in great detail.
- Be prepared to be able to explain under what circumstances a person or other entity might be a related party to the organisation in your case study exam.

6.4 Real case study exams

- ✓ May 2019 variant five task:

 Scratch Pad
 Calculator

 Reference Material

 Pre-seen

It is 1 month later, and Raif Berg, Chief Information officer has called you into his office.

After much consideration we have decided to rent a showroom in Ustaria for the time being, still adapting it to contain a premium Jord house, but at a much lower cost than would have been incurred if we bought land and built the showroom from scratch. We have identified a number of properties that would be a suitable Jord showroom, but my favourite is the one owned by my brother who lives in Ustaria, that we could rent at a fraction of the cost of the other options.

When I raised this at the recent management meeting, Carla said she didn't want to use that showroom and told me that if we follow that option, we will need to make additional disclosures in the accounts. We had a small argument about it, but overall, I am Just confused and need some more information before we meet again. I feel comfortable asking for your advice on the following issues.

Firstly, why would we need to make additional disclosures if we rent my brothers showroom and what kinds of disclosures will be required?

7 IAS 33 Earning per share

- ✓ IAS 33 identifies two earnings per share concepts:
 - Basic earnings per share, and,
 - Diluted earnings per share.
- ✓ IAS 33 only applies to entities with shares that are publicly traded on an organised exchange.

7.1 Basic earnings per share

- ✓ Basic earnings per share is essentially an entity's earnings that are attributable to ordinary shareholders.
- ✓ As such it represents the maximum dividend that shareholders could expect out of current year earnings.
- ✓ It is widely considered to be one of the main indicators of an entity's performance.
- ✓ Basic earnings per share is computed by taking earnings and dividing it by the weighted average number of shares.
- ✓ Earnings is calculated by taking profit for the period and deducting any profit attributable to the non-controlling interests and any preference dividends that might need to be paid. Hence it is the residual profit attributable to ordinary shareholders.
- ✓ The weighted average number of shares is the quantity (not value) of shares in issue for the period. It is normally the shares brought forward at the start of the year plus the impact of any share transactions entered into during the current period.

7.2 Diluted earnings per share

- ✓ Diluted earnings per share acts as a warning sign to investors and potential investors and is an example of using "what if" analysis in financial reporting.
- ✓ It shows what could happen to basic earnings per share **if** other events happen in the future.
- ✓ The two most common examples that will impact (and dilute) the basic earnings per share are the existence of:
 - Convertible loan notes: debt that may be converted into equity in the future, and,
 - Share options: the issue of shares to members of staff.
- ✓ Convertible loan notes may increase the number of shares (which is the denominator in the calculation) but also save the company interest payment on the debt which will increase earnings (which is the numerator in the calculation). As a result, the basic earnings per share will change and that is what diluted earnings per share shows.
- ✓ Share options will increase the number of shares (which is the denominator in the calculation) but will not change the earnings figure (the numerator). Again, diluted earnings per share shows the impact of basic earnings per share when these shares are issued.

7.3 CASE STUDY SMART

- If your real case study is NOT a listed entity IAS 33 does NOT apply and IAS 33 is unlikely to be tested.

- However, most organisation that the examiner has used ARE listed entities so IAS 33 could very well feature in your examination.
- You will not be asked to prepare any calculations or compute earnings or diluted earnings per share.
- However, you may be given a working paper containing an earnings per share calculation and asked to explain how it has been computed.
- Be prepared to explain the impact that issuing convertible debt or issuing share options to employees could have on the earnings per share calculation.

Chapter Seven

– Financing capital projects and accounting for financial instruments

1 Why raise finance?

- ✓ Entities – despite their size – will always normally be required to raise finance. The main reasons for doing this include:
 - To fund the expansion of their existing operations;
 - To fund investment in new opportunities (new products or markets);
 - To fund the replacement of their existing assets;
 - To make change to their capital structure;
 - To fund business combinations and acquisitions.
- ✓ The traditional methods of raising finance is either through debt or equity, and there are a broad range and variety of methods to raise either, or in some cases both.

2 Types of financial instruments

2.1 Debt instruments

- ✓ The main debt instruments include:
 - Traditional bank loans;
 - Debentures (secured debt against assets);
 - Loan notes and bonds (unsecured debt);
 - Redeemable preference shares (shares the entity is obliged to repurchase);
 - Venture capital debt;
 - Lease arrangements;
 - Crowd funding;
 - Government grants;
 - Directors loans;
 - B2B commercial finance.

2.2 Equity instruments

- ✓ There are a narrower range of equity instruments available but are equally as effective in raising finance. These include:
 - Ordinary shares;
 - Irredeemable preference shares (shares the entity is not required to repurchase).
- ✓ There are some financial instruments that contain elements of both debt and equity. These are known as compound financial instruments or hybrid financial instruments. The most common example is convertible loan notes or bonds (debt that can be converted to equity at some point in the future).

2.3 Money and capital markets

- ✓ Many of the above financial instruments are issued via organised exchanges and markets:
 - Money markets: where short term (< 12 month) debt instruments are exchanged;
 - Capital markets where longer term (> 12 month) debt and equity instruments are exchanged;
 - Primary capital markets: where entities exchange financial instruments that are brand new.
 - Secondary capital markets: where financial instruments are exchanged after their initial issue.

2.4 Functions of the capital/stock markets

- ✓ In almost all developed economies there is an organised exchange that facilitates the purchase and sale of equity shares. Stock markets play an important role in:
 - Introducing investors to those entities wishing to raise finance;
 - Enabling entities to raise finance;
 - Enabling investors to dispose of their shareholdings;
 - Ensuring legal compliance and the enforcement of regulation;
 - Promoting and policing corporate governance arrangements;
 - Acting as a lobbyist to government and regulators;
 - Acts as an “arms-length” intermediary in establishing company valuations and fair share values (through the laws of supply and demand).
- ✓ There are various methods of issuing shares:
 - Rights issue: this gives the existing shareholders the right to buy shares at a discount against their fair (market) value.
 - Public offer: this is where shares are offered directly to public or indirectly through an ‘issuing house’.
 - Placing: this is where a company issues shares to a select group of institutional investors.
- ✓ The drawbacks to issuing shares include:
 - It can be a costly and a time-consuming exercise;
 - It may involve additional compliance, disclosure and governance requirements;
 - It may change the ownership and control structure;
 - It may result in a fall in the share price (supply and demand);
 - It may be difficult and expensive to reverse.

2.5 Issuing debt

- ✓ There are several issues to consider if and when an entity issues or raises debt. These include:
 - The interest rate attached to the debt arrangement;
 - The payment terms and timings;
 - The effect an increase in gearing will have on a range of stakeholders;

- The tax implications given that debt is an allowable deduction from taxable profits;
- The security that may need to be offered to secure the debt;
- Any conditions or covenants placed on the borrower by the lender;
- The impact on cash flow of servicing the debt;
- The accounting and financial reporting requirements involved with debt;
- The impact new debt will have on the overall risk profile of the company.

2.6 Share prices and interest rates

- ✓ An entity's share price is ultimately set by market forces which is the interaction of supply and demand via the stock market. However, there are other influences. These include:
 - A broad variety of macroeconomic factors such as interest rates, exchange rates, inflation and government policy;
 - A range of industry specific factors such as the rate of technological development and speed of change;
 - A range of company factors such as management changes and its business strategy. Announcements – such as profit warnings – can influence the share price too.
- ✓ Interest rates attached to debt instruments are ultimately a reflection of risk. However, there are other influences. These include:
 - The entity's credit rating and history;
 - The entity's existing levels of gearing and general indebtedness;
 - The affordability of debt and the entity's general liquidity and cash flow management;
 - The entity's interest cover and levels of operating profit;
 - Prevailing market interest rates and levels of return available elsewhere;
 - Central government monetary policy.

3 The cost of capital

- ✓ When entities secure either equity or debt finance the providers of this finance will need to be compensated and rewarded for their investments.
- ✓ Servicing the needs of equity and debt providers represents a cost, and this is known as "*the cost of capital*".
- ✓ Different providers of finance will require different levels of compensation and return for forgoing and investing their scarce capital resources.
- ✓ It follows that an entity will have "*costs of debt*" and "*costs of equity*". Entities will then use both of these to compute a weighted average cost of capital – known as the WACC - and this has a variety of uses (see later).

3.1 The weighted average cost of capital (WACC)

- ✓ To calculate the overall average cost of finance for an entity the following formula is used:

$$WACC = k_{eg} \left[\frac{V_E}{V_E + V_D} \right] + k_d [1 - t] \left[\frac{V_D}{V_E + V_D} \right]$$

- ✓ The various component parts are:
 - k_{eg} = Cost of equity (sometimes known as the shareholders required rate of return).
 - $k_d[1 - t]$ = Cost of debt, net of the tax advantages of debt.
 - V_E = Total market value of shares (sometimes known as the market capitalisation of the entity).
 - V_D = Total market value of debt.
- ✓ **NOTE:** if the equity and debt are not sold on an organised exchange, and their market values cannot be ascertained, we instead use the 'book value' of debt (i.e. what these elements are being carried at on the statement of financial position).
- ✓ The following are important considerations to note in respect of the WACC:
 - It is widely used in management accounting as a hurdle rate for appraising potential projects.
 - A project that can generate returns greater than the WACC is worth pursuing as it means the providers of finance can be rewarded, and there is a residual gain in economic wealth for the entity.
 - It is also used extensively in financial accounting as the discount rate used when discounting cash flows or future revenues / expenses. For example – when making provisions for future decommissioning costs of non-current assets.
 - The entity's existing finance providers may not feel the use of the WACC to assess large projects is appropriate as there is inherently more risk attached with larger projects.
 - It follows that the WACC should be adjusted for assessing projects that expose the business to a variable degree of business or finance risk.
 - Critics of the use of the WACC argue its calculation is inherently arbitrary and subjective, given that many entities have numerous providers of finance each with their own required return.

4 Financial instruments

- ✓ IAS 32 *Financial Instruments* defines a financial instrument as “*any contract that gives rise to a financial asset in one entity and a financial liability or equity instrument in another entity*”.
- ✓ Financial instruments cover a fairly broad range of transactions, many of which seem very different from each other but actually have a similar substance.
- ✓ Examples of financial assets include:
 - One entity holding equity shares in another entity;
 - Cash;
 - Trade receivables or loan receivables;
 - Derivatives standing at a gain.

- ✓ Examples of financial liabilities include:
 - Trade payables;
 - Loan notes / debentures;
 - Redeemable preference shares;
 - Derivatives standing at a loss.
- ✓ Examples of equity instruments include:
 - Ordinary shares;
 - Share options;
 - Irredeemable preference shares.

4.1 Compound / hybrid financial instruments

- ✓ Some financial instruments can share characteristics of both debt and equity.
- ✓ The most common example is convertible loan notes or bonds. These at first appear to be debt instruments yet they could potential become / converted into equity at some point in the future.
- ✓ Entities are required to apply a concept known as “split accounting” and present separately the debt and equity components on the statement of financial position.
- ✓ The debt element is measured by computing the present value of a similar debt instrument that does NOT have conversion rights. This is then considered to be the fair value of the debt component.
- ✓ The equity element is then the balancing figure between the cash proceeds and the amount allocated to the debt element.
- ✓ In subsequent periods the debt element is remeasured using the amortised cost technique (see below) and the equity element remains fixed until any future date that the instrument converts and becomes “real” shares.

4.2 Accounting for financial instruments

- ✓ At inception all financial instruments are measured on the statement of financial at their fair value including any associated transaction costs (if the instrument has a term of greater than 12 months. If the term is less than 12 months transaction costs are expensed to the profit or loss).
- ✓ In subsequent periods there are **three** different measurement techniques, with fairly technical rules.
 - Amortised cost: this technique is used if (and only if) two “tests” are passed:
 - The business model test: this is said to be “passed” if the entity intends to hold the instrument until redemption / maturity and has no plans the sell the asset in the meantime.

- The contractual cash flow characteristics test: this is said to be “passed” if the entity will receive / pay cash flows that consist solely of interest and repayment / receipt of the principal.
- ✓ Equity shares held in another entity fail both of these tests, so they are not allowed to be measured using amortised cost.
 - Fair value through profit or loss (FVTPL): this measurement technique is used if the entity plans to sell / settle the financial instrument within the next 12 months. These types of financial instruments are more commonly known as “held for trading” and are short term financial instruments.
 - Fair value through other comprehensive income (FVTOCI): this measurement technique is used if the entity plans to hold the instrument for longer than 12 months and are longer term financial instruments. These are more commonly known as “available for sale” financial instruments (even if the entity does not plan to sell them in the short term).

5 CASE STUDY SMART

- This part of the F2 syllabus is very often tested in the real case study exam.
- However, you will not be required to perform or compute any calculations.
- Be prepared to be able to describe the various different types and sources of long-term finance, and this might include you being required to make an appropriate recommendation of suitable finance for a particular project in your case study exam.
- Although rarely tested, examiners at this level will expect students to be able to explain the influences on an entity’s share price and the interest rate that they face.
- Be prepared to be able to explain the component parts of the WACC calculation, its uses and any concerns regarding its use.
- Make sure you can explain and apply the definition of financial instruments and learn the basic accounting treatment of these items (do not waste hours learning very technical accounting rules for financial instruments).

6 Real case study examinations

- ✓ August 2019 variant three examination:

 Scratch Pad  Calculator Reference Material Pre-seen

A week later, you receive the following email:

From: Loni Drew, Senior Financial Manager
To: Financial Manager
Subject: Booking software

Hi,

I have attached a draft proposal that Bella Lim, our Director of Finance, has prepared. She has not yet submitted her proposal because she wishes us to advise her on two specific issues, and I would like you to deal with both.

- Firstly, what are the challenges associated with evaluating the investment in the booking system and how might we overcome those challenges?
- Secondly, we need to draft a clear explanation of the way in which the bond described by Bella should be initially recognised and subsequently measured and accounted for in Cruisecalm's financial statements. To be clear, Bella does not require us to prepare any calculations.

✓ August 2019 variant four examination:

 Scratch Pad  Calculator Reference Material Pre-seen

A month has passed, Loni Drew stops by your workspace and hands you a report.

"The Board commissioned an independent consumer survey into passengers' views of the food served on our ships. I have brought you a summary of the report.

We could make small improvements in the quality of full-service and buffet food if ships catering managers were given greater autonomy over setting meal plans and also over ordering ingredients from shore-based suppliers. Major improvements in quality would require significant investments in new kitchens for all ships.

The Board is reluctant to invest in new kitchens. Several Board members believe that Cruisecalm's share price is determined by past dividends and dividend growth and so the investment will not enhance shareholder wealth.

I need a report from you that covers the following:

- Firstly, evaluate the Board members argument that our share price will not improve if we invest in new kitchens.
- Secondly, explain the business risks that would arise from improving food quality and identify the implications of delegating more authority over meal plans and ingredients to ships' catering managers."

✓ May 2019 variant one examination:

Scratch Pad Calculator

Reference Material

Pre-seen

The Finance Director, Carla Holm, has emailed you.

From: Carla Holm
To: Finance Manager
Subject: Expanding production

Good morning

Last week, I read an article in The Daily Bugle, where Jord was criticised for its long waiting list. I raised this with the board, and we are thinking about whether we should increase production levels. Expanding production will allow Jord to reduce the customer waiting list a little and grow sales for the first time in many years. Although we have always been happy to maintain a long waiting list, considering this to be part of our exclusive image, we don't want to be uncompetitive. Also, our institutional shareholders have raised that they would like Jord to consider expansion, so maybe now is the time to do that.

Our initial thoughts are to increase production to 125 houses per year, an increase of 25%. This will require us to raise at least C\$30m of finance, as we will need to either expand our current site or set up a new site to accommodate this.

Please outline the different options Jord has, to raise C\$30m of finance and advise on the suitability of each, given our current situation.

Additionally, as you know, we operate a just-in-time (JIT) system of production and purchasing, have extremely high levels of operating efficiency and very low waste. How might expanding production affect our ability to continue with JIT systems in the short and long term?

✓ February 2019 variant two examination:

Scratch Pad Calculator

Reference Material

Pre-seen

Crowncare acquired Luxedent six months ago, Frank Martens asks you to join him in his office. He shows you a document.

"Please read the executive summary of this report. I have not given you the full report, but it expands on the proposals by suggesting a schedule of two-month secondments to and from Luxedent until each practice has at least one dentist who has participated. It also lists the equipment that we might consider investing in to enable us to offer a wider range of cosmetic procedures.

Crowncare has never had long term loans before, but we will need to borrow quite heavily if we decide to make the proposed investment in ed by three dental equipment. This will be the first time that Crowncare has taken out a substantial loan. a potential lender has offered to lend V\$15m require, which will be repayable in five years. To assist with our cash flows, we will pay nothing for the first two years of the loan, followed years of interest only at a reduced rate, followed by a repayment of the V\$15m plus further interest at the end of year 5. The Board believe scheduling of the interest means that the investment will be low risk and cheap to finance.

I am preparing a briefing for Morrison Togora and I need you to assist me with the following:

- Firstly, I am concerned that it may be difficult to motivate the dentists from Luxedent and Crowncare who will be involved in the secondments Explain how we can deal with the problems in motivating both sets of participants.
- Secondly, please explain how we should calculate the cost of debt on this loan and also explain whether the business risks arising from this project make it more or less appropriate to fund it with debt.

✓ November 2018 variant one examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

你收到了一封邮件:

From: David Guy, Finance Director
To: Financial Manager
Subject: TigerFizz

Morning!

Last month Roger read an article about the managing director of one of our competitors TigerFizz. Due to his failing health, the business has not been performing well. Roger thinks that he may wish to sell his shares in the company and believes that the other TigerFizz shareholders would be willing to sell too, if the price was right. This would suggest that we would be able to acquire 100% of the shares within the next few months. This is an exciting opportunity for us, and our team has been asked to consider the implications for Grapple.

Firstly, I have put together the project appraisal(attached)are that the spreadsheet formulae works, so you can assume the arithmetic is fine, I think that we should proceed with the acquisition, but evaluate this conclusion and the assumptions I have made before I present his to the board.

Secondly, we believe Grapple would need to offer z\$3 million to acquire 100% of the equity shares in TigerFizz. We are unsure if there are other interested parties at this stage, so we want to move quickly and raise the necessary funds. We are looking at the following options and would like an evaluation of each for Grapple.

- Bank loan
- Rights issue

Please send me an email outlining the issues associated with raising the acquisition price using these and any other financing options you would consider appropriate.

Chapter One

– Modern management accounting and quality improvement techniques

1 Activity-based costing (ABC)

- ✓ ABC is ordinarily tested at the Operational Case Study level and only rarely appears at the Management Case Study level.
- ✓ ABC is essentially a more sophisticated absorption costing system that attempts to allocate overheads to production units more scientifically to better understand the true cost of the organisation of manufacturing products and providing services.

Illustrative Example:

The following is a very simple ABC example to illustrate the concept:

A company makes two products – product A and product B. To manufacture Product A requires 4 separate factory configurations and set-ups whereas Product B requires 6.

However, both products require 5 quality inspections each.

Under ABC it follows that 40% of the set-up costs would be allocated to Product A and 60% of set-up costs would be allocated to Product B. Likewise, 50% of quality assurance and control costs would be allocated to both Product A and Product B.

This should ensure a more accurate estimate of how much it actually costs to make each product.

- ✓ To introduce an effective ABC system, the following four step approach is used:
 - Step one: analyse overhead costs into cost pools – for example set-up costs or quality control.
 - Step two: establish a cost driver for each cost pool – for example the number of factory configurations or quality inspections.
 - Step three: compute an overhead absorption rate for each cost driver (divide step one by step two).
 - Step four: allocate the overhead costs to each unit to 'absorb' these costs into the production units.
- ✓ Advantages and disadvantages of ABC
- ✓ Advocates of ABC argue:
 - Enables more accurate recording of costs and in doing so assists with more informed decision making.
 - Widely considered to be fairer and have positive behavioral implications on product managers.

- Encourages a more focused mind-set to control costs and manage the drivers of costs in a more disciplined manner. For example – keeping the number of factory configurations to the absolute minimum.
 - It can help more accurately set prices that reflect the true costs of production.
 - It can help more accurately value inventory and work in progress.
- ✓ Critics of ABC argue:
- It involves the collection and categorization of a broader range of costs and this is time consuming and can be counterproductive.
 - For large, multiproduct businesses, it can become a fairly technical and complex process. This can make it hard for non-finance managers to understand.
 - It may be met with resistance from those that favor more traditional costing techniques.
 - If the devised system is inaccurate, or deemed unfair, it may have demotivational effects on managers and lead to poorer decision making.
 - May require investment in new systems and technologies to capture and allocate costs.

2 Activity-based management (ABM)

- ✓ ABM refers to a broader and wider application of the principles and ABC and how tighter cost control and analysis can contribute to overall organizational success.
- ✓ Common techniques used in ABM include:
- Cost reduction through eliminating non-value adding activities;
 - Customer profitability analysis – see below;
 - Distribution channel profitability – see below;
 - Direct product profitability – see below.

2.1 Customer profitability analysis (CPA)

- ✓ CPA is defined as *“the analysis of revenue streams and associated costs to ascertain profits from specific customers or customer groups”*.
- ✓ The aim of CPA is to be able to identify which customers are contributing the most to profit, so relationships can be cemented with these groups as a priority.
- ✓ CPA offers very insightful information that sometimes management may miss as they focus on revenue protection, rather than profit creation.
- ✓ A typical CPA analysis may look like follows:

CPA Analysis	Customer A	Customer B
Revenue (gross)	100,000	90,000
Less discounts	-10,000	-5,000
Revenue (net)	90,000	95,000

Less cost of sales	-20,000	-18,000
Gross profit	70,000	77,000
Less customer specific costs	-30,000	-20,000
Less financing costs (long credit periods)	-2,000	-
Net profit from customer	38,000	57,000
RANK	2nd	1st

- ✓ What does this analysis show?
 - That based purely on revenue, Customer A would be regarded as the most important customer.
 - That when based on profit, Customer B would be regarded as the most important customer.
 - That perhaps the terms of trade with Customer A are too generous, and could be re-negotiated to improve profitability?

2.2 Distribution channel profitability analysis

- ✓ Distribution channel profitability is defined as *“the analysis of revenue streams and associated costs to ascertain profits from distribution channels”*.
- ✓ The aim of distribution channel profitability analysis is to be able to identify which distribution channels are contributing the most to profit, so marketing activities and investments can be concentrated in these areas.
- ✓ It is an increasingly common management technique to analyse the profits being earned through in-store sales as opposed to online sales.
- ✓ A typical example may look like follows:

Channel analysis	In-store sales	Online sales
Revenue (gross)	50,000	48,000
Less retailers' commissions	-5,000	0
Revenue (net)	45,000	48,000
Less cost of sales	-31,500	-33,600
Gross profit	13,500	14,400
Gross profit margin per channel	27%	30%
RANK	2nd	1st

- ✓ What does this analysis show?
 - That based purely on revenue, selling products through in-store sales generate the highest revenues.
 - That when based on profit, selling products online actually generate higher levels of profits and more favorable margins.
 - This analysis is helpful in perhaps renegotiating terms with in-store retailers or focusing marketing and investment efforts towards developing and expanding online distribution direct to customers.

2.3 Direct product profitability analysis (DPP)

- ✓ DPP is defined as “the analysis of revenue streams and associated costs to ascertain profits from specific products or products groups”.
- ✓ The aim of DPP is to be able to identify which products are contributing the most to profit, so specific products can be promoted to help maximize profits.
- ✓ It is very often used in retail to maximize the limited retail space available and how this can be utilized to maximize profits.
- ✓ A typical DPP analysis may look like follows:

DPP Analysis	Product A	Product B
Selling price	2	2
Less purchase price	-0.5	-0.5
Gross profit per unit	1.5	1.5
Customer demand	10,000	10,000
Total product gross profit	15,000	15,000
Point of sale volume per product (cm ³)	10	8
Gross profit per cm ³	1,500	1,875
RANK	2nd	1st

- ✓ What does this analysis show?
 - That based purely on revenue generated and gross profit created these two products appear to yield the same returns.
 - However, as Product B is simply smaller (in size and volume) on a per cubic centimeter basis Product B is actually more profitable.
 - For a retailer with limited factors (shelf and point of sale space) it would make more sense to stock Product B. This will then make available space for other profitable products and earn greater profits in total.

2.4 CASE STUDY SMART

- In the real exam you are not going to be tested on the specific content of the models discussed above.
- For that reason, the typical examples have been deliberately oversimplified to help you understand the concept.
- Instead, the examiner is likely to test the challenges organisations could face as they attempt to introduce these more modern management accounting techniques, and how these challenges can be overcome.
- Be prepared to also describe how these fairly new techniques could be applied to your specific case study company.

- Be prepared to discuss how these techniques can add value to an organisation, again using specific examples relevant to your case study.

3 The importance of quality

- ✓ The quality (and customer perception of quality) of products and services has become fundamentally more important over the last twenty years. The drivers of improved quality have been:
 - Much greater consumer choice between substitute products and services;
 - Greater consumer access to information to be able to compare products;
 - Greater suppliers of products and services, driven primarily through the growth of online internet providers;
 - Greater standards of quality and safety specifications of components used in the creations and delivery of products and services;
 - The increasing impact of negative publicity and the reputational risks attached to poor quality;
 - The increasing tendency of consumers to seek compensation and legal recourse from poor quality products and services;
 - Changes in the legal framework to make organisations (and their senior managers) criminally culpable for defective quality that may lead to injury and/or fatality to consumers or other stakeholders;
 - An increasing priority attached to be a 'good corporate citizen' and supplying safe and reliable products and services to society.

3.1 The costs of quality

- ✓ There are four categories of quality costs, and these are very often used to prepare a 'cost of quality report' for review by senior management.
- ✓ It is important to appreciate the interdependencies and relationships between these four categories. For example – cutting back on expenditure to reduce prevention costs may result in higher and serious external failure costs later on.
- ✓ The four costs of quality can be summarized in the following table:

Cost category	Definition	Examples
Prevention Costs	Costs incurred before the production process starts to ensure the delivery of good quality products and prevent defective and substandard products.	1. Using a higher skill of design staff to produce a more superior product. 2. Sourcing a superior grade of raw materials to use in the manufacturing process. 3. Staff training to improve the production of quality products.
Appraisal Costs	Costs incurred during the production process	1. The costs involved in the existence of a quality assurance department.

	to ensure quality standards are met.	2. The costs involved in the testing and appraisal of costs during the production process. 3. The costs involved with suspending production to investigate quality issues or concerns.
Internal failure costs	Costs incurred correcting quality issues after production has been completed but before the transfer (sale) to the customer.	1. The costs associated with reworking and rectifying defective products. 2. The costs associated with scrapping products deemed beyond repair. 3. The potential penalties that might be incurred for missing agreed delivery deadlines with customers.
External failure costs	Costs incurred correcting quality issues after production and after the transfer (sale) to the customer.	1. The costs involved with recalling products and potentially funding replacement / new products. 2. The costs associated with reworking and rectifying defective products. 3. Potential legal and negligence claims, and the damage suffered by the brand and reputation.

3.2 Total quality management programs (TQM)

- ✓ Very often entities will attempt to implement a TQM program to help embed a culture and philosophy amongst those stakeholders that can directly contribute to the quality of products and services produced and offered.
- ✓ This extends beyond employees and those involved in directly in production. It extends to include suppliers who supply raw materials and inputs and those involved in delivery and distribution.
- ✓ In effective TQM program is more than a 'set of rules. It involves standards, values and attitudes.
- ✓ The main principals or features of a TQM program could include:
 - Prevention;
 - Right first time, every time;
 - Eliminate waste;
 - Verification of standards and work complete;
 - Everyone's concern;
 - No blame culture;
 - Teamwork.
- ✓ TQM programs are often associated with Japanese cultural concepts such as "Kaizenism".

3.3 CASE STUDY SMART

- Quality – and driving quality improvements – is very often tested in the real case study exam.
- Be prepared to explain **why** quality should be seen as a senior management priority, and the consequences that might exist from neglecting this area of the organization's operations.
- Be prepared to apply the four costs of quality to your particular case study organisation.
- Be prepared to describe how a TQM program would be applied to your case study organisation (with specific examples).
- Be prepared to explain the challenges that your case study company might experience implementing a TQM program, and how these could potentially be overcome.

4 Just in time (JIT)

- ✓ JIT manufacturing is now widely used throughout manufacturing, and if managed effectively is considered highly successful in creating and delivering value.
- ✓ JIT is based on the idea that products (and services) should be produced with the absolute minimum of lead times and is regarded as a “re-active” approach to manufacturing items to satisfy confirmed customer demand (and concrete orders).
- ✓ This means that items are only produced as and when customers demand (and often order) products.
- ✓ In the West this technique started with home furnishings. For example – beds and couches. However, the benefits quickly caught the attention of the car manufacturing industry and JIT manufacturing is now considered best practice around the world across a very broad range of industries and markets.
- ✓ A successful JIT program now focusses on two vital parts of the production process:
 - Purchasing, and
 - Production.
- ✓ Characteristics of a successful JIT process is likely to include:

JIT Purchasing	JIT Production
A reduced number of suppliers	Production runs scheduled as and when customer orders are confirmed

Suppliers based within close proximity of production facilities	Shorter lead times with final / finished products being delivered immediately to customers
Long-term partnership and collaborative supplier relationships	Flexible and multiskilled staff who can work on similar (but different) products
Training suppliers on the importance and necessity of quality	The facility and ability of customers to be able to track their specific order throughout the production process
Smaller – but more regular – supplier orders	Less waste and inventory obsolescence
Suppliers agreeing to hold and store component parts and raw materials on their premises	Products that have been “co-created” by the customer and meet their more sophisticated requirements

4.1 CASE STUDY SMART

- In the real case study, you are not going to be required to explain the concept and theory of a JIT manufacturing system.
- Instead, you may be required to describe how an approach such as this could be applied to the organisation in your specific case study.
- Very often the examiner will ask how resistance and opposition to the introduction of a JIT system should be managed and overcome.

5 Theory of constraints

- ✓ This management accounting concept encourages organisations to focus on the flow of products and services through the production and manufacturing process.
- ✓ It primarily encourages organisations to identify where there are bottlenecks during the production process, and how these can be managed and resolved.
- ✓ A constraint (or bottleneck) is defined as “*any activity, resource or policy that limits the ability to achieve an objective*”.
- ✓ Common examples include:
 - Part of a production process that takes longer (or shorter) to complete than activities that precede or follow on from other processes in the production process;
 - A limit on the availability of skilled and qualified employees to complete a process to meet customer demand;
 - A policy that limits the working hours of a key member of staff – such as an airline pilot or a heavy goods vehicle driver.
- ✓ The effective resolution of so-called bottlenecks can smooth the production process, reduce costs and help add value.

- ✓ There are five steps to managing a bottleneck within a process. These are:
 - Step one: identify the bottleneck in the process;
 - Step two: ensure the bottleneck is functioning at full capacity;
 - Step three: slow down the capacity of process before and after the bottleneck;
 - Step four: increase the available resources to increase output of the bottleneck;
 - Step five: review the whole process capacity and efficiency to ensure that the actions taken in step four are effective.
- ✓ Throughput accounting is a management accounting technique developed to measure if bottlenecks are being effectively managed and resolved.
- ✓ It compares how fast revenue is being earned compared to how fast costs are being incurred.

6 Business process re-engineering (BPR)

- ✓ BPR is a concept that advocates the radical redesign and reorganization of existing business processes and is considered more extreme than the idea of making small incremental continuous improvements.
- ✓ It very often involves the rather ruthless disbandment and restructuring of existing operations using ideas that are considered “best-practice”, despite the sensitivity and emotional response that widespread organizational change can bring.
- ✓ Common examples include:
 - The use of temporary or casual labour;
 - Outsourcing;
 - Offshoring;
 - Automation;
 - The use of robotics and – increasingly - artificial intelligence.
- ✓ While implementing BPR initiatives can bring strategic and commercial benefits, it has been widely criticized.
- ✓ Common criticisms include:
 - It dehumanizes the workforce and is an unethical way to treat long serving, loyal and skilled staff.
 - It is often used as an excuse to downsize and rationalize the workforce.
 - The potential benefits are very often overstated and BPR initiatives lead to disappointing outcomes and results.
 - The implementation of management of BPR initiatives is very poorly executed, lacks senior management support and leads to unnecessary and avoidable conflict.
 - Restructuring can prove expensive and can impair the quality of product and service delivery.

7 CASE STUDY SMART

- In the real case study exam, you may be required to explain the challenges or problems that bottlenecks present to your case study organisation, and how these can prevent the creation of value.
- Be prepared to recommend specific management actions that could help remove bottlenecks.
- You could also be asked to explain why business-process re-engineering is viewed so negatively, but also how more effective management could deliver these initiatives more successfully in your case study organisation.

8 Real case study examinations

- ✓ August 2019 variant four examination:

 Scratch Pad
 Calculator

 Reference Material

 Pre-seen

A week later, you are representing Finance at a meeting that has been called to discuss the implications of customer feedback:

Bradley Chung Marine Operations (in chair)	I have printed out a passenger's response to a satisfaction survey from a recent cruise. I think it may make more sense to study some specific feedback rather than look at statistics. It is standard procedure to pass negative responses to the customer service team for their comments.
Taylor Higgs, Hotel Operations	To what extent would Total Quality Management (TQM) help to address complaints similar to those voiced by Mr Jones?
Bradley Chung (turning to you)	Please draft a response to Taylor's question immediately after this meeting.

✓ May 2019 variant one examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

The Finance Director, Carla Holm, has emailed you:

From: Carla Holm
To: Finance Manager
Subject: Expanding production

Good morning,

Last week, I read an article in 'The Daily Bugle', where Jord was criticised for its long waiting list. I raised this with the board, and we are thinking about whether we should increase production levels. Expanding production will allow Jord to reduce the customer waiting list a little and grow sales for the first time in many years. Although we have always been happy to maintain a long waiting list, considering this to be part of our exclusive image we don't want to be uncompetitive. Also, our institutional shareholders have raised that they would like Jord to consider expansion, so maybe now is the time to do that.

Our initial thoughts are to increase production to 125 houses per year, an increase of 25%. This will require us to raise at least C\$30m of finance, as we will need to either expand our current site or set up a new site to accommodate this.

Please outline the different options Jord has, to raise C\$30m of finance and advise on the suitability of each, given our current situation.

Additionally, as you know, we operate a just-in-time (JIT) system of production and purchasing, have extremely high levels of operating efficiency very low waste. How might expanding production affect our ability to continue with JIT systems in the short and long term?

Chapter Two – Driving profits and adding value

1 Target costing

- ✓ Target costing is a management accounting technique that is used to ascertain the maximum cost of a product or service to be able to achieve a required profit margin.
- ✓ It involves “working backwards” by reliably establishing the selling price of products or services.
- ✓ The organisations required profit margin is then deducted from this, and that establishes the maximum cost the production of a product or delivery of a service can be.
- ✓ It is very often used in highly competitive markets where organisations are considered to be “price takers”. This means they have limited capacity to set their own desired price and are required to accept the price determined by market forces (supply and demand).
- ✓ If the actual cost of production or delivery is greater than the target cost this is known as a “target cost gap”.
- ✓ Actions to close this gap (in the hope of achieving the target cost) include:
 - Redesign the products specification to reduce the costs of component parts;
 - Reduce the grade and skill of labour involved in the production process;
 - Re-visit agreed terms with suppliers to hopefully reduce raw material and component costs;
 - Consider a different distribution channel to reduce commissions;
 - Reduce the range and variety of the products functionality to strip out costs.

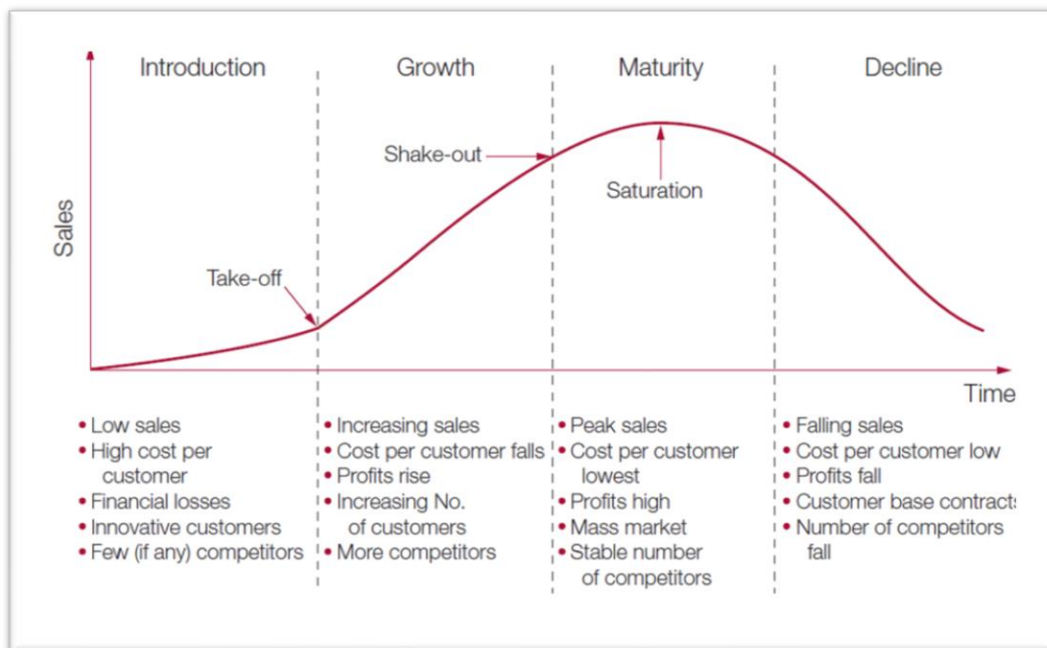
2 Life cycle costing

- ✓ Financial accounting and financial accountants are required to recognise revenues and costs within specific trading periods. This is the correct application of the accruals concept.
- ✓ However, this can often lead to short-term and misleading interpretations of the overall profitability of specific products and services.
- ✓ Life cycle costing encourages managers to consider costs (and revenues and profits) over a much broader time horizon and to appreciate that costs incurred early in the products life cycle will (or should) yield much greater value and profits later on.
- ✓ Life cycle costing requires the management accounting function to be able to accurately and reliably estimate costs over the whole product life cycle to discourage short-term decision making.

- ✓ It often involves communicating high quality and reliable information to senior management and key decision makers to help them make informed decisions.

3 Product life cycle

- ✓ It is important that management accountants understand, can explain, and can generate examples to describe what happens to revenues, costs and profits over a products lifecycle.
- ✓ A typical product life cycle may look like this:



- ✓ Towards the end of the product life cycle organisations may try to extend the products life. Techniques could include:
 - Heavily discounting the product (this also help to reduce surplus inventories);
 - One final marketing and advertising push;
 - Slightly changing the specification of the product and re-launching it (this often happens with mobile telephones);
 - Slightly changing the product packaging to create the impression the product is 'new';
 - "Dumping" the product in emerging and developing economies where the product will have the perception of being new to the market.

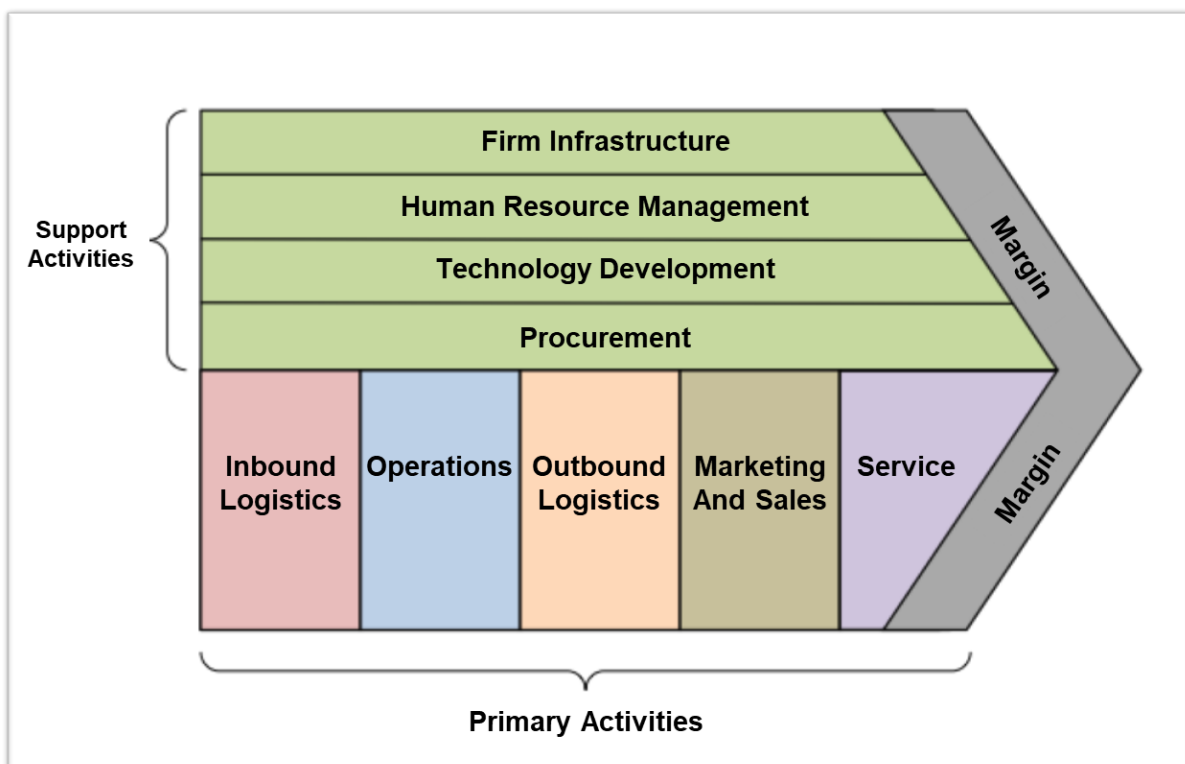
4 Customer lifecycle costing

- ✓ This is broader and longer-term application of Customer Profitability Analysis (CPA) that was covered in the previous chapter.
- ✓ It is a technique to help measure the total profit a customer (or group of customers) can generate over their entire life cycle, rather than a one-off contract or transactions within one trading period.

- ✓ An example would be a person that may purchase the same make and manufacturer of motor vehicle over that customer's entire life.
- ✓ It is not unusual for customers to have a strong preference and brand loyalty to a particular producer of motor vehicle, so customer lifecycle costing (and ultimately profitability) helps manage, secure and cement this relationship.

5 Value chain analysis

- ✓ This model was developed by the American academic Michael Porter. It is very regularly tested in the real Management Case Study exam.
- ✓ Porter advocated that all organisations had essentially nine separate functions or departments.



- ✓ Porter believed very strongly that organisations needed to adopt a consistent - or "generic strategy" - across all nine areas of the organisation and their business models.
- ✓ This – he argued – was the most effective way to add value (hence the name Value Chain) and deliver profit maximization and stakeholder satisfaction.
- ✓ His model described two different "generic strategies", and that these very different approaches should be applied robustly across the entire business model.
- ✓ He also strongly advised against organisations confusing or attempting to use both of these strategies at the same time.

- ✓ Porter's Generic Strategies are:

Cost Leadership:	Differentiator:
1. The organisation eliminates all unnecessary costs from its entire business model and sources and uses lower cost resources. For example, a lower grade of labour or materials.	1. The organisation consciously positions themselves as 'different' from the competition, with a focus on higher quality. This is consistently (or generically) applied across the entire business model (value chain).
2. This helps achieve the lowest possible cost structure.	2. The achievement of exceptional quality is expensive, so costs are high.
3. This permits the organisation to charge a low price.	3. The customer is aware of the superior quality and is prepared to pay a premium through higher prices.
4. This low price stimulates high demand.	4. Higher prices might – but does not always – result in lower demand and volume.
= lower margins x higher volumes = high profits.	= higher margins x lower volumes = high profits.

- ✓ Value chain analysis (VCA) is very often tested in the real case study exams and students are required to give specific examples of how the generic strategies of cost leadership or differentiator could be applied to their case study company.
- ✓ Value chain analysis is also often used when selecting other organisations with which to collaborate with.
- ✓ **Porter argued that organisations should only ever collaborate with organisations that share the same generic strategy.**

6 Relevant costing

- ✓ Relevant costing is a management accounting technique that helps immensely with decision making and the costing and quoting of contracts with customers.
- ✓ It encourages organisations to focus and consider only 'relevant costs' when considering potential opportunities.
- ✓ A cost is said to be 'relevant' if it meets the following three criteria:
 - **Future:** any already incurred costs are considered 'sunk' and are irrelevant.
 - **Incremental:** any fixed costs or overheads will still need to be paid are irrelevant.
 - **Cash flow:** any accounting (or book) adjustments – such as depreciation – are not cashflows so are irrelevant.

Illustrative Example:

Company Z is a building company that upgrades community health facilities. It has been asked to quote (or tender) for a government contract to refurbish a hospital.

Competition to secure this contract is expected to be intense, so the Board are aware that their quote needs to be competitive in order to be awarded the work. The specification of the project requires materials that Company Z already has in inventory and are now deemed surplus to their regular work.

Company Z also has excess labour that are not actively working on any contracts. They also have the required plant to allocate to this project that is currently not being used in on-going operations.

Under the principles of relevant costing, it could be argued that allocating materials, labour and plant to this contract would NOT result in any FUTURE, INCREMENTAL, CASHFLOWS.

This insightful information presents a significant opportunity for Company Z. Potentially they could tender or quote for this contract at a very low price as the 'relevant costs' are essentially zero. This will greatly increase the chance of being awarded the contract by the government.

7 CASE STUDY SMART

- The above fairly modern management accounting techniques have been proved to be able to add value to an organisation, and for that reason they are very often tested in the real exam.
- Be prepared to be able to describe specific examples of how these techniques would apply to your specific case study organisation.
- Due to the fact that these techniques are considered “modern” it is not unusual for employees and stakeholders to be skeptical to their introduction.
- Be prepared to discuss the challenges that organisations face in adopting and embedding these techniques, and how these challenges can be overcome.

8 Real case study examinations

✓ August 2019 variant two examination:

 Scratch Pad
  Calculator

 Reference Material

 Pre-seen

A week later, Loni Drew asks to into her office. she shows you a document.

"I have brought you an extract from our passenger feedback for the MV Gloriant's most recent Winter season. As you know, we ask passengers to respond to statements on a five-point scale, where five is the most favourable response.

I need you to draft a paper covering two points for me.

- Firstly, explain the difficulties associated with setting prices for the 2019/20 Winter season, evaluating whether target costing would be a useful basis for setting the prices for those cruises that will be offered on the MV Southern Queen.
- Secondly, the Board has decided that the MV Southern Queen will be operated in a manner that matches the expectations of passengers from the Eastern Ocean region. Explain the challenges for Cruisecalm in establishing such a culture aboard this ship and recommend responses to those challenges."

✓ May 2019 variant four examination:

 Scratch Pad
  Calculator

 Reference Material

 Pre-seen

The Finance Director emailed you earlier today with a link to a current news article. she has just called you into her office.

I hope you've had a chance to read the online news article I emailed to you this morning. The Board has been aware of the Government's proposed housing programme for some time. In fact, our own chief Executive, together with a number of Corvola's building industry experts, has been advising government ministers for several months, with regards to the programme.

I've just had a brief conversation with Linus Maas, our Factory Production Manager, who has just seen the same news article. He is concerned about two issues which I would like you to brief him on.

Firstly, Linus is concerned that if we move into producing standard housing units and in greater volumes than we currently manufacture, as outlined the news article, we would be moving away from our current vision and mission. I need you to advise Linus on whether this is true, or whether this programme is consistent with our current vision and mission.

Secondly, Linus is concerned that we have not considered the potential business risks associated with this programme. Please advise Linus on the possible downside and upside risks for jord of participating in a programme to deliver standard housing units in greater volumes.

✓ February 2019 variant three examination:

 Scratch Pad
  Calculator

 Reference Material

 Pre-seen

Frank Martens, Crowncare's senior Financial Manager, stops by your workplace and hands you a document.

"I have brought you an extract from the minutes of yesterday's Board meeting. Morrison Togora has requested a briefing on two specific matters and would appreciate your recommendations before I finalise the briefing.

- Firstly, how would having our own laboratory affect Crowncare's value chain activities?
- Secondly how would we determine the impact of this investment on Crowncare's weighted average cost of capital (WACC), and would the impact be affected by proceeding with a larger investment that was funded mainly by debt?"

Chapter Three

– Monitoring and measuring performance

1 Introduction

- ✓ A key responsibility of the finance function is to fairly and accurately monitor the performance of different part of the organisation.
- ✓ This then needs to be fed back to a range of stakeholders to encourage and share best practice where performance is favorable, and to help take corrective action where performance is substandard.
- ✓ The traditional method of assessing performance was to use a range and variety of financial metrics and ratios.
- ✓ These are covered in the F2 section of these notes.
- ✓ However, due the limitations discussed with using financial metrics a range of alternative measures have been developed to use alongside (but not instead of) traditional financial analysis.

2 The Balanced Scorecard

- ✓ This management accounting technique encouraged the assessment of performance from a range of four different *perspectives*.
- ✓ It is said to focus attention on a more holistic and broader range of factors that can help deliver and add value.
- ✓ The model is reproduced here:



- ✓ The balanced scorecard also advocates the establishment of a range of key performance indicators used to measure and assess the achievement and contribution of the four perspectives to the organization's goals and objectives.

3 Benchmarking

- ✓ Organisations are increasingly using benchmarking as way to drive and improve performance.
- ✓ Benchmarking involves the identification of best practice for the delivery of a particular task or function.
- ✓ There are four types of benchmarking, namely:
 - Internal benchmarking: often used to assess one function against another. For example, quality defects between department A and department B.
 - Functional benchmarking: often used to assess one function against best practice in an external organisation. For example, the customer complaints department at Emirates against the handling of customer complaints at Singapore Airlines.
 - Competitive benchmarking: often used to assess and compare performance against a rival business. For example, Coca Cola and Pepsi.
 - Strategic benchmarking: often used to assess the performance of strategic decision making and Board performance against other industry incumbents.

4 Employee participation in budgeting

- ✓ Organisations are increasing using "bottom-up" budgeting to help achieve goal congruence and secure employee buy-in to using budgets to help drive performance.
- ✓ The benefits of "bottom-up" budgeting include:
 - Greater commitment to the achievement of budgets;
 - More motivated managers and employees;
 - Greater use of more 'local' knowledge and frontline / operational experience.

5 CASE STUDY SMART

- You must be prepared to be able to analyse financial and management information given to you, and to be able to contextualise this information using the same subtle language from the F2 section of these notes.
- Be prepared to be able to describe plausible and feasible reasons for variances between budgeted and actual results.

- In almost every exam sitting students are required to develop their own ideas in suggesting a range of KPI's that would be appropriate for the organisation in your real case study, and how achievement (or not) of these KPI's should be measured.
- You may also be asked to explain the behavioral implications of employees who are allowed to exhibit autonomy and responsibility of their own budgets, including what the impact might be if this is taken away.

6 Real case study examinations

- ✓ February 2019 variant one examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

Six months later, you receive the following email:

To: Financial Manager
From: Frank Martens, Senior Financial Manager
Subject: Dental implants

Over the past six months, each of our 30 practices has completed 50 dental implants (1, 500 procedures in total). There have been significant differences in terms of failure rates and time taken to complete implants. I am attaching a summary.

Our figures suggest an average failure rate of 5% (2.5 failures per practice) from these implants. Failure can sometimes be attributed to rejection of the implant by the patient's body, which is rare. Clinical error by the dentist can also be a cause, as can carelessness by the patient before the implant has settled. Research published by the Varentian Dental Council (VDC) suggests that a failure rate of 4% is normal for implants.

Our figures also show that a significant minority of the procedures took more than the 270 minutes of chair time that we had anticipated.

Patients are advised of the risks before the procedure. They pay for the work before it is completed and we do not refund any of the fee, although we do not charge for the cost of removing the failed implant and repairing the patient's mouth. We have received correspondence that indicates that 15 patients will be seeking compensation for the pain and stress of their failed treatments and the loss of their fees. Our lawyers believe that it is unlikely that we will have resolved those claims before we finalise the financial statements for the year.

Please advise me on the following two matters before I brief the board:

- Firstly, what factors should be considered in determining whether or not to carry out an internal benchmarking exercise to study failure rates and chair times for implants across our 30 practices?
- Secondly, how should we decide whether we need to provide for the patient claims in our financial statements?

Chapter Four

– Responsibility centres and divisions

1 Responsibility centres

Responsibility centres refer to a way of allocating costs, revenues and funds invested on the basis of responsibility. There are different levels of responsibility centres as detailed below:

- ✓ Cost Centres – An IT department may have control over certain costs, such as computer hardware, software, staff, etc. This type of responsibility centre doesn't generate any revenues and would therefore be considered a cost centre.
- ✓ Revenue Centres – Involves responsibility for mainly revenue generating activities, such as a sales manager.
- ✓ Both cost and revenue centres would be appraised mainly on sales and cost variances.
- ✓ Profit Centres – Involves responsibility for both costs and revenues, such as a retail store manager. Performance appraisal would include variance analysis, but also profit margins and growth.
- ✓ Investment Centre – This manager has responsibility for costs, revenues and also levels of capital investment.
- ✓ This manager should enjoy the greatest levels of autonomy and may run their particular division like a business.
- ✓ Performance appraisal would include variances, margins and levels of growth but also the following three measures covered in detail.
- ✓ Return on Investment / Residual Income / Economic Value Added

2 Return on Investment

- ✓ This measure is widely used in business and has a number of variants, i.e. Return on Capital Employed (ROCE) and Accounting Rate of Return (ARR)

It essentially provides a % measure on the return/profit received relative to the amount initially invested

$$\text{ROI} = \frac{\text{Divisional Profit}}{\text{Divisional Investment}}$$

Note: If an exam question asks you to use average investment method, the opening and closing investment amounts are added then divided by 2.
(Op Inv + Cl Inv)/2

- ✓ ROI as a performance measure has its limitations, such as ignoring the cost of capital, being profit based instead of cashflow based (see Ch 8 for more) and for leading to confusion on what profit and investment figures to use.

3 Residual Income

- ✓ Residual Income can be seen as a superior alternative to ROI in many respects as it addresses some of its limitations, such as considering the cost of the funds used in an investment.

Illustrative Example:

- ✓ Imagine a division makes an annual profit of \$10k and the funds invested into this division were \$100k, this would constitute a ROI of 10%. However, if the \$100k of funds were acquired via a loan at an exorbitant level of interest, then it's likely that we are paying more on servicing the funds than we are making from the actual division.

This is ignored under ROI but revealed through RI.

Divisional Profit	\$10k
Imputed Interest (<i>Investment of \$100k x Cost of Funds @ 6%</i>)	(\$6k)
Residual Income	<u>\$4k</u>

Above we see the RI calc in question based on a cost of funds at 6%, the division makes a profit of \$10k and the annual cost of the \$100k funds invested is at 6%, i.e. \$6k. This means that the profit overcomes the cost of funds resulting in a positive RI of \$4k, hence the division is viable and contributing to shareholder wealth, (similar to NPV's covered in Chapter 8)

4 Economic Value Added

- ✓ In addition to the ROI and RI is the EVA calculation. This shares many similarities with Residual Income, but adjustments are made to better reflect the economic reality of the investment/division.

Net operating profit (NOPAT)	\$10k
Capital Charge (<i>Net Assets x Cost of Funds</i>)	(\$6k)
EVA	<u>\$4k</u>

Illustrative Example:

- ✓ Based on our earlier example, let's imagine that the \$100k investment figure represents Net Assets, and as the business is making \$10k in profits we have an ROI of 10%, and a positive RI as above.

For sake of simplicity, imagine that the business has invested heavily in R&D this year, spending \$6k developing a product that won't be launched until next year. Accounting rules required the business to expense it to the P&L, but under EVA we may wish to think of this \$6k R&D as essentially unused and wish to treat it as a part of Net Assets.

We would therefore reverse the expense (for the sake of the EVA calc only, we don't change the actual financial accounts!) and restate our profit from \$10k to now \$16k. We would also adjust the Net Assets to include the 'unused' R&D, taking Net Assets from \$100k to now \$116k.

This and similar adjustments are how EVA differs from RI

Net operating profit (NOPAT)	\$16k
Capital Charge (\$116k x 6%)	(\$6.96k)
EVA	<u>\$9.04k</u>

Note that the EVA of \$9.04k is higher than the original RI of \$4k due to these R&D adjustments.

Other EVA Adjustments

- ✓ Unused Training, R&D (per example above), Advertising can be stripped from the NOPAT and taken over to the Adjusted Net Assets.
- ✓ Accounting Depreciation is added back to NOPAT and the Economic Depreciation can instead be deducted.

Illustrative Example:

Imagine a Dentist Chair costing \$10k with a depreciable life of 10 years, At year 6 it would be held within Net Assets at \$4k, with annual depreciation at \$1k per annum, but what if the dentist chair had hardly been used and was actually in very good condition? Let's say in reality the economic depreciation in the year was more like \$0.4k not \$1k. In a similar way to the earlier example we'd add the \$1k back to profit and take off \$0.4k instead, so our NOPAT would basically increase by \$0.6k. We would also adjust as necessary in Net Assets.

- ✓ Where any information about an Assets replacement value is given, always use this instead of any book values.
- ✓ Provisions and non-cash items generally should be eliminated (added back) to NOPAT.

5 Data Analytics/Visualization

- ✓ The importance of Data and Visualizations feature heavily across the new updated CIMA syllabus.
- ✓ Data Analytics refers to the analysis of data to capture insightful and useful findings that can be used to make more effective decisions across the business.
- ✓ Data Visualization refers to the ways in which these findings can be presented, i.e. using graphs, charts, tables, etc. This makes the information more accessible particularly to non-financial managers across the business and helps highlight trends and patterns which further enhances the value of Data Analytics.

6 CASE STUDY SMART

- In the real exam you should be prepared to explain (and apply) the different definitions of cost/revenue/profit/investment centres to your case study examination.
- Real exam questions in the past have discussed the behavioral implications of managers of being granted the different levels of autonomy that these structures allow.
- The challenges of measuring divisional performance – for example the use of ROI and RI – is often tested and how each of these measured can/cannot encourage goal congruence.

7 Real case study examinations

- ✓ May 2019 variant four examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

One week has passed since your conversation with the Finance Director regarding the proposed house building programme. You have just received the following email from the Finance Director

To: Finance Manager
From: Carla Holm, Finance Director
Subject: Acquisition target

The Board is currently considering its potential involvement in the Governments recently announced house building programme. However, Theo is keen that should Jord decide to move into the production of standard prefabricated houses, we must ensure we do not lose focus on our current business of designing and manufacturing high-quality bespoke homes for our individual customers. a possible solution to this could be an acquisition, as this would allow Jord to continue with our current business activities, with minimal impact.

I have identified a business called ModPod, which is 100% owned by the Lingar family. ModPod has been in business for the last 15 years and has gained a strong brand reputation for building high-quality standard design prefabricated houses on small housing developments in city locations. Last year it constructed over 400 houses, on three different sites in and around the capital city. Yesterday I had some preliminary discussions with Pep Lingar, the founder and current Managing Director of ModPod. Jord has offered to buy a 75% stake in ModPod and we have also guaranteed Pep will retain his role as the Managing Director. I estimate that it will cost around C\$10 million to acquire ModPod. I've attached a summary of ModPod's statement of financial position which Pep sent to me yesterday.

Please prepare me a briefing paper which:

1. identifies the impact that this potential acquisition would have on the preparation of the financial statements of Jord Homes, post-acquisition.
2. explains the factors that we need to consider when devising a performance management system to enable us to effectively manage ModPod as an investment centre.

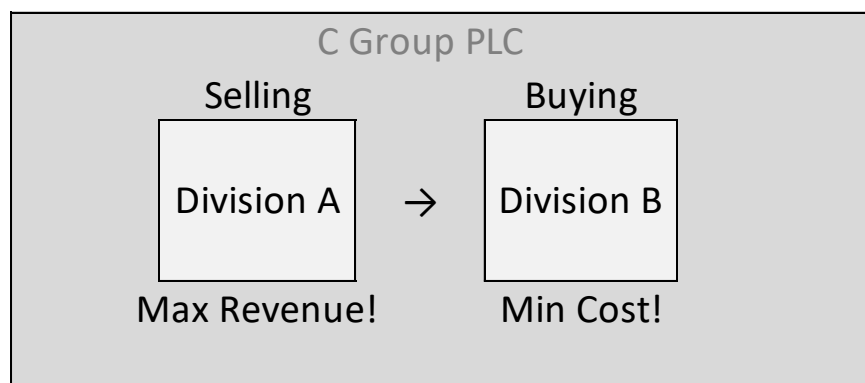
Chapter Five – Transfer Pricing

1 What is transfer pricing?

- ✓ Transfer pricing concerns the prices for internal sales between divisions within the same group. Business's particularly with divisional structures need to agree at what price goods and services will be traded at within the business.

Profit / Investment Centres

- ✓ In the previous chapter we looked at responsibility centres and covered cost, revenue, profit and investment centres. A typical basis for the internal price of a good/service transferred between two cost centres, (i.e. an IT dep't supplying equipment to a finance dep't) would usually be cost.
- ✓ However, this will not necessarily be appropriate for a profit or investment centre, which is the focus of this chapter. With any internal transfer of goods, the selling division seeks to maximize revenue, whilst the buying division seeks to minimize costs.



2 Objectives of good transfer pricing

- ✓ A good transfer price should seek to satisfy three key objectives:
 - Goal Congruence – Optimum Price for Business as a whole, so that the interests of the overall group/business should take precedence over the interests of any particular division within it.
 - Autonomy – Divisional Managers should be free to set prices as they see fit. This is key as divisional/investment centre managers will be highly empowered and often demand high levels of autonomy, running their division like a mini CEO. Dictating TP could be demotivational.
 - Fair Performance – The individual divisions will usually have their own budgets, with inbuilt expectations on revenue and costs. If a transfer price was unfairly favorable to one division over another, this could distort performance measurement and the appraisal of those divisions.

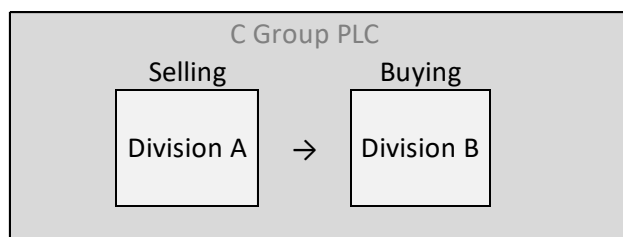
- ✓ A natural conflict can arise between Goal Congruence and Autonomy, as divisional managers may naturally care more about their own division than the business as a whole.

3 Different ways of setting a transfer price

- ✓ Many exam standard questions will expect you to establish a transfer price that is goal congruent, whilst assuming divisions have autonomy, which means the price needs to be acceptable to both parties, or else they would simply reject it, this can also involve considering any potential opportunity costs.
- ✓ One methodology that can help here is to ask:
 1. What's the minimum that the selling division would accept? i.e. \$6/unit
 2. What's the maximum that the buying division would be prepared to pay? i.e. \$8/unit
- ✓ Any transfer price between this range (i.e. \$6 to \$8/unit) would be goal congruent.

Illustrative Example:

1. Division A currently sells 5,000 electric toothbrushes to Division B
2. Division A can obtain a maximum of 10,000 brushes direct from the manufacturer at a marginal cost (MC) of \$8 each.
3. Division A could sell all its toothbrushes externally for \$11 each
4. Division B then sells these to customers at their market price of \$16 after incurring selling costs of \$2 per unit.
5. Division B has been approached by an external supplier offering to supply all the toothbrushes at \$15 each.



Min Sell at?

MC + Opp cost

Max Pay for?

Lower of:

External Market Price

Divisional Net Revenue

Minimum that Division A would sell at?

We can establish that the MC for Division A is \$8 as that's how much it pays the manufacturer.

In this example there is also an opportunity cost, as for each of the 5,000 brushes they sell to Division B, they lose out on an opportunity to sell externally at \$11, therefore they forego contribution of (\$11 - \$8) \$3.

Therefore MC \$8 + Opportunity Cost \$3 = \$11

Maximum that Division B would pay?

The external market price is \$15, as this is what Division B can source it for on the external market. The divisional net revenue is however calculated by looking at their revenue, i.e. the \$16 they sell them for less any related costs incurred, in this case the \$2 selling costs.

The Divisional Net Revenue is $(\$16 - \$2) = \$14$

Therefore, Division B wouldn't pay more than \$14 (lower of the two)

Finally, we can establish that any TP between \$11 and \$14 would be Goal Congruent and acceptable to the two autonomous divisions.

Note: that where no feasible range exists, e.g. say Division A's minimum acceptable selling price rose to \$15, and Division B stayed at the \$14, this tells us that the group as a whole would be better off if the internal transaction didn't take place.

Other approaches:

- ✓ Dual Price – This involves giving both parties what they want, i.e. selling division gets market price and buying division gets marginal cost. Both autonomous divisions will be happy for the transaction to take place.
- ✓ Two-part tariff – This is similar to the above, but both parties get MC, this is of course not very good for the selling division, but an additional lump sum can be allocated to the selling division as an incentive to make the transaction take place.

4 International Transfer Pricing

- ✓ In the real-world transfer pricing is used by large multinational businesses as part of their tax strategies.
- ✓ If we had a division A located in a low tax jurisdiction whilst tax was high in the country of Division B then it may be advantageous for the group if Division A charged a very high transfer price to Division B as this would increase profits in Division A (The Tax Haven) whilst crucially reducing taxable profits in Division B (Where tax rates are higher).
- ✓ Tax authorities are aware of these tax avoidance activities and can often take action where they believe a transfer price is not at 'arm's length' and has been set artificially high.

5 CASE STUDY SMART

- The real exams will often require you to describe the desirable features and goals of an effective transfer pricing system.
- Be prepared to explain the impact that a poor transfer pricing system may have on motivation and management behavior.

- Be prepared to recommend appropriate solutions to a dispute regarding agreed transfer prices.

6 Real case study examinations

- ✓ August 2019 variant five exam:

Scratch Pad Calculator

Reference Material
Pre-seen

Six months have passed. Cruisecalm has acquired Angelo and plans to commence operations there soon.

Loni Drew stops by your workspace and hands you a newspaper.

"I suppose you have seen this news story. The fact that we have only just moved to Islandia suggests that we will be under greater scrutiny. Angelo effectively provides consultancy to its existing third-party clients, charging a fee for organising work from shipyards. It will provide Cruisecalm with the same service for our entire fleet.

I am also concerned about the changeover of the shipyard liaison arrangements for the maintenance of Cruisecalm's ships.

I need your advice on two matters:

- Firstly, explain how we should set our transfer prices between Angelo and Cruisecalm in order to minimise the risk of confrontation with the Islandian government.
- Secondly, recommend how we should organise the project team to facilitate the changeover from the present shipyard liaison.

- ✓ May 2019 variant three examination:

Scratch Pad Calculator

Reference Material
Pre-seen

It is six months later, and Jord has acquired 100% of the share capital of Garden Art. chief Executive Officer, Theo Larsson has called you in to his office.

Good morning,

I have just had a meeting with Saffron Svoboda, the CEO of Garden Art, from which there were positive and negative points arising.

Positively, it appears our customers are happy that we now offer garden related services and demand is high. However, Saffron is unhappy with the transfer pricing system we have set up with Garden Art saying it affects the staff bonus system and motivation. she gave me a letter signed by the senior management team at Garden Art demanding changes.

Currently Garden Art works primarily for Jord and then uses any spare capacity to work for external parties charging them market value. The work Garden Art does for Jord has a transfer price of 10% lower than market value. This reduces Garden Art's profit which benefits us as a group as the tax rate in Ertovia is higher than it is in Corvola. I can't understand why Saffron is complaining as this clearly increases group profit, but let's look at it again.

What are the advantages and disadvantages of the transfer price between Garden Art and Jord being set at 10% less than market value?

Also, I am tired of constantly arguing with the senior management team at Garden Art. If it's not transfer pricing then its arguments about time schedules, the amounts spent on salaries, customer service and so on. We are wasting time arguing constantly and we are getting nowhere.

Chapter Six – Long-term decision making

1 Investment appraisal / Capital budgeting

- ✓ Investment appraisal seeks to measure the impact/return of capital expenditure into investments/projects and assesses whether they 'Increase shareholder wealth', which will be central to the long-term corporate strategy of most profit seeking organisations.

1.1 BIS / Big Data

- ✓ In most large modern business's investment appraisal relies on having high quality information to ensure effective investment decisions are made. This means having the right Business Information System (BIS) is important and involves managing data lakes and warehouses effectively to get the most from Big Data and ultimately achieve competitive advantage.

2 Relevant cashflows

- ✓ Relevant cashflows are covered at Operational Level in P1 and is summarized within Chapter 2 of these notes. These principles are of particular relevance within investment appraisal, namely the NPV (covered later in the chapter), which should only include revenues and costs that are relevant to the decision to invest or not.

Illustrative Example:

A small manufacturing business is considering a small one-year investment opportunity to make use of its spare capacity during quieter periods, it has produced an NPV to appraise the investment. The investment will require initial outlay on purchasing a machine of \$15k and will use existing premises that are not currently in use, that cost the business £5k per annum under a long-term rental agreement. Out of these two amounts the rental costs for the factory would not be included in the NPV as we have to pay it regardless of the decision to invest, however the cost of the machine is relevant as we are only buying it because of the investment.

3 Payback

- ✓ Payback is the simplest of the investment appraisal techniques, it does not involve discounted cashflows as covered later in the chapter (i.e. the NPV and IRR).
- ✓ Payback simple looks at how long the cash inflows take to 'payback' the amount initially invested at the start of the project.
- ✓ Payback uses cashflows, and a common exam question may provide you with profits instead of cashflows, this will require the profits to first be converted to cashflows usually by stripping out depreciation, before working out the actual payback.

Illustrative Example:

Gregson's Bakery is looking to acquire its competitor down the road Posh Pies and would need to pay £600k upfront to buy this business. It's believed that Posh pies would generate annual profits of \$100k into perpetuity. The Financial Accountant at Posh Pies charges depreciation on fixed assets at \$20k per annum.

With the information supplied above, we can say that the annual cashflows would be \$120k, as without the non-cash depreciation they would be \$20k higher. This means that we could then work out the payback using the below table.

	Cash flows \$k	Cumulative \$k
Initial Investment	-600	-600
Yr 1 Inflows	120	-480
Yr 2 Inflows	120	-360
Yr 3 Inflows	120	-240
Yr 4 Inflows	120	-120
Yr 5 Inflows	120	0

In this simplified example the payback is exactly 5 years.

4 Accounting Rate of Return

- ✓ The Accounting Rate of Return (ARR) is a variant on the more well-known Return on Capital Employed (ROCE). It's essentially the same calculation, with profit/investment.

Within investment appraisal, we are likely to use:

$$\text{ARR} = \frac{\text{Average annual profits}}{\text{Average Investment}}$$

- ✓ Average annual profits will simply involve taking an average of the profits over the project, be ready to convert any cashflows into profits, with depreciation being the usual difference, as similar to payback the examiner likes to do this to catch you out.
- ✓ Average Investment involves the following calculation, and even if there is no scrap value, we still divide by 2.

$$\text{Average Investment} = \frac{\text{Initial investment} + \text{scrap value}}{2}$$

5 Time Value of Money

- ✓ The time value of money concept is central to discounting which underpins the NPV and IRR investment appraisal techniques which follow.

- ✓ In essence the value of \$1 today is worth more than the promise to receive \$1 in the future. There are many reasons for this, but the extent to how much less \$1 is worth in the future is captured in the discount rate through discounting.

$$PV = X (1+r)^{-n}$$

PV = Present Value
X = Amount Invested
r = Discount Rate
n = no. of time periods

Illustrative Example:

Discounting

Hasselhoff expects to receive \$23,000 in 5 years, the interest rate (i.e. discount rate) over this time is expected to be 4%. What is the present value of this amount today?

To work this out we'd discount \$23,000 by 4% over 5 years.

i.e. $\$23,000 \times (1+0.04)^{-5}$

This gives an answer = \$18,904

Note: if we calculate just $1 + 0.04$ to power of -5 we get 0.822

This 0.822 represents the discount factor, this along with many others are also provided in the present value tables in the exam, which often saves the need to calculating as above.

- ✓ In summary the above deals with a single amount in the future, just as we worked out that \$23,000 in 5 years' time has a present value today of \$18,904 by using discounting we can also work out the value of a repeating amount, say every year into the future.

Say, we expect to receive \$3,000 every year for 10 years?

This would be called an Annuity, and to find the present value in today's terms we'd need to do the below calculation.

$$PV = A \times \frac{1-(1+r)^{-n}}{r}$$

Illustrative Example:

Discounting an Annuity

Rodney expects to receive \$3,000 every year for the next 10 years, what is the present value of these future receipts if a discount rate of 3% is anticipated?

In order to calculate this, we'd follow the Annuity formula above

$$PV = \$3,000 \times \frac{1-(1+0.03)^{-10}}{0.03}$$

$$PV = \$25,591$$

Note: if we calculate just:

$$\frac{1-(1+0.03)^{-10}}{0.03}$$

We get the Annuity factor of 8.530

Similar to before this 8.530 represents the Annuity factor, this along with many others are also provided in the cumulative present value tables in the exam, which often saves the need to calculating as above.

6 Net Present Value

- ✓ Investments typically involve cash going out followed by cash coming in. The NPV calculation takes all these cashflows into account and discounts them to give an overall net inflow or outflow, crucially adjusted for the time value of money.

Illustrative Example:

The below shows the NPV for an investment which involves a \$30k initial outflow, followed by 6 years of \$7k inflows, with a discount factor of 10%. The discount factors are taken from the PV tables.

Year	Cashflow	D.F @ 10%	Present Value
0 (Now)	-30,000	1	-30,000
1	7,000	0.909	6,363
2	7,000	0.826	5,782
3	7,000	0.751	5,257
4	7,000	0.683	4,781
5	7,000	0.621	4,347
6	7,000	0.564	3,948
NPV			478

The overall NPV is \$478 positive, the fact that this is a positive figure is significant as it indicates that the investment is viable and should be undertaken, if it was negative then this shouldn't be undertaken on a purely financial basis.

- ✓ Represents the change in shareholder wealth, which is often the main financial objective of the business.
- ✓ Gives a clear Yes/No answer as to whether the investment should go ahead.

7 Internal rate of return (IRR)

- ✓ The IRR provides the break-even cost of capital, this basically represents the discount factor that would result in an NPV of exactly zero.

- ✓ If we can establish this, then we know that providing that we can secure the funds needed for investment for the same or preferably less than this IRR, then it represents a project that is viable (as it would have a positive NPV).
- ✓ The IRR calculation requires two separate NPV's to be calculated and then the two resulting NPV's are used along with the relevant discount rates using the below formula to find the IRR.

$$IRR \cong L + \left\{ \frac{NPV_L}{NPV_L - NPV_H} (H - L) \right\}$$

L = Lower Discount Rate

H = Higher Discount Rate

NPV L = NPV of lower discount rate

NPV H = NPV of higher discount rate

Illustrative Example:

Taking the same cashflows used in the previous NPV example we can see two NPV's using the original 10% discount factor and then a second discount factor at 15%.

Year	Cashflow	D.F @ 10%	Present Value	D.F @ 15%	Present Value
0 (Now)	-30,000	1	-30,000	1	-30,000
1	7,000	0.909	6,363	0.870	5,536
2	7,000	0.826	5,782	0.756	4,371
3	7,000	0.751	5,257	0.658	3,459
4	7,000	0.683	4,781	0.572	2,735
5	7,000	0.621	4,347	0.497	2,160
6	7,000	0.564	3,948	0.432	1,706
		NPV	478	NPV	-10,033

This delivers 2 respective NPV's, i.e. +478 and -10,033

Remember: the IRR once calculated represents the breakeven cost of capital, i.e. the discount factor that delivers an NPV of zero.

At a glance, this must be just over 10%, but to confirm exactly we can calculate using the IRR formula per above, using the below inputs.

L = 10%

H = 15%

NPV L = \$478

NPV H = -\$10,033

$$IRR = 10\% + \frac{478}{478 - (10,033)} (15\% - 10\%)$$

IRR = 10.2%

As expected, the IRR is slightly above 10%.

- ✓ Similar to the NPV, the IRR factors in the time value of money as it is essentially derived from the NPV calculation.
- ✓ Unlike the NPV on its own, the IRR doesn't require the cost of funds to be known, the two discount rates needed could be chosen arbitrarily, i.e. 5% and 10%.
- ✓ The IRR doesn't consider the size of the investment, therefore the NPV is superior in situations where investments are mutually exclusive.

Say, we can either do either investment A or B, but not both.

Investment	NPV	IRR
A	\$18k	6%
B	\$160k	5%

Despite Investment A looking more attractive on an IRR basis, we would be clearly better off by choosing Investment B, as it increases shareholder wealth by considerably more.

8 Modified Internal Rate of Return (MIRR)

- ✓ The MIRR attempts to overcome some of the limitations that the normal IRR suffers from.
- ✓ These include the fact that the traditional IRR can't deal with unconventional cashflows, i.e. cashflows that doesn't involve an initial outflow at the start and then subsequent inflows thereafter.
- ✓ Another limitation of the IRR is that it assumes that any outflows are reinvested at the project rate, when its more realistic to assume they perform at the general cost of funds.
- ✓ The MIRR is best calculated using the following steps:
 1. Establish the net cashflows by year, as we would need to with any NPV or IRR
 2. Compound the cashflows from year 1 onwards to their Terminal values
 3. Establish what annual rate of return would be required to take the initial investment to this net terminal value.

Illustrative Example:

MIRR **Step 1.**

	Yr 0 (Now)	Yr 1	Yr 2	Yr 3	Yr 4
Net cash flows	-1500	350	450	500	550

Step 2.

Now we compound the cashflows from Year 1.

	Cashflows	D.F.	Terminal Value
Yr 1	350	$\times 1.05^3$	405
Yr 2	450	$\times 1.05^2$	496
Yr 3	500	$\times 1.05^1$	525
Yr 4	550	$\rightarrow$	550
Net Terminal Value			<u>1976</u>

Step 3.

What annual rate would be required to take the initial investment of \$1,500 to the terminal value of \$1,976?

Use and learn the following formula.

$[n\text{th root (Terminal Value / Initial investment)}] - 1$

where n = no. of years it's over.

Therefore:

$$\text{MIRR} = 4^{\text{th}} \text{ root } (1,976 / 1,500) - 1$$

$$\text{MIRR} = 7.1\%$$

9 Complexities around NPVs

- ✓ In the exam it's unlikely to expect an NPV type question as simple as the example previously covered.
- ✓ A more comprehensive NPV question may build in Inflation, Tax, Working Capital, Terminal Values (aka perpetuities)
- ✓ Each of these are covered separately below.

9.1 Inflation

- ✓ Inflation is the increase in revenues and costs over time. For instance, we could spend \$100 on our weekly shop today, but the same goods may cost us \$103 next year, in this simplified example we could say inflation is 3%.

Illustrative Example:

If inflation stayed at 3% for the foreseeable future, what would the same weekly food shop cost in 3 years' time?

$$\$100 \times 1.03^3 = \$109.27$$

We find this using simple compounding as previously used for the MIRR.

- ✓ We can refer to the cost of a weekly shop in 3 years' time in either nominal or real terms.

Nominal = \$109.27 (Builds in inflation)

Real = \$100 (ignores effects of inflation)

- ✓ We can also quote the discount factor (aka cost of funds) in either nominal or real terms. It doesn't really matter if we use nominal or real providing, we are consistent.

i.e. nominal cashflows with nominal discount factor
 real cashflows with real discount factors

But not... nominal cashflows with a real discount factor, or vice versa.

Illustrative Example:

Taking a simple NPV and assuming that the cashflows and discount factor (i.e. 10%) are both real and therefore do not include any inflation.

Year	Cashflow	D.F @ 10%	Present Value
0 (Now)	-10,000	1	-10,000
1	2,000	0.909	1,818
2	2,200	0.826	1,817
3	2,350	0.751	1,765
4	2,430	0.683	1,660
5	2,550	0.621	1,584
6	2,600	0.564	1,466
NPV			110

It shouldn't make a difference if we do the NPV again using real cashflows so long as we also use a real discount factor too.

Let's do this assuming inflation is running at 3%, firstly let's inflate the cashflows using the same compounding approach previously covered.

Year	Real Cashflows	Inflated Cashflows
0 (Now)	-10,000	-10,000
1	2,000	2,060
2	2,200	2,334
3	2,350	2,568
4	2,430	2,735
5	2,550	2,956
6	2,600	3,105

Now the cashflows are inflated we need to inflate our discount rate too. This introduces a key formula called the Fisher Formula that you should definitely learn.

$$(1 + \text{nominal rate}) = (1 + \text{real rate}) \times (1 + \text{inflation rate})$$

Using this to calculate the nominal discount rate as follows:

$$(1 + \text{nominal}) = (1 + 0.10) \times (1 + 0.03)$$

Therefore $n = 13.3\%$

This results in the below NPV that is only slightly different due to rounding difference.

Inflated Cashflows	D.F @ 13.3%	Present Value
-10,000	1	-10,000
2,060	0.883	1,819
2,334	0.779	1,819
2,568	0.688	1,766
2,735	0.607	1,660
2,956	0.536	1,584
3,105	0.473	1,468
NPV		117

So, the key is whether you go with the nominal or real, the key is be consistent.

9.2 Taxation

Operating Tax

- ✓ In the real world, and cashflows will attract tax, and even though tax is usually paid on profits (which is of course not the same thing) we still build in an estimate for tax into the NPV.
- ✓ At this point, it makes sense to appreciate a more comprehensive NPV than we considered earlier in the chapter.
- ✓ The below NPV is bigger than anything you can expect in a CIMA P2 exam question, but it better serves our understanding to appreciate a full NPV.

	Yr 0 (Now)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue		4,000	4,000	4,000	4,000	
Variable costs		-1,000	-1,000	-1,000	-1,000	
Fixed costs		-500	-500	-500	-500	
cash flow before tax		2,500	2,500	2,500	2,500	
Taxation @ 25%			-625	-625	-625	-625
Investment	-10,000					
Capital allowances						
Working capital						
Net Cash Flows	-10,000	2,500	1,875	1,875	1,875	-625
D.F. @ 5%	1	0.952	0.907	0.864	0.823	0.784
Present Value	-10,000	2,381	1,701	1,620	1,543	-490
NPV						<u>-3,246</u>

- ✓ The amounts highlighted green, represent estimated tax paid on normal operating activities (based on one year in arrears)
- ✓ This is the more straightforward part of tax in an NPV, in addition we have capital allowances to potentially claimable on the initial investment.

Capital Allowances

- ✓ Capital allowances represent tax relief on amounts we've spent on capital expenditure (i.e. initial investment for our purposes here) In the above example we've invested \$10,000 (imagine on some capital expenditure like machinery)
- ✓ The tax we owe should therefore be lower because of this.

Illustrative Example:

If we are offered capital allowances at say 25% reducing balance based on the above example, we would do the following.

Set up a tax working as follows:

	Balance	Tax rate	
		Allowance @ 25%	
Initial Investment	10,000		
Yr 1 @ 20%		2000	500
c/d	8,000		
Yr 2 @ 20%		1600	400
c/d	6,400		
Yr 3 @ 20%		1280	320
c/d	5,120		
Yr 4 (remaining bal)		5,120	1280

Then enter the tax benefit into the NPV as positive cashflows (remember its paid in arrears)

	Yr 0 (Now)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue		4,000	4,000	4,000	4,000	
Variable costs		-1,000	-1,000	-1,000	-1,000	
Fixed costs		-500	-500	-500	-500	
cash flow before tax		2,500	2,500	2,500	2,500	
Taxation @ 25%			-625	-625	-625	-625
Investment	-10,000					
Capital allowances			500	400	320	1,280
Working capital						
Net Cash Flows	-10,000	2,500	2,375	2,275	2,195	655
D.F. @ 5%	1	0.952	0.907	0.864	0.823	0.784
Present Value	-10,000	2,381	2,154	1,965	1,806	513
					NPV	-1,181

The NPV improves (albeit still negative) due to the tax benefit now added in.

9.3 Working Capital

- ✓ A recent addition to the NPV's under the new CIMA syllabus is working capital.
- ✓ In the real world it's likely that you will need to spend cash on preparing for Year 1 sales, before Year 1 (i.e. Year 0) and the sales you make in Year 2 will require working capital investments earlier in Year 1, etc.
- ✓ To account for this a WC adjustment may be required in the NPV.

Illustrative Example:

If we are told that WC should be maintained at say 20% of sales, we would do the following.

WC Working						
	Yr 0 (Now)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue		4,000	4,000	4,000	4,000	
WC Required	-800	-800	-800	-800	0	
Adj Required	-800	0	0	0	800	

We put in the working capital at the very start, and release what's in at the end, and the adjustment line should always net back to zero, as what goes in must eventually come out!

The WC working above would be more complicated if sales instead varied by year, as they do below.

WC Working						
	Yr 0 (Now)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue		4,000	4,500	4,900	5,500	
WC Required	-800	-900	-980	-1100	0	
Adj Required	-800	-100	-80	-120	1100	

The amounts highlighted green (taking first example) would then be added into our main WC working, per below.

	Yr 0 (Now)	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
Revenue		4,000	4,000	4,000	4,000	
Variable costs		-1,000	-1,000	-1,000	-1,000	
Fixed costs		-500	-500	-500	-500	
cash flow before tax		2,500	2,500	2,500	2,500	
Taxation @ 25%			-625	-625	-625	-625
Investment	-10,000					
Capital allowances			500	400	320	1,280
Working capital	-800	-100	-80	-120	1,100	
Net Cash Flows	-10,800	2,400	2,295	2,155	3,295	655
D.F. @ 5%	1	0.952	0.907	0.864	0.823	0.784
Present Value	-10,800	2,286	2,082	1,862	2,711	513
					NPV	<u>-1,347</u>

This NPV turns out negative so we'd be wise not to pursue it as it would only decrease shareholder wealth.

10 Equivalent Annual Cost (EAC)

- ✓ The NPV logic can be applied to whole investments as covered above or could be applied to a more specific decision. For instance, how often should we replace a machine?

We could replace a particular machine say every 1, 2 or 3 years, but which option is best?

The Equivalent Annual cost (EAC) can be calculated using NPV's to decide which option is most cost efficient using the following formula.

$$EAC = \frac{NPV}{\text{Annuity factor of the decision}}$$

- ✓ In this case three separate NPV's would be required, including relevant cashflows outflows such as the initial cost, ongoing maintenance costs and any inflows from perhaps selling it after 1, 2 or 3 years.

These 3 NPV's would each be used in 3 separate EAC calculations along with their respective annuity factors to reveal the best option.

11 Capital Rationing

- ✓ A business may have numerous attractive +NPV investment opportunities but lack the funds to pursue all of them. This situation is referred to as capital rationing.
 - Hard Capital rationing – Externally enforced, for instance a bank refuses to lend the amount required.

- Soft Capital rationing – Internally imposed, the business has decided its unwise to invest in all viable opportunities.
- ✓ *Both situations were common during the financial crisis and aftermath of 2008*

Divisible / Non-Divisible Investments

- ✓ *Where an investment is divisible, one approach under capital rationing could be to do only part of an investment, such as building only 50 homes on a housing development instead of 100.*
- ✓ *This allows the Profitability Index to be calculated as a basis to rank the competing projects, the higher the PI, the more preferable the project.*

$$PI = \frac{\text{NPV of project}}{\text{Initial Investment}}$$

- ✓ *However, some projects by their very nature may be non-divisible, such as a tunnel. If you made half a tunnel it may result in fatalities!*

12 CASE STUDY SMART

- Methods of appraising projects are very regularly tested in the real case study exam, and the various techniques are quite technical – hence the length of this chapter.
- Students are required to have a detailed understanding of these techniques, but the technical construction and preparation of an investment appraisal model is actually never tested in the real exam.
- Be prepared to be presented with a working paper that gives you an investment appraisal BUT it has been prepared using various assumptions. The examiner is actually more likely to ask you to “evaluate the assumptions used” in the modelling process.
- To do this, you must offer your own professional opinion and use your professional judgement.
- Using language like “assumption number two seems fair, and realistic” will score high marks.
- Alternatively, comments like “assumption number three is weak, and I would question the reliability and strength of this assumption” scores exceptionally highly as it demonstrates you can assertively communicate your own professional skepticism, and this is a key skill of a professional accountant.
- Also be prepared to discuss the challenges that the construction of each model may present and which of the models are considered more reliable and accurate.

13 Real case study examinations

- ✓ May 2019 variant one examination:

Comparing the site options Initial investment, NPV, IRR and discounted payback period			
Site One		Site Two	
Initial investment C\$000	30000	Initial investment C\$000	32000
NPV C\$000	43504	NPV C\$000	44114
Discounted payback period	3.6 years	Discounted payback period	3.8 years
IRR	34.80%	IRR	33.30%

- ✓ May 2019 variant two examination:

 Scratch Pad
  Calculator

 Reference Material
  Pre-seen

Two weeks have passed. A number of consultations have been undertaken between Jord's Board and some of the operational staff within the business, to gain their views on the Vorsan Golf Resort proposal. You have just received the following email from the Finance Director.

To: Financial Manager
From: Carla Holm, Finance Director
Subject: Vorsan Golf Resort- staff feedback

Hi,

I made a presentation to some of the managers and staff from the architect and design team and the production teams yesterday, to outline the Vorsan Golf Resort proposal. As you know, it is always our policy to involve staff in our decision-making process and, although no decision has been made yet as to whether we go ahead with this project, we wanted to encourage staff to share their thoughts and ideas on the proposal.

I received the attached email this morning from Vic Ngolo, our Production Scheduling Manager, who works for the chief Information Officer. He attended my presentation yesterday. He has raised some queries, but I am busy for the rest of the day so I need you to email him back immediately with responses to the following:

Firstly, Vic seems unsure about the need for the level of analysis that I presented. He seems to think that this is a simple short term decision. Please could you explain to him why it is important to use the time value of money and the relevance of the measures I have used for this decision.

Secondly, explain to Vic how and when the sales revenue from this contract would be recognised in the financial statements.

Chapter Seven – Pricing

1 Introduction and market structures

- ✓ Profit making organisations need to correctly set prices that will both stimulate sufficient demand and deliver profits and value.
- ✓ There are two market structures that management accountants need to be aware of:
 - **Perfect competition:** organisations are said to be “price takers” and accept the price set by the interaction of market forces (supply and demand).
 - **Imperfect competition:** organisations can potentially be “price makers” and their actions and behaviors can influence the prevailing market price.

2 Price elasticity of demand

- ✓ The theory of Price Elasticity of Demand is a theory / model developed in the study of microeconomics.
- ✓ The price elasticity of demand is defined as “*a measure of responsiveness of changes in demand for a product or service as a result of changes in the price of that product*”.
- ✓ It provides a considerable insight that can be a valuable tool in helping organisations correctly price their products to achieve and contribute to revenue growth and profit maximization.
- ✓ There are a range of different price elasticities, but the two extremes are:
 - **Elastic demand:** this is where a change in price (either up or down) will lead to a larger change in demand for that product or service.
 - **Inelastic demand:** this is where a change in price (either up or down) will lead to a smaller change in demand for that product or service.

Illustrative Example:

A family based in Hong Kong regularly consumes (purchases) two products. Product A is a takeaway meal from a local fast food takeaway business and Product B is the rent they pay for their family accommodation. The local fast food takeaway business increases their prices by 50%. The family choose to purchase their food elsewhere. As a result, they have exhibited elastic demand. This means they responded to the change in price quite dramatically by going elsewhere. Their landlord increases their rent by 30%. The family accept this increase and continue to live in the property. In this case they have exhibited inelastic demand. This means that they have not responded to the change in price and their demand for property stays the same.

- ✓ The factors that influence a consumer's price elasticity of demand include:

- The price and availability of substitute products;
- The level of general competition and choice;
- The proportion of total income spent on a particular product;
- Whether the product is considered a necessity or a luxury;
- The time that has elapsed since the last price change.

✓ The impact of price elasticity on pricing decisions can be summarized as:

If a company is faced with elastic demand:	If a company is faced with inelastic demand:
1. A price increase may disproportionately lead to a decrease in demand and therefore revenue.	1. A price increase will result in a smaller fall in demand and may help increase revenue.
2. A price reduction may stimulate demand and increase revenue.	2. A price reduction may not significantly increase demand and may be commercially be a fruitless exercise.

3 Alternative pricing strategies

- ✓ There are a variety of pricing strategies that organisations can adopt and describing and recommending an appropriate pricing strategy is very regularly tested in the real case study exam.
- ✓ The following is a summary of commonly used pricing strategies, and where these might prove effective:

Strategy:	Description:	Examples:
1. Cost based approaches	Accurately measuring the cost of production or supply then adding a margin or mark-up to establish price.	Bespoke construction contracts like building an extension on a house.
2. Market skimming	Charging a high price initially then reducing the price as competition or new products enter the market.	Mobile telephones and innovative technology products like new laptops or television sets.
3. Premium pricing	Charging a higher price over the whole product life cycle on a long-term basis.	Luxury cruises or high-end housing or motor vehicles.
4. Penetration pricing	Charging a lower price initially to stimulate demand and grow market share and then (hopefully) increasing prices later.	The opening of a new restaurant or private education or health provider.
5. Loss leaders	Charging a lower price over the longer term with the hope customers may purchase other, more profitable, products or services.	Supermarkets selling milk or bread at a loss in the hope that customers will purchase more profitable products during the customer visit.
6. Product bundling	Charging a lower price or a combination of products at a lower	Package holidays or car dealerships that might

	price than what would be charged individually.	offer extended warranties and servicing contracts along with the actual vehicle.
7. Price discrimination	Charging customers, a different price for the same product based on their individual price elasticity of demand.	Public transport. For example – rail services that charge “peak” and “off peak” prices for the same service.

4 CASE STUDY SMART

- Pricing strategies is very commonly tested in the real case study exam.
- Be prepared to explain, recommend and justify an appropriate pricing strategy for a product or service for your real case study organisation.
- Be prepared to describe the characteristics of the customer, the type of demand they exhibit, and why your recommended pricing strategy would be successful.

5 Real case study examinations

- ✓ August 2019 variant one examination:

 Scratch Pad
 Calculator

 Reference Material

 Pre-seen

A further month has passed. Loni Drew stops by your workplace.

“I downloaded a newspaper article that went online this morning. Our IT staff have confirmed that 5% of potential bookings through our website are abandoned after prospective passengers have selected a cruise and entered their personal details, but before they have got to the stage of confirming their booking and making payment. Typically, they stop at some point during the selection of dining options or pre-booked excursions. We suspect that our revenues would increase by at least 5% if it was easier for potential passengers, who have no prior experience of cruising to understand our products.

As you know, we have considerable data on previous passenger bookings, including details of repeat bookings, extras purchased on board and the uses made of facilities aboard ship. I have made some enquires and I am confident that none of our competitors have the capability to analyse their passenger data to the same extent as Cruisecalm.

I need two things from you:

- Firstly, evaluate the difficulties for both Cruisecalm and potential customers that would arise if Cruisecalm changed to a bundling price strategy and thereby only offered cruises on an all-inclusive basis linked to the cruise itinerary and the grade of cabin chosen.
- Secondly, please evaluate the potential value of Cruisecalm's passenger data as a source of competitive advantage.”

✓ August 2019 variant three examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

Loni Drew, Cruisecalm's Senior Financial Manager stops by your workplace and hands you a document.

"I have brought you an extract from the minutes of yesterday's Board meeting.

I am preparing a briefing for Bella Lim, our Director of Finance, and I need your assistance with two matters.

- Firstly, assuming that we go ahead with this proposal, please evaluate the suitability of using penetration pricing policy for the budget.
- Secondly, please draft a briefing on the advantages and disadvantages of implementing an emergent strategy in the face of disappointing revenues."

Chapter Eight – Risk

1 The theory of risk

- ✓ Risk is widely agreed to be the cause of why actual results deviate from planned results.
- ✓ Upside risk is where the outcomes and results are more favorable than what was planned; it is good news.
- ✓ Downside risk is where the outcomes are results are more adverse than what was planned; it is bad news.
- ✓ Risk is caused by uncertainty. Uncertainty is why risk exists.
- ✓ In the modern business environment, the main causes of uncertainty are:
 - Macroeconomic influences and unknowns (global economic growth, foreign exchange, inflation etc.).
 - Geopolitical unknowns (international co-operation, legal considerations, war, terrorism etc.).
 - Environmental unknowns (climate change, natural disasters, immigrations etc.).
 - Technological innovations (the pace of change, the growth of the internet, changes in international financial systems).

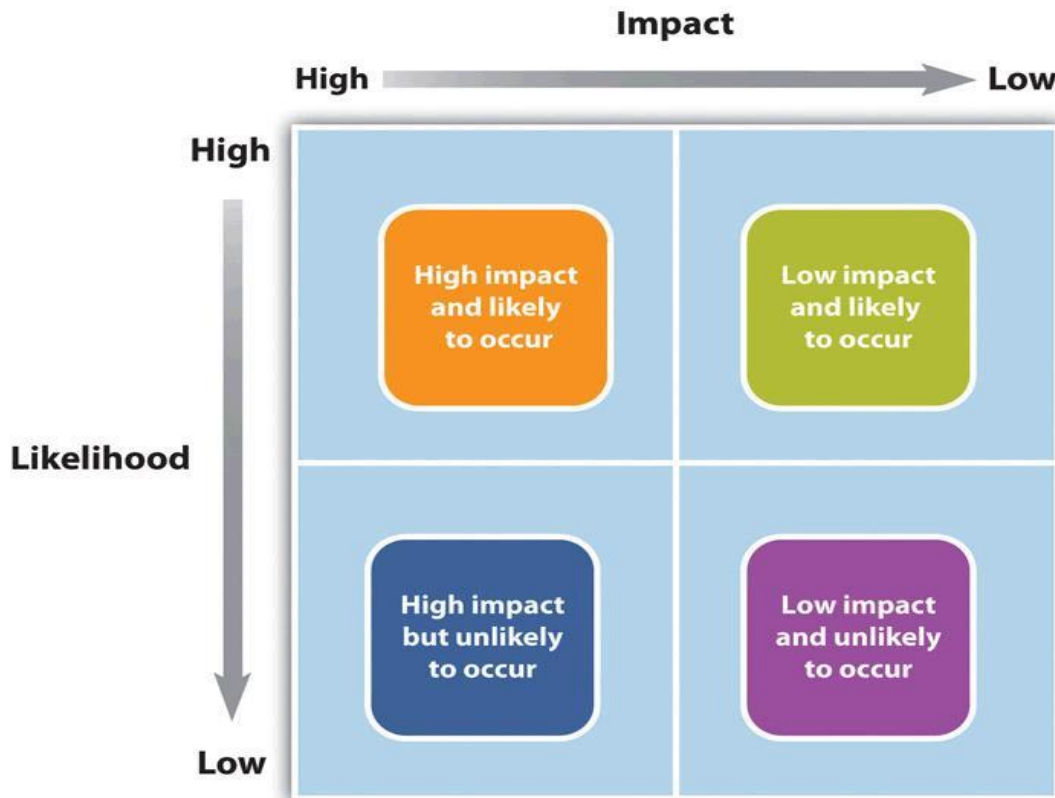
2 Types of risk

- ✓ There is a very broad range of risks. The main ones include:
 - Product risk;
 - Political risk;
 - Social risk;
 - Asset failure risk;
 - Fraud risk;
 - HR risks;
 - Competition risks;
 - Cultural risks;
 - Credit risks;
 - Event risks;
 - Information system risks;
 - Reputational risks;
 - Foreign currency risks.

3 Risk assessment

- ✓ A key responsibility of senior and middle management is the identification, assessment and ongoing management of risk.
- ✓ This responsibility extends beyond management legal responsibilities and includes ethical duties of care and commercial considerations.

- ✓ When assessing risk, management should consider the **IMPACT** of each type of risk, and the **LIKELIHOOD** of this risk occurring.
- ✓ The following model helps management consider risks and then **PRIORITISE** each risk.



- ✓ Risks that are that are considered to have **HIGH** impact and **HIGH** likelihood should be management's number one priority, and these risks often require the urgent attention of senior management (including the Board of Directors).
- ✓ Risks that are considered to have **LOW** impact and **LOW** likelihood will not require the same management response.

4 Risk management

- ✓ Management responses to risk is more commonly known as "risk management strategies".
- ✓ An appropriate risk management strategy should consider and reflect the impact and likelihood carefully.
- ✓ A common model to use is referred to as TARA:
 - Transfer: look to transfer the risk to a third party, perhaps via insurance.
 - Avoid: look to stop and abandon the activity that gives rise to the risk;
 - Reduce: use internal controls to reduce the risks;
 - Accept: continue the activity and accept the risk that exists from a particular activity.

- ✓ Clearly, an appropriate response to high risks might be to AVOID, whereas it may be appropriate to ACCEPT low risks.

5 Techniques to quantify risk

- ✓ There are numerous techniques that organisations can use to help quantify the impact and likelihood of risks. These include:
 - Sensitivity analysis;
 - Expected values;
 - Standard deviation;
 - Decision trees;
 - Contingency tables;
 - Maximax, maximin and minimax regret decision making.

6 CIMA Risk Management Cycle

- ✓ CIMA have developed their own Risk Management Cycle (model) to assist management in the risk management process. There are seven steps:
 - Step One: establish a risk management group consisting of appropriate stakeholders.
 - Step Two: identify as many risks as possible that the organisation is exposed to.
 - Step Three: evaluate and prioritize each risk considering the impact and likelihood.
 - Step Four: develop an appropriate response using the TARA framework.
 - Step Five: implement the risk management strategy and allocate responsibility to an appropriate person/function.
 - Step Six: monitor the effectiveness of the risk management strategy.
 - Step Seven: review and the refine the whole process and regularly repeat.

7 CASE STUDY SMART

- The concept of risk and risk management is tested in every single case study sitting.
- However, it is not the theory of risk, or the technical models in section 5 above that will be tested in any great deal. You should consider using a reliable internet search engine to ensure you know the very basics of these models used to quantify risks.
- Be prepared to be able to identify and describe a variety of risks that may apply to your specific case study organisation.
- If the examiner asks you to EVALUATE risks you MUST discuss the impact and likelihood of each risk and conclude if that risk is high, medium or low.
- The TARA framework is very often tested, but again it will be your ability to apply the risk management strategies within the context of your case study and the scenario being presented to you.

- You may be asked to recommend, explain and apply a suitable risk management model that your organisation can use. For this, use CIMA's own Risk Management Cycle from above.

8 Real case study examinations

- ✓ May 2019 variant one examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

It is six months later, Jord has furthered its plans to expand, and is choosing between two options. The chief Executive Officer, Theo Larsson has called you into his office.

"I am pleased to announce that we will be expanding Jord production this year, increasing as planned. from 100 to 125 houses each year. We have raised the required finance and are now choosing between two sites.

Site One involves land adjoining our current production site and offers us the chance to simply expand our existing site and preserve our highly efficient approach. This had been the obvious choice, but our preliminary environmentalist report has identified a family of Corvolan pine voles, an endangered species, living on the outskirts of this land.

Site Two is 5 kilometers away from our main production site and is currently wasteland. The environmentalist report for this site has no issues. Site Two would simply operate as a smaller replica of our main site. Site Two would be able to perform the same functions as our main site, except for timber cutting which would continue to be performed at the main site only. Site Two would not entirely comprise new staff as we would move some experienced members from our main site to work at Site Two as appropriate.

Both pieces of land are owned by Jord.

Before moving ahead with our development plans. I need your help with a couple of issues.

Firstly, please outline the risks of proceeding with each site. I am particularly interested in understanding the risks we may face relating to the voles, quality assurance, and operating from two sites.

Secondly, I am aware that, whichever site we proceed with, we will need to communicate our plans with our key stakeholders. Please also outline which stakeholders we will need to communicate with and how."

✓ May 2019 variant three examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

It is three months later, and Jord is in the final stages of acquiring 100% of Garden Art share capital. Theo Larsson has called you into his office.

“Thank you for your work on the Garden Art acquisition. We have nearly completed the deal and will soon be able to incorporate the activities of Garden Art into our activities at Jord. I need your help directly, as Carla Holm is on annual leave for the next two weeks.

Whilst Eva Edberg is looking after the human resources side of the acquisition, I want you to make some early financial considerations so that we are prepared. As you know, Garden Art operates in Ertovia and uses the Ertovian dollar in their trading and reporting.

Please explain the potential impact of consolidating a foreign subsidiary into our accounts, detailing whether there may be foreign exchange gains and losses to deal with in the next reporting period.

Also, I have been looking at the additional risks we face taking on ownership of Garden Art and have prepared a brief report summarising those risks. Carla mentioned previously that we should take a TARA' approach to deal with the new risks arising. I have not heard that terminology before, and don't know what she means.

Please explain what 'TARA' is and how we could use it to manage the risks I have highlighted in my report?”

✓ May 2019 variant four examination:

 Scratch Pad  Calculator

 Reference Material  Pre-seen

The Finance Director emailed you earlier today with a link to a current news article. she has just called you into her office.

I hope you've had a chance to read the online news article I emailed to you this morning. The Board has been aware of the Government's proposed housing programme for some time. In fact, our own Chief Executive, together with a number of Corvola's building industry experts, has been advising government ministers for several months, with regards to the programme.

I've just had a brief conversation with Linus Maas, our Factory Production Manager, who has just seen the same news article. He is concerned about two issues which I would like you to brief him on.

Firstly, Linus is concerned that if we move into producing standard housing units and in greater volumes than we currently manufacture, as outlined the news article, we would be moving away from our current vision and mission. I need you to advise Linus on whether this is true, or whether this programme is consistent with our current vision and mission.

Secondly, Linus is concerned that we have not considered the potential business risks associated with this programme. Please advise Linus on the possible downside and upside risks for Jord of participating in a programme to deliver standard housing units in greater volumes.

Chapter Nine

– Information strategy and the use of information

1 Introduction

- ✓ The correct use of an organization's data, and its conversion into accurate and timely information, is widely regarded as a value adding activity that can help deliver a long-term and sustainable competitive advantage.
- ✓ The value that good quality information can bring to an organisation is highly topical and will be frequently examined in all the real case study examinations.
- ✓ It is important to remember that CIMA is not an IT qualification.
- ✓ Students are expected to be able to describe and explain the commercial advantages that high quality information can bring, and the various methods and techniques that organisation can utilize to help capture this information.

2 Elements of an effective IT strategy

- ✓ An organization's IT strategy should be aligned, and should contribute, to the overall corporate strategy of the organisation.
- ✓ The successful development and implementation of an IT strategy is said to have three distinct but complimentary elements:
 - **Information Systems (IS) Strategy:** this is a high-level agreement and commitment to *what* the organization's information strategy is designed to achieve and *why*.
 - **Information Technology (IT) Strategy:** this is related to the specific systems that are required to achieve the IS strategy and relates to the *how*.
 - **Information Management (IM) Strategy:** this is related to the methods that information is going to be stored and distributed to users and relates to the *where*.

3 Costs and benefits of investing in IT

- ✓ The costs and benefits of a formalized and effective IT strategy can be summarized as follows:

Costs:	Benefits:
1. Capital requirements of investing in hardware and software.	1. Greater insight into customer requirements and the ability to satisfy their demands.
2. Revenue costs of a competent and well-resources IT function (or an outsourced partner).	2. The ability to forecast emerging trends and changes in customer demands.
3. The costs associated with staff training.	3. The ability to use targeting marketing techniques to drive additional sales (and profits).

4. The compliance costs involved with data protection and data storage regulations, including the physical storage of modern IT facilities.	4. More timely and reliable decision making through the ability to analyse large volumes of information in real time.
5. The insurance costs associated with the mitigation of risks attached with IT and IM.	5. The advantage of being able to plan resources (labour and working capital) based on the accuracy and reliability of 'big data' techniques.

4 Risks associated with IT

- ✓ The use of IT within organisations exposes them to a variety of different risks. Some of these can have high impact and high likelihood and need to be actively and effectively managed.
- ✓ The main risks are:
 - Compliance risk: the failure to adhere with legislation regarding the use, storage and sharing of information. For example – data protection legislation.
 - Physical risk: the theft of highly valuable IT hardware.
 - Hacking risk: the theft of sensitive data by a third external party.
 - Operations risk: the risk posed to business continuity through IT outages.
 - Investment risk: the risk that may become apparent through poor investment and selection techniques.

5 CASE STUDY SMART

- The importance of an effective and embedded IT strategy was rarely tested under the old examination syllabus.
- However, the role of the “digital finance function” is explicitly mentioned and referred to extensively under the new syllabus for all examinations from 2020 onwards.
- As a result, we expect this chapter to become more important.
- Be prepared to describe the strategic benefits that good quality and timely information can help bring.
- Be prepared to discuss the business case for and against investing heavily in IT systems and processes.
- Be prepared to discuss the risks that collating and storing customer intelligence can present, and how these risks can be managed using the TARA framework from previous chapters.



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